Apollo Micro Systems (APOLLO)

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Call: Feb 2025

Date: 11th February, 2025

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National Stock Exchange of India Ltd.,
Listing Department
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Subject: Transcript of the conference call held on February 8, 2025 under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Pursuant to Regulation 30, read with Part A of Schedule III, and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and further to our intimation dated February 5, 2025, regarding schedule of the conference call with investors, we wish to inform you that the conference call was held on investors on February 8, 2025, at 11:00 A.M.

Transcript of the above-mentioned Conference Call is attached herewith and can also be accessed at: https://apollo-micro.com/investors/
We request you to take the above on record.
Thanking You

Yours Faithfully

FOR APOLLO MICRO SYSTEMS LIMITED

RUKHYA PARVEEN
COMPANY SECRETARY & COMPLIANCE OFFICER

"Apollo Micro Systems Limited
Q3 FY '25 Earnings Conference Call"
February 08, 2025

MANAGEMENT : MR. ADDEPALLI KRISHNA SAI KUMAR – DIRECTOR, OPERATIONS – APOLLO MICRO SYSTEMS LIMITED
MS. RUKHYA PARVEEN – COMPANY SECRETARY – APOLLO MICRO SYSTEMS LIMITED
MS. TANYA GUPTA – INVESTOR RELATIONS TEAM – APOLLO MICRO SYSTEMS LIMITED

MODERATOR : MR. SANTOSH YELLAPU – ANAND RATHI SHARES AND STOCK BROKERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Apollo Micro Systems Q3 FY '25 Earnings Conference Call, hosted by Anand Rathi Shares and Stock Brokers Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
` I now hand the conference over to Mr. Santosh Yellapu from Anand Rathi Shares and Stock Brokers Limited. Thank you, and over to you, sir.
Santosh Yellapu: Good morning, ladies and gentlemen. Welcome to Apollo Micro Systems Q3 FY '25 earnings call, hosted by Anand Rathi Shares and Stock Brokers Limited. We have with us today Addepalli Krishna Sai Kumar, Director Operations; Praveen Rukhya madam, the Company Secretary; and Tanya madam from the IR Team.
This conference call may contain forward-looking statements about the company which are based on the beliefs, opinions and expectations of the company as in the date of this call. The statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.
I now hand over the conference to the management, Sai sir, of Apollo Micro Systems. Thank you, and over to you, sir.
Krishna Sai Kumar: Thank you so much, Santosh. Good morning, everyone. Thank you all for joining us today on this weekend. It's always a pleasure to connect with our investors and share insights into our performance strategy and outlook. I am pleased to report that Apollo Micro Systems has delivered another strong quarter, demonstrating consistent execution, operational discipline, and increasing our market share in indigenous DRDO programs, thus delivering our commitment towards Make in India for the past 40 years.
To make a line, I would also like to specifically mention that on this January 30th, we have completed 40 years of our relentless effort in contributing to indigenous defense programs. Let me first take you through our consolidated performance for the nine months and third quarter ended December 31st, 2024, nine-month FY '25 versus nine-month FY '24.
For nine-month FY '25, revenue from operations has increased by 69.5% from INR2,362 million in nine-month FY '24 to INR4,003 million in nine-month FY '25, demonstrating sustained momentum in our core business operations in line to the guidance that we have been giving for the last few quarters.
For nine-month FY '25, EBITDA increased by 69.1% to INR932.2 million as compared to INR551.2 million in Q3 FY '24, while EBITDA margin remains stable at 23.3%, demonstrating our commitment to operational efficiency and profitability. For nine-month FY '25, PAT increased by 133.2%, amounting to INR424 million as compared to INR181.8 million in nine-

month FY '24, with PAT margin improving by 290 basis points to reach 10.6% in nine-month FY '25.
Now, let's have a look on the Q3 FY '25 versus Q3 FY '24. In Q3 FY '25, our revenue saw a significant increase of 62.5%, reaching INR1,483.9 million compared to INR913.4 million in Q3 FY '24. This growth was driven by successful execution of our order book, reflecting strong demand and operational excellence. Our EBITDA also showed remarkable growth, rising by 58.1% to INR379.6 million in Q3 FY '25, while the EBITDA margin remains stable with a minor decrease of 70 basis points as compared to Q3 FY '24 and stood at 25.6% in Q3 FY '25. Additionally, our PAT for Q3 FY '25 amounted to INR182.4 million, a substantial increase of 83.1% from INR99.6 million in Q3 FY '24, with PAT margin improved by 140 basis points to reach 12.3% in Q3 FY '25. I also would like to specifically men

tion that this is the highest ever
recorded Q3 performance in the history of Apollo.
Now, let's move on to investment in capacity expansion and strategic tie-ups that we have made recently. As we have been informing you that we have commenced our expansion plans a few years back and our Unit 2 facility was getting ready, presently, the Unit 2 facility is ready and we have performed puja for taking position.
As this is the Q4 quarter, shifting teams would disturb execution in crucial fourth quarter, and this operation will commence from Q1 FY '26 actively, although some composite productions already started here. In case of the Unit 3, which is a 3,50,000 square feet facility, which is constructed in Hardware Park II, Hyderabad, very close to Hyderabad International Airport.
And as a part of our forward integration focus for weapon integration, we commenced

construction of our integrated plan for Ingenious Defense System IPiDS, which is Unit 3, and this is expected to be completed by Q2 FY '26. I am very happy to share with you that we have recently entered into a consortium agreement with Redon Systems Private Limited to collaborate on a manufacturing partnership for Loitering Munition.

We are also pleased to share with you that we have signed an MoU with Garden Reach Shipbuilders and Engineers Limited. It is a dockyard government of India. This MoU establishes a business partnership focused on joint research and development, co-production, and export of underwater weapons and vehicles, underwater mines, underwater communication systems, and air defense systems.

Some of the display models will be unveiled during Aero India 2025, which is commencing from tomorrow, day after tomorrow, 10th February, and will be up to 14th February 2025. I would also like to make a special mention that our company consistently invests close to 7% to 8% of our revenues on R&D every year in developing new technologies and in augmenting new technologies, existing technologies.

Keeping the same momentum, we would like to increase our investments in R&D, but at the same time developing the product and also qualifying and testing the products, particularly in case of platforms, needs much more investment. It also needs bandwidth and also some bigger umbrella.

Keeping that in view and the kind of new platform development that we would like to undertake in the years to come, we are entering into these R&D partnerships with the different public sector companies. To mention, we already have a joint development MoU with Bharat Dynamics Limited.

Now, we have entered a joint development MoU with GRSE and such MoU with many other private as well as government companies will be entered in the future. As we have a very, very strong foothold in technology development and a strong R&D team with us, by entering such partnerships, we will be able to open a much larger testing platform's availability for us in the years to come and also an access to much deeper markets, both domestic as well as international.

We are also excited to announce and at the same time invite you all for the upcoming Aero India 2025 in which we are participating, which will start from February 10th up to February 14th, 2025 in Bangalore. We look forward to connecting with you there. Thank you all for your continuous trust and support bestowed on us.

We now look forward to addressing your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. First question is from the line of Mayank Kapoor, an Individual Investor. Please go ahead.

Mayank Kapoor: Yes, first of all, congratulations on a fantastic set of numbers, sir. I went through the PPT and there are some very interesting and esteemed set of projects that we have done and we have listed our whole process from ideation to commercial production. I just want to

understand and

appreciate what is that Apollo Micro Systems does.

So can you walk us through a whole life cycle of how a project starts and the final delivery? And there are a bunch of services that we offer, right, electronic manufacturing services, hardware design services, and so on. Can you also tell us that in case every product goes through each of these processes or is there any kind of product which contributes more towards our service?

Krishna Sai Kumar: Thank you, Mayank, for participating and I would like to clarify you that primarily, we are not a product company as such, although we will be rolling our own platform products in the years to come. Many of the technologies that we are developing are specific to a specific program of DRDO in many of the cases.

We undertake development of different LRUs, which we call as the Line Replaceable Units, which are subsystems onboard a weapon or onboard a vessel, like maybe a ship or a submarine or maybe on a torpedo or a ground launcher system. So we undertake development of a specific system for that program.

We develop that system specifically for that program. We also participate during the testing and trials of the program. And once the program gets into production phase, we support in producing that in numbers to whoever may be the production agency in producing that weapon or vessel or platform. So, earlier only companies like Bharat Dynamics Limited used to have a mandate for producing the weapons.

But nowadays, the Government of India, Ministry of Defence is encouraging a lot of private players. That's how the big players, deep pocket players like Adani, Bharat Forge, Economic Explosives, these companies were given an opportunity. They are taking a ToT for production from DRDO and they come back to suppliers who have got qualified and who are an approved part of the supply chain of that program. So this is how it is.

So whatever we have mentioned that we do a hardware design service, software design services, this is apart from the product development or technology development that we do specifically for the programs, okay? Any specific design services that we have had to offer for any specific customer who comes with a request, we would be doing that. So, EMS is not -- I mean to say, doesn't generate a lot of business for us to start with. We develop the systems and we produce it by ourselves, but we also support some other…

Moderator: Sorry to interrupt, sir, your voice is breaking.

Krishna Sai Kumar: We also support some other customers in producing their system as part of our EMS services, but it is not a major business for us. But yes, we do product development, write some ideation, which is right from their concept up to a final product qualification and testing. And we also offer services like a built-to-print services, which is the EMS service or hardware and software design services.

Mayank Kapoor: Got it, sir. Thanks for the detailed answer, sir. Next question that I have is that, given that we have an order book of INR500 crores to INR550 crores, can you tell us the distribution by the services that we offer or the defense areas that we are targeting?

Krishna Sai Kumar: No, there is no breakup that we are giving at this point of time. We are restricted to share certain information, so I will not be able to give you a breakup at this point of time. But services, doesn't contribute much, which I already told you. Most of these are system development programs over which the entire thing is picked. But broadly, I can tell you that majority of the business comes from the missile defense as well as from the naval defense areas.

Mayank Kapoor: And is that the same area that we are targeting to increase our order book substantially? I saw one interview where the management had said that current order book is INR500 crores to INR550 crores

and by December ‘25, we want to take it up to INR2,500 crores minimum. So, is that the area that we are targeting for that thing?

Krishna Sai Kumar: Naval defense is one area where we have developed the complete platforms, like a complete underwater mines we have developed, and where we are expecting a large ticket projects. So, naval defense will continue to dominate to certain extent for next 1-1.5 year in the increased order book.

But at the same time, missile defense programs also, one after the other, the programs are getting matured. Recently, you might have observed that, you know, Ministry of Defense has placed orders for Pinaka weapons. So, we also had some contribution in that as well. So, missile defense is also going to anchor the overall increase in the order book over a period of time.

Mayank Kapoor: Got it. And last question from Nayan sir. So, the FY26 guidance that we have given is 100% internal target, but it's more of like a 50% target. I just want to understand if you can give us any margin guidance, whether it be EBITDA guidance or PAT guidance?

Krishna Sai Kumar: No, I have never given an EBITDA or a PAT guidance earlier also. From the revenue point of view, we have earlier informed that we have an internal target to double our revenues. But as a guidance point of view, 45% to 50% is something that, we will continue to increase our revenue by 45% to 50%. That's the only guidance that I can give you at this point of time.

Mayank Kapoor: Got it. That helps. Thank you. Those are all my questions.

Moderator: Thank you. Next question is from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hi, sir. Thank you for taking my question. So, the first question is around the new order wins. So, I mean, in the recent interviews, you have been stating that you expect a couple of thousand crores of new order wins for you. You sort of also mentioned that some of your customers have also already received this order and you are just waiting for them to pass on the components to you. So, could you give some sense on, what kind of visibility you have, on receiving this kind of more than INR1,000 crores kind of orders that you are talking about?

Krishna Sai Kumar: No, there are two different aspects of it. One is an order we are expecting from Indian Navy very shortly. That's a direct order from Indian Navy to us. Apart from that, there are certain orders which we are already executing as a sample order, but a complete large order is existing with our customers.

Generally, being a tier 2 and a tier 3 supplier, customers don't place a direct completely full quantity order to us on a full throttle basis because we will end up producing very fast, but as a complete system integration, it will take a lot of time for them. So, that was the perspective in

which I might have told you and I also want to clarify now.
But yes, we have presently a very robust order book. At the same time, the orders that my customers are already having, which are yet to flow to me, are also very strong and some very large ticket projects are expected from Indian Navy.
Ankush Agrawal: The second question is also in the margins. So, if I look at some of our listed peers, on the production side, they make as high as 35%-40% EBITDA margin. We currently are at about 20% EBITDA margin. In the quarterly annual report, you have also mentioned that once the share of our production revenue increases, we expect increase in EBITDA margin. So, going ahead with this kind of order that we're looking at, do you believe that our margins could scale up to the 30-40% EBITDA going ahead, once we see these large production orders coming in?
Krishna Sai Kumar: See, on a standalone basis, it depends on the product mix, where the revenue gets booked actually, different products that we supply will have different EBITDA m

argins. So, some of
them can go as big as 40%-45%. Some of them can go lesser than 20% in some cases, where there is a product development, initial stage of the product development. But whatever figures

that you are seeing, these are the complete revenue figures, averaging of that each product mix that is contributing to the revenues.
So, the peak of 26%-27% whatever is there, that will continue to maintain. And it will go up to 30% on a balance sheet basis for the next 1-1.5 year. Going to 40%-45%, it will take some more time.
Ankush Agrawal: But it is possible, right, from the kind of orders we have?
Krishna Sai Kumar: Yes. See, majority of the projects that we are executing today, they are all development projects. Either the system which I am supplying is in a development phase or the program is in the development phase. But as my revenue, overall in the revenue mix, once the production order sizes goes up, then that is the one which is going to anchor the EBITDA margin levels, which will increase the EBITDA margin levels. But it is not something that -- by 10%-15%, it is going to grow within 1-1.5 financial years or something like that.
It will take a little more time for things to get into production. Our new facility is also getting ready. New opportunities are coming actually. So, we would be happy to share as and when the event happens. But at this point of time, I think anywhere between 25%-30% is a very decent EBITDA margin for our size of balance sheet.
Ankush Agrawal: So, sir, would it be possible for you to share what is the current mix between production orders and development orders? I am assuming majority will be development orders.
Krishna Sai Kumar: Broadly, in terms of percentage, I can say 75%-25%, 70%-30% like that.
Ankush Agrawal: In favor of development, right?
Krishna Sai Kumar: Yes, both development come and production percentage.
Ankush Agrawal: Sir, my last question is, you sort of indicated areas where you want to invest the funds that you have raised. So, will these partnerships require you to immediately invest this kind of large sum or this will play out in a couple of years while the program develops? I am trying to understand why we have raised so much money about INR800 crores upfront. Is it an opportunity wherein we will have to invest this kind of sum immediately or what is the thought process behind raising it immediately?
Krishna Sai Kumar: You mean to say expansion of our unit 3? Are you talking about that?
Ankush Agrawal: No, you indicated that you want to enter into partnerships with these private firms and government firms to do joint production and development and that will require you to expand your R&D project, which sort of you indicated is why you have raised the INR800 crores that you have raised. So, just wanted to understand, will these partnerships require you to invest this kind of money upfront or is there some other use that you are looking at for this money that you have raised?
Krishna Sai Kumar: So, you are talking about the fund raise that we are doing on a conventional basis, right?

Ankush Agrawal: Yes.
Krishna Sai Kumar: So, we have given a clear breakup of the utilization of the funds where we are going to do actually. INR550 odd crores will be going for the working capital and INR66 crores we will be investing in our subsidiary for some acquisitions and other things like. And around INR130-INR140 odd crores for general corporate purpose and some of the -- the balance of the funds we will be investing in R&D.

As I already informed you during my opening speech that we have entered the MOU with the GRSE and other companies and few more other companies we are likely to enter shortly. Negotiations are going on. As and when the event happens, we will keep

you posted. Next year probably we may be investing close to INR100 crores on R&D in new product development actually. So, this is broadly the breakup in which the fund utilization will be there, but disclosure is already given to the exchange.

Ankush Agrawal: Got it. Thank you.

Moderator: Thank you. Next question is from the line of Rupesh Tatiya from IntelSense Capital. Please go ahead.

Rupesh Tatiya: Thank you for the opportunity, sir. My question is on your presentation, there is a slide, slide number 10, where you have listed all these missile programs. It looks like we are part of all the missile programs, but I don't know what is the component that we supply. Do we supply some electronics component in that or some mechanical systems in that? What do we supply to these missile programs that you have listed on slide number 10?

Krishna Sai Kumar: So, I will tell you like this, sir. Except for the BrahMos missile, okay, there we have a very, very insignificant contribution, very little, rather I would say. There is no indigenous missile program of DRDO where we do not have a participation. So, that's a very unique positioning that we have in terms of the market share for the indigenous missile programs. That's point number one.

Point number two, to specifically answer to your question, we have over a period of last 40 years developed an expertise and individual groups are formed to handle different type of technologies for the system which form part of a weapon. Right from the explosive area where we are not into explosives, but the detonation of the explosive, like safety arming mechanism, next comes the seeker section where the signal processing portion we are doing and various onboard computer instrumentation systems, navigation systems, telemetry systems, data link systems, actuation systems. Like this, different onboard electronic and electromechanical systems form part of a weapon actually.

All these technologies, we have developed expertise. Our systems are part of all these programs. We are not purely into mechanical machining and engineering. We do have a CNC and tool room in-house for our captive requirement and for our own making. But we don't do heavy engineering mechanical items for these programs. This is answer to your question.

Rupesh Tatiya: So, just a small follow up to that, sir. Are you like a single source supplier for whatever components you have developed for these missiles?

Krishna Sai Kumar: No. See, normally what happens, most of the programs, they undergo on a tendering basis, either a limited tender or an open tender, depending upon the type of the technology, they reach back to the matured players or maybe sometimes and for an L1 requirement, 4 or 5 minimum participants will have to be there. So, they qualify and they give opportunity to them and all that. So, once we become an L1, we have to qualify the product. Once we qualify the product, we become a proprietary part of that. So, in case the program size is very, very large, which is getting produced in 10’s and 10,000’s of numbers. Sometimes, the DRDO will encourage more number of players to be a participant because they cannot rely on one single source.

But many of the programs where we are participating, we are not participating in a C-level kind of technologies. We are participating in most significant technology, which is forming part of the weapon. And we enjoy the proprietorness in that as and when the product gets qualified. This is how the supply chain goes in the programs.

Rupesh Tatiya: So, what kind of market share do you anticipate? That is one. And then my second question, sir, is on the Pinaka missile, right? Not guided Pinaka. I think guided Pinaka, there is still some time for the large tender, but this whatever INR10,000 crores Pinaka tender has come, what are the components that we supply in th

at tender? So, these are my two questions or small questions here.

Krishna Sai Kumar: Unguided Pinaka, we do not have a contribution. Guided Pinaka, we have a contribution.

Rupesh Tatiya: So, this tender is for unguided Pinaka?

Krishna Sai Kumar: Yes.

Rupesh Tatiya: Okay and sir what kind of market share you expect in the missile programs?

Krishna Sai Kumar: See, ascertaining market share is very difficult until the programs get into production phase. So, at this point of time I can only tell you that every weapon program we have a contribution.

Wherever there is electronics requirement is there we have a contribution every missile program.

And all indigenous torpedo programs, we have contribution.

The indigenous nuclear submarine programs, we have a contribution. We are the only company

in India have developed all varieties of underwater mines. We have contribution expendable
decoy programs, underwater swarm drones. So, variety of such programs we have developed
technologies and we have contributed. Ascertaining the size of the market share can only happen
once these programs get into a production phase actually.
Rupesh Tatiya: Okay sir. And then just a final question sir is what would be the range of contribution per missile?
Is INR1 crores to INR5 crores a fair number or is that like too large?
Krishna Sai Kumar: As small as INR1 lakh to INR5.5 crores to INR6 crores.
Rupesh Tatiya: Okay sir. Thank you. I have more questions. I'll come back in the queue.

Moderator: Thank you. Next question is from the line of Alisha Mahavala from Envision Capital. Please go
ahead.
Alisha Mahavala: Hi, sir. Good morning. I hope I'm audible. Sir firstly just wanted to understand this consortium
agreement with Redon that we have recently entered into. If you could give us some details of
the platform. It looks like that the development is done by them. What is the - is it expected to
go into production soon? How large will it be, what kind of competition will be there, if you
could share some color on it.
Krishna Sai Kumar: No, it will not be able to quantify because we are going to jointly bid for some programs and
jointly manufacture these systems actually. So, it's in a very beginning stage, but Redon has
already developed the loitering munition. They have done some testing. They have already given
some trials to Indian Armed Forces. They have joined hands with us keeping in view of our
existing experience in manufacturing weapon systems and the scale of operations that we are
going to have in a few months to come and the financial bandwidth that we have.
They have certain strengths. We have certain strengths. Now, the entire defense ecosystem is
getting into an era of doing things on a consortium basis where they will be able to catapult on
leveraging on each of their actually. So, as a part of that we have come together in addressing
this for the upcoming programs actually. We'll be doing a joint bidding. This is what I can
comment to this extent only on this relationship.
Alisha Mahavala: But this is not in any advanced stage where maybe we can expect orders next steps. You said
that these are still very early stages?
Krishna Sai Kumar: See, advanced to early stage has a very thin line actually. Currently, we are about to bid for some
programs and it's a matter of a month or two for them to get finalized. If it gets in favor of this
partnership, I think then it's an order for the companies.
Alisha Mahavala: No. And just a clarification the products that they have developed, are these approved by Indian
Army? Did you have the required information?
Krishna Sai Kumar: It's not like that. See in case of the direct armed forces this thing, there is nothing like an approval
from the army and all. It is not like that actually. So, there is a process with which they do a
short listing. Then they take up trials and testin

g of a few numbers and then they will give a go
ahead for production. Every armed forces have a different mode of this thing, but presently
Redon has some matured systems available with them which can get qualified for the programs
that we are attempting jointly.
Alisha Mahavala: Understood. And the underwater mine order, can we expect it before March or is it looking like
there could be some delay and spill into next year?
Krishna Sai Kumar: I am not sure if I can comment on that. It's a process going on inside the Indian Navy. I have to
restrict the timing to tell you the timing of it as of now, but we were expecting it before March
itself. But as the weeks envelope, we will get to know more information on that.
Alisha Mahavala: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Nikhil Chandak from JM Financial Family Office.
Please go ahead.
Nikhil Chandak: So, one question and I may have missed this in the opening remarks. Now, you said that almost
INR500 crores, INR550 crores, you will be using it for working capital out of the new fundraise.
And what I see is that, say, the annual revenue is currently in the range of INR500 crores. So,
such a large amount of capital which will go into working capital going forward from the
fundraise.
So, just trying to understand what kind of growth rates are you expecting for the company, say,
over the next 2 years, 3 years? So, at least as a business plan, if you have to see where does this
INR500 crores approx online I mean annual revenue kind of move to, say, in the next 2 years, 3

years based on the visibility which you have? And I'm presuming because of that you need this high amount of working capital investment?
Krishna Sai Kumar: Yes. See, I would like to clarify like this. Firstly, we are in working capital intensive industry, point one. Point two, it is not that the funds get churned multiple times in a year in my industry actually. The existing lead times of certain raw material are as small as a couple of weeks to as big as 2 years actually.
So, we will have to invest ahead if we have to keep up with the production lines. That's the reason we have started raising funds so that we will be able to address the addressable market on time and give it the deliveries. That's another point. Third point is that we have kept the targets of doubling our revenues for next financial year, but as a guidance we are only giving that we will be able to achieve minimum 45% to 50% growth for the next financial year. And this is something that we will be growing continuously.
And the size of the order book will also grow multiple times in the next 1 year down the line.
So, keeping all that in view we will have to gear up in sourcing the raw materials on time and making a delivery. There are certain items which go for an export control approval from the respective Department of Defense of respective countries which by itself is taking nowadays 3 months to 4 months owing to multiple wars happening in the different parts of the world, actually.
So, all this is actually getting delayed. There's a trade war happening, there is a semiconductor war happening, there is an actual war happening. But the flow, there is no embargo of selling the goods to India. That's one good sign of relief for India as a country, but there's definitely, there is a lot of delay. So, the delay should not delay the program as such. We have to make at least just-in-time kind of a delivery commitment for us to give to the customers.
We have sourced these funds, and the funds will be used for the purpose of sourcing it ahead so that we are able to do the production seamlessly.
Nikhil Chandak: Understood. So, you think it would reasonably grow say, 40%, 50% for the near term based on the visibility which you have at this point of time?

Krishna Sai Kumar: Yes, that's the guidance that we have been giving the last few quarters and I stand by that guidance.
Nikhil Chandak: Understood. Perfect. Great. Thank you so much. I'll come back in the queue. Thank you.
Moderator: Thank you. Next question is from the line of Garvit Goel from Nvest Analytics. Please go ahead.
Garvit Goel: Congratulations for a decent set of numbers. Firstly on this year guidance, you have been guiding for almost 45% to 50% kind of growth. Even if I take the 45% growth you should reach INR540 crores. And in the first 9 months I think we are at INR400 crores. And even if we replicate this quarter number in Q4, we will easily achieve the guidance, but looking at your historical numbers, Q4 is I think significantly differing from all other three quarters in terms of size of revenues. So, would you like to revise the guidance for this year, sir?
Krishna Sai Kumar: No.
Garvit Goel: Like we will be having a similar kind of quarter for Q4?
Krishna Sai Kumar: Yes generally Q4 is always an anchoring quarter. And I don't think I feel any necessity that I need to make a revision to my guidance actually. So, Q4 is always an anchoring quarter for the entire financial year. I don't think any change in my outlook is required, actually. So, if I see the quarterly this thing of the Q4, March 2024, it's INR135 crores.
Garvit Goel: Yes I see that. That's what I was asking for, whether there is any upward revision going to be for this year. That's fine. Secondly, on the pledge percentage, sir. So, this pledge percentage is increasing. So, can you put some color on what is the rationale behind it, sir?
Krishna Sai Kumar: What percentage?
Garvit Goel: Pledge percentage. Promoter pledge percentage is very high for our company?
Krishna Sai Kumar: Promoter has pledged his shares because he was sourcing funds to subscribe to the warrants. We have gone for the preferential around a year and a half back. Then once again now we are going for preferential in order to subscribe it he has gone for nothing for any personal reasons.
Garvit Goel: Got it, sir. And lastly, on the naval orders that you are saying we will be expecting it maybe this year itself. Is it like the internal when you target that you are having 100% kind of growth in FY25, FY26 sorry, that is based on this order like if it comes in the near term, we will be able to execute in FY26 and if it comes later on, I think 45% guidance. Is it going to work that way, sir?
Krishna Sai Kumar: Partially, you can take it like that, not fully. If it comes at least even in the Q1. So I will have some revenues booked at least by Q3 or Q4 of next financial year because once the order comes, it will take 6 months for us to create the documentation, take certain approvals and other things like. So, Q3, Q4, some revenues will start flowing and for the next after financial year it will definitely continue to have.

But we are also expecting some more orders, as I told earlier also there is an existing order book with my customers. We foresee that they would like to expedite their production, overall

production requirements and enhance their production capabilities also for the next financial year.

If that event happens also, that will also contribute for me in achieving my internal targets. But irrespective of that, my 45% growth whatever guidance we have been giving that we will achieve for sure.

Garvit Goel: Got it, sir. And one more thing on the margin side, you mentioned like 25% to 30% kind of EBITDA margin, I think this must be supported by the kind of mix we are going to achieve in the production contract. So, is it like from this quarter onwards, we can expect slight improvement in our EBITDA margins going ahead?

Krishna Sai Kumar: I'll not be able to comment on that, sir.

Garvit Goel: Okay, sir. That's fine,

sir. All the best for the future, sir.

Moderator: Thank you. Next question is from the line of Aman Vij from Astute Investment Managers. Please go ahead.

Aman Vij: Yes, good morning, sir. My first question is when you talk about our missile contribution in this from couple of lakhs to few crores. So, if you can talk about some of the programs which is coming online in next 1 year, 2 years where our contribution is high and their volume is also expected high. Basically, which will move the needle for the company?

Krishna Sai Kumar: Sir, unless the program is getting into production, I am restricted not to talk about it actually. But most of the things nowadays are in the public domains, actually. So, there are certain, I mean to say, news articles coming from directly from defense, how, the steer up is going to happen and all like, for example, the current Pinaka program, it was expected off that it would come, but we have not expected that it would come this month itself, actually.

We were expecting by March end or so. So, the government is taking their own call. But broadly to tell you, the artillery and bomb programs are the ones which are going to have a very large quantity in the years to come. So, those are the programs which will have big numbers, coming. Apart from the other programs like, the naval torpedo programs like the Electronic Heavyweight Torpedo, these are the programs which will also getting into production areas. NAG is something also which will get in, which will go into a good sizable production.

But there are certain other areas like the ballistic missile programs and other things like, there is a continuous production continuously happening for that. And, I will not be able to comment on that. The ATGMs are the ones which you can keep a track on that, NAG, HELINA and MPATGM and AMOGHA-2. These are the ones which will also get into large numbers in the years to come.

Aman Vij: And these programs which you mentioned, NAG and AMOGHA-2, and ATGMs, our contribution is significant. So, the total value of, whenever it happens, can be significant for our company?

Krishna Sai Kumar: I don't want to quantify it, sir, as of now. Because the transcripts are available on the, will be available in the public domain. It will be against the competitive, spirit, actually.

Aman Vij: I am just asking, whenever it happens, it will be a good chance for our company?

Krishna Sai Kumar: I want you to understand like this, that when the quantities are very high, the overall revenue chain value will always be on a higher side. If a program is getting into some 10,000 numbers, assuming that every company is getting at 1,000, 1,500, 2,000 numbers, with at least as small as INR5 lakhs to as big as a INR1 crores, that's the kind of potential every company is going to have.

The entire ecosystem is going to have such kind of opportunities coming in, depending upon the type of the product mix that they are supplying. So, why I mentioned only these programs is because these are the programs which are of highlight, which are getting into a very large-scale production in the years to come.

Aman Vij: Sure, sir. My next question is on Torpedoes side, sir. So, last set of orders we supplied, I think, was for Varunastra. And I think we are waiting for this Electric Heavyweight Torpedo and also Advanced Light Torpedo. So, is there any repeat order expected for Varunastra also? And if not, then when do we expect the big orders coming from Electric Heavyweight Torpedo? Do we expect it in first half of this calendar year or second half of this calendar year?

Krishna Sai Kumar: Varunastra, the entire weapon is being done by BDL, sir, actually. I am restricted to comment on that, but yes, there will be a repeat order for Varunastra coming shortly.
Aman Vij: And what about Electric Heavyweight Torpedo and ALWT, Ad

vanced Light Torpedo?
Krishna Sai Kumar: ESWT is a sensitive program, sir. I will not be able to tell you the timing of that. ALWT, we will start getting some limited series production by Q3 or Q4 of next financial year. Electrical Heavyweight Torpedo, I told you, sir. It is a sensitive program. I will not be able to comment about it in the timing of that.
Aman Vij: Okay, sir. No issue. Final question is, so…
Krishna Sai Kumar: But the approvals are all done. The trials are all more or less done, actually. So, from our end, there is nothing, some paperwork is going on. Broadly, I think, that level of understanding is sufficient.
Aman Vij: Okay. Sure, sir. Final question I have is on this production and prototyping mix. So, currently, it is around 75%-25%. So, for next year, FY '26 and FY '27, where do you see this mix going?
Krishna Sai Kumar: 60%-40%.
Aman Vij: 60%-40% for FY '26 as well, sir?
Krishna Sai Kumar: I am talking about the next year only, not this year. This year is almost over, no, sir, actually.
Aman Vij: Yes. And FY '27, can it reach to 50%-50% kind of number as well? By '27…

Krishna Sai Kumar: I am unable to give the guidance for FY '27, how much the percentage would be. But for FY '26, it could be like 60%-40%.
Aman Vij: Sure, sir. I will get back in the queue. Thank you.
Moderator: Thank you. Next question is from the line of Prathamesh Dhiwar from Tiger Assets. Please go ahead.
Prathamesh Dhiwar: Yes, sir. Just two questions on the defense industry side. So, first one is like, how are we seeing the order inflows in the industry? Are we seeing any delays or what is the current situation over there? And my second question is on the payment side. So, are we seeing any payment delays from the government?
Krishna Sai Kumar: No, sir. Most of these programs are DRDO programs. The fund is already allocated. There is no dearth of payments. The payments are seamless, actually. There is no issue. The order flow is going to be much more consistent with many of the programs getting into production. And also, because of the entry of private industries getting into this, the having their skin in the game, in line with the government expectations, if they are able to speed up the production capacities and other things, much more consistent orders will be there and much more increase in the order book will be there for the entire ecosystem as such.
Prathamesh Dhiwar: Okay, sir. Got it. Thank you.
Moderator: Thank you. Next question is from the line of Prateek Bagadia, who is an Individual Investor. Please go ahead.
Prateek Bagadia: Yes. Hi, sir. Thanks for giving me this opportunity. And congratulations on completing 40 years of operations in this industry. My first question is with respect to exports. Are we doing any exports? And can you throw some visibility as to how it looks in the next 2 years to 3 years?
Krishna Sai Kumar: Presently, we are talking to a few countries, for -- we have given our proposals. We expect that, we will be able to back some orders in the next financial year, execution of which may happen maybe next after financial year. About next financial year, whether we'll be having export or not, I'm not sure of the timing.
Prateek Bagadia: Okay, I understand, sir. And for my second question, I just want to understand as to how typically our order flow looks like in terms of when we get an order, what is the completion time? What is the lead cycle to it? I understand that the multiple orders would have multiple timings, but if you could throw a generic light on it?
Krishna Sai Kumar: Average, you can take anywhere between 6 months to, 12 months to 14 months.
Prateek Bagadia: Okay, so typically, once we get an order, it takes around one year for us to deliver it back to the customer. Is my understanding correct?
Krishna Sai Kumar: No, not necessarily, not in all cases. Certa

in cases where it's a fresh order and we need to source material and all, the timing of sourcing of the metal and all may take some time. But there's some orders, short term where we have some stocks, we have a huge inventory available with us. So, you know, the execution, that's why I told you the execution is right from 6 months up to 12 months to 14 months. That's the way you have to understand it.

Prateek Bagadia: Okay. And so what is our current capacity utilization?

Krishna Sai Kumar: See, we are not a product company to assess the capacity of the company and its utilization, actually. So, it depends on the product mix. There are certain, items that we produce that I can produce in a month, I can produce more than 1000 numbers, but that's not the requirement it would be actually.

So, this is not something which can be ascertained as a capacity utilization. If you, whenever you have a time, when you come to Hyderabad, you can visit the plant, I will explain you more in detail. Because even if I explain it now, you will not be able to visualize and understand what it is meant by actually.

Prateek Bagadia: It will be a pleasure for me to come and visit the plant. So, my final question, current promoter pledge part is around 33% as of December. Any plans of bringing it down to 0%?

Krishna Sai Kumar: In next 1 year, on a phase by phase basis. That's what we are working towards.

Prateek Bagadia: Thanks a lot, sir, for answering all the questions and good luck.

Krishna Sai Kumar: Thank you so much.

Moderator: Thank you. Ladies and gentlemen, we will take this as the last question for the day. I would now like to hand the conference over to the management for the closing comments. Over to you, sir.

Krishna Sai Kumar: Are the questions exhausted?

Moderator: Yes, sir. We'll take this as the last question. Over to you for the closing comments.

Krishna Sai Kumar: Okay. So, thank you very much, to all the investors and team Anand Rathi, my colleague Rukhya Parveen, and Tanya Gupta, my IR team, for participating in today's conference call. We are committed for continuously improving our performance and we also assure you that we will make every effort to achieve much better results moving forward.

We are confident that upcoming quarters will also bring positive outcomes, with Q4 expected to surpass Q3 in performance, which has been a tradition earlier as well. Overall, we are on track to deliver stronger results compared to last year. We deeply appreciate the unwavering support we have been receiving from all our investors over the past few years.

We look forward to your continued confidence in our efforts. Thank you once again and we eagerly anticipate reconnecting with you for the Q4 update. Wish you all a wonderful day ahead.

Jai Hind.

Moderator: Thank you. On behalf of Anand Rathi Shares and Stock Brokers Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: May 2025

Date: 29th May, 2025

BSE Limited,
Department of Corporate Services
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai – 400 001
National Stock Exchange of India Ltd.,
Listing Department
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051

Scrip Code: 540879 Symbol: APOLLO ISIN: INE713T01028

Subject: Transcript of the conference call held on May 26, 2025 under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Pursuant to Regulation 30, read with Part A of Schedule III, and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and further to our intimation dated May 21, 2025, regarding schedule of the conference call with investors, we wish to inform you that the conference call was held on Monday, May 26, 2025, at 11:00 A.M.

Transcript of the above-mentioned Conference Call is attached herewith and can also be accessed at: https://apollo-micro.com/investors/
We request you to take the above on record.
Thanking You

Yours Faithfully

FOR APOLLO MICRO SYSTEMS LIMITED

RUKHYA PARVEEN
COMPANY SECRETARY & COMPLIANCE OFFICER

"Apollo Micro Systems Limited Q4 & FY '2 025
Earnings Conference Call "

May 26, 2025

MANAGEMENT : MR. BADDAM KARUNAKAR REDDY – MANAGING DIRECTOR , APOLLO MICRO SYSTEMS LIMITED
MR. ADDEPALLI SAI KUMAR – WHOLE TIME

DIRECTOR , OPERATIONS , APOLLO MICRO SYSTEMS
LIMITED
MR. SUDARSHAN CHILUVERU – CHIEF FINANCIAL
OFFICER , APOLLO MICRO SYSTEMS LIMITED
MODERATOR : MS. HIRAL PAREKH – DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Apollo Micro Systems Limited Q4 FY '25 Earnings Conference Call , hosted by Dolat Capital.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.

I now hand the conference over to Ms. Hiral Parekh from Dolat Capital. Thank you and over to you, ma'am.

Hiral Parekh: Thank you, operator. On behalf of Dolat Capital, I welcome all participants to the Q4 FY '25 Earnings Conference Call of Apollo Micro Systems Limited. We appreciate the opportunity to host this call and thank the management for their presence today.

For today's call, we are joined by members of the leadership team from Apollo Micro Systems Limited. This includes Mr. Reddy, Managing Director , and Mr. Sai Kumar – Whole -Time Director, Operations.

With this, I now hand over the conference to Mr. Reddy to take us through the proceedings. Thank you, sir, and over to you.

Baddam K. Reddy: Yes. Good morning. My colleague, Mr. Sai Kumar, will be presenting our financials and all. Then, for any questions, then I am there to answer, okay?

Addepalli Sai Kumar: Good morning, everyone. My name is Sai Kumar – I am Director, Operations. I am joined by our Managing Director – Mr. Karunakar Reddy Baddam, and also our CFO – Mr. Sudarshan Chiluveru. Thank you all for being with us today.

It's always a privilege to engage with our valued investors and provide updates on our performance, strategy, and future outlook. I am pleased to share that Apollo Micro Systems has delivered yet another robust quarter , marked by consistent execution, operational discipline, and a strong commitment to indigenization and the Make in I ndia initiative.

Let me first take you through our consolidated performance for the year and fourth quarter ended March 31, 2025 :

FY '25 has been a landmark year for Apollo Micro Systems, marking our strongest performance to -date. We achieved a significant milestone and revenue reaching Rs. 562.07 crores, representing a robust 51.24% year -on-year growth, which is in line and exceeding the guidance that has been given by us over the past few quarters. EBITDA stood at Rs. 132

crores, reflecting a 54% increase year -on-year with a healthy EBITDA margin of 23.5%. Our net profit surged by 81.18% , in line with our annual guidance, and what we commit, we deliver.

Now let's move on to the Q4 FY '25 versus FY '24. In Q4 FY '25 :

Our reven ue saw an increase of 19%, reaching Rs. 162 crores, compared to Rs. 135 crores in Q4 FY '24. This growth is driven by a strong order book and the transition of several products into the production phase. Our EBITDA excluding other income also showed remark able growth rising by 25% to Rs. 36 crores in Q4 FY '25, while the EBITDA margin registered an increase of 100 basis points as compared to Q4 FY '24 and stood at 22% in Q4 FY '25.

In a business defined by tailored, complex and mission -critical solutions, s equential, that is, quarter -on-quarter comparisons often fail to reflect the true picture, which we have been telling to all our investors from the beginning. The product mix and the delivery cycles of each product vary significantly based on the client -specific requirements. Accordingly, our annual performance remains the most meaningful benchmark for evaluating our financial and operational progress compared to our quarter -on-quarter results.

We are also pleased to announce a significant strategic milesto ne, which is the acquisition of IDL Explosives Ltd. This marks a new chapter for Apollo Micro Systems as we move closer to becoming a

fully integrated Tier-1 defense OEM. The acquisition not only enhances our manufacturing capabilities but also broadens ou r solution portfolio across critical areas of

defense supply chain.
Through this acquisition, it will not only be a vertical integration for us, but the various weapon systems that we have developed now and we are in the process of developing and the weapon system that we are going to take up in the future, the raw material will be sourced from there . We are going to increase our portfolio into warheads and rocket propellants and rocket motor designs through this acquisition . And also , we will be enter ing into a complete ammunition cycle where different calibers of mo rtar will also be developed in -house and supplied to our Indian defense forces which will also have a huge export potential .
As you are all aware that the huge inventory pile -up is being d one across different parts of the world by different countries , so this acquisition marks a distinctive growth that will bring on to our company. It is a proud moment and a feather in our cap that positions us for greater impact and scale. The financial re sults of the acquired entity namely IDL Explosives Ltd. will be consolidated starting from Q2 FY '26.
Now, I would like to give some updates on various corporate actions throughout the year. Our Unit-2 is scheduled to commence manufacturing its operations from the Q2 of this financial year. Partial operations have already started but a full -fledged operation will start from the Q2

FY '26. Our Unit-3, we will start occupying in different phases. For the Phase -1 of its operation, stage -wise we will start occu pying the facility because some of the facilities from Unit-1, the production, we would be shifting to Unit-3 from September of this financial year. The total capital expenditure allocated for Phase -1 is Rs. 150 crores and for Phase -2 is around Rs. 100 crores. The Phase -2 of Unit-3 is expected to commence work in Q4 FY '26.
So, I would also like to give an overview on the working capital cycle of our company. The working capital cycle days are expected to reduce by approximately 100 to 120 days from FY '27 onwards. So the rationale I would like to give you is that the several programs will be transitioning into a full -fledged series production phase. As you are all aware that we have a huge footprint, varied type of technologies and products across the w eapon systems, both onboard and the ground support equipment side.
So, during the development phase, the cycles are very, very longer and not very predictable. But during a full -fledged production phase, there is a defined production cycle and critical planning in terms of the sourcing of the raw material and when the produc tion has to take place will be in a very clear manner which will effectively reduce the overall cycle of the working capital. At the same time, the facilities that we are outsourcing presently for the testing and other things, we are equipping ourselves wi thin the Unit-3 by investing close to more than Rs. 50 crores for these test equipment which are critically not available predominantly across for catering to various programs. All those facilities we are going to put up in Unit-3 which will also further s upport us in reducing this overall working capital cycle.
Regarding the preferential round which we are doing now, I would like to update that the approval has been received from both the exchanges on 19th May last week and the process is expected to be co mpleted within the next six months. The proposed preferential round of Rs. 816 crores of fund raise, it will be utilized for the working capital requirement, for the R&D expenditure , and also to foster innovation in future technologies including investment in subsidi aries and other general corporate purposes.
Looking ahead, we expect

the revenue growth which we have been giving guidance earlier
also to grow at a CAGR of 45% to 50% over the next two years also, driven solely by the core business , excluding any contribution from the recent acquisition. If I take into account the contribution of the recent acquisition, I am very happy to share with you that our revenue would double in this financial year. This growth is underpinned by a healthy orde r book and different product mix entering the production phase.
The operating margins are projected to improve in the first half of FY '26 due to favorable operating leverage and product mix. However, ongoing and planned capital investments are expected to moderate margin expansions in the latter half of FY '26 and into FY '27, but continuing to maintain the balance of the profitability in terms of the PAT. You are all aware

that there are several conflicts happening across the globe and a huge compilation of inventory is being planned. We are slowly entering into that ecosystem and a very, very unique league of companies who will be able to supply such complete weapon platforms.

And also, notably, the recent conflict between India and Pakistan has also furt her accelerated the overall requirement , and especially the demand for indigenous defense solution. And we are very happy that our solutions are utilized in the recent conflict . And also several procurements that are being done presently and in next few qu arters, we will have a significant participation in that . And we are very happy to contribute for the nation. Several of our systems, as I told you, are successfully tested and demonstrated during this period. It has also generated a significant interest a nd engagement across the different defense value chains. Thank you all for your continued trust and support . And we now look forward to addressing your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question comes from the line of Dhruv Nachrani with Sunil Investinfra Private Limited. Please go ahead.

Dhruv Nachrani: Hello, sir. I hope you are doing fine. I just wanted to ask you one thing, the recent acquisition that you have done of IDL Explosives, basically that company since the past three years was not reporting gross profits, so what do you have to say about that and how do you plan to turn it around?

Addepalli Sai Kumar: Thank you so much. It was a nice question. So , I would like to tell you tha t primarily the post -Lebanon issue, there was a setback in the company in terms of the COGS point of view. So , that has continued to give a setback in subsequent years as well. So as we see today, as of March 31, 2025, the company reported around Rs. 551.8 crores of revenue, but there is a significant improvement in terms of the COGS. Primarily the ammonium nitrate is a very sensitive item and the pricing of which keeps fluctuating. So that is the reason overall there is, I mean to say, EBITDA level lo ss that is marked in the company. But as we take over it will become a positive EBITDA in subsequent quarters is what we foresee.

We are now continuously talking to different suppliers for a long -term arrangement of ammonium nitrate which will be a seriou s mix of both domestic as well as international imports. Several of the companies are presently only doing imports of ammonium nitrate on a significant basis and little of domestic basis. Similar mix we are going to do. We are already in action . We have al ready employed a team of consultants for making this long -term arrangement. So this is point number one.

Point two, going forward we will be transforming this IDL Explosives which is catering to the mining and infra base majorly end -to-end defense explosiv e site where we will be doing both

TNT, HMX and RDX based systems that will be used , for which the operational margin will also be on a higher side compared to the commercial explosive or the industrial explosive requirements. So , I will not give any assur ance for the Q2, but in the subsequent quarters we will be improving the EBITDA level margins of the company. Continuous interactions with the company and operational this thing is happening. The corrections that were needed in the company are being alread y started implementation and you will see in subsequent quarters we will be doing it.

Dhruv Nachrani: So do you think the loss margins of IDL would affect your 25% to 30% EBITDA range that you are targeting?

Addepalli Sai Kumar: No. But you have to actuall y look towards the operational standalone P&L of Apollo Micro Systems, not on a consolidated basis for the next few quarters . But you can also appreciate that the overall accumulated loss which will be there in the company, that will give a benefit for us in terms of the taxation if you take it in the consolidated basis. So that is one additional advantage that will be brought .

As the complete acquisition is not complete, it is not appropriate on my part to give a detailed analysis on the P&L and the balance sheet of the company even before the actual clock date of the full -fledged merger . But you have to understand that for the next few quarters you will have to look at the standalone balance sheet of Apollo. Subsequently , we will also gain an advanta ge of the accumulated related loss because in terms of the taxation point of view, whatever the income tax outflow would be there, there I would get benefit because of the accumulated loss in the IDL actually. That will significantly improve the overall, I mean to say, PAT levels of Apollo in a consolidated basis.

Dhruv Nachrani: Got it. Thank you for the answer . Sir my second question would be that the operating cash flows of Apollo Micro Systems have been highly negative in the past few years , it's just reporting a slightly positive in FY '25 . So can you explain the reason behind that and like how is it going to be in the future?

Addepalli Sai Kumar: If you see the rationale which I have given during the opening speech and also in my investor presentation in a very brief way, I would like to make everyone understand that predominantly the company has a huge footprint of having participation in almost every indigenous program in the country . And most of the business that we do or we clock in a year is a comb ination of development projects and development cum production projects. So year -on-year basis, the percentage of the production core into a series production phase is increasing , in FY '25 also it increased. Exact number I will not be able to quantify rig ht now. But it will continue to increase in the current financial year and the next financial year also.

As the percentage of the production volumes in the overall top line keeps increasing the operating cash flow, there will be a significant improvement. You will see a huge remarkable

change in FY '25 in our operating cash flow, it will be totally positive and it is something that is going to carry forward in the subsequent years also. So you can see that very few weapon systems have gone into production. After Akash, there is no such weapon system which has gone into huge series production actually. Although there are several dozens of programs which are being done and the revenues are being clocked over it, but full -fledged production, not many systems h ave gone into.

Now things have changed, thanks to Indo -Pak conflict also that the forces have also realized the serious importance of the indigenous system to be quickly deployed on a spiral development basis because of which the revenues subsequently in the production phase also will increase, wh

ich will be anchoring the overall revenues, which will increase the operating cash flow of the company, which will also improve the overall number of working capital cycle also of the company.

Dhruv Nachrani: Got it. Thank you, sir. My last question would be in the Unit-3 --

Addepalli Sai Kumar: If you don't mind, to you and also to others, we have time up to 11.55. I have a 12 o'clock another interview with Zee Business. As the number of people are more, I would request everyone to keep their questions only for two questions, not more than that, so that everyone will have a chance. This is a humble request.

Baddam K. Reddy: Yes. If you have any further questions you want to clarify, you can always m ail to us , we will respond to you.

Dhruv Nachrani: Sure. I will join the queue. Thank you for your answers.

Moderator: Thank you. Our next question comes from the line of Rupesh Tatiya from Intelsense Capital. Please go ahead.

Rupesh Tatiya: Thank you, sir. Congratulations for a good set of numbers. My first question sir is, can you give a comprehensive update on the naval programs? Primarily mines program, underwater mines, which we are expecting some order s, where are we on that? And then the three torpedoes ; Varunastra , ALWT and EHWT , if you can give a comprehensive update on this, that will be very helpful.

Addepalli Sai Kumar: Yes. The multi-influence ground mine, if you are tracking the news, around three and a half weeks back, the last phase of the limited explosive trial is conducted, which is a combat trial. And it has been a very successful trial, similar to the other trials which we have been doing for the last couple of years.

We have been very positive based on the information that we were ta lking in the Ministry of Defense, that the RFP will be closed before March 2025. But because of this combat trial, and

also several stakeholders that are involved in this particular, because it is a very sensitive product, it has got a little delayed. But we are expecting this order to flow in this financial year, the finance approvals and other things, including the RFP and the release of order will be done in the upcoming quarters, actually.

This will be an opportunity, one of the largest opportunities f or Apollo that we have been telling. But yes, this is the reason for the delay, but it is something that is going to come.

Coming back to the heavy weight Torpedoes, the Varunastra approval, the financial approval is already obtained, given by MOD. All the formalities are complete. It is only BDL getting an order that after subsequent to that we will get our size of opportunity. Same is the case with ALWT. I am restricted to give the numbers, but the numbers are going to be very, very large for ALWT, and we are having a significant contribution in that.

And the heavy weight Torpedo , electrical heavy weight torpedo's point of view, if you see the couple of months back, we have announced an order received from Bharat Dynamics Limited, which is a production t akeover kind of a project. During the development phase to production

phase few numbers will be produced by the lead integrator, which is now BDL here in this case. So, that order limited, for couple of numbers is placed. Few more numbers are going to come this month we are expecting actually for that particular thing. And as far as the navy induction point of view is concerned, in this financial year, electrical heavy weight torpedo order will be received by BDL and also to us.
Baddam K. Reddy: Yes, EHWT c ase now, they are also configuring for the P -75 Scorpene -class submarine also. Major ity of the people are producing the submarine and missile they are going to use EHWT torpedo only they are configuring. But also limited series order we are expecting any t ime in next two weeks' time.
Rupesh Tatiya: Thank you. Thank

you for that update, sir. My second question is what is our order book as on date and where do you expect it by let's say March '26 ? And also , there was very interesting this transfer of technolo gy, I saw Prachand Munition Hardware, we got a TOT . And I am hoping this is a helicopter. So if you can expand, give some color around that. So this is my second question.
Baddam K. Reddy: Prachand Munition is a landmine actually. It has nothing to do with the helicopter Prachand actually. This is a landmine, anti -tank landmine.
Rupesh Tatiya: Okay. And order book, sir?
Baddam K. Reddy: Rs. 615 core s as we closed last Friday.
Rupesh Tatiya: Okay. And where d o you expect by March '26?

Baddam K. Reddy: I think we will triple our order book by March '26.
Rupesh Tatiya: Thank you. Thank you for answering my questions, sir.
Moderator: Our next question comes from the line of CA Garvit Goyal from Nvest Analytics Ad visory LLP. Please go ahead.
Garvit Goyal: Good morning, sir. Congrats for decent execution in the quarter. Sir, my first question is like Apollo Micro Systems ' extensive track record in electronic subsystems for missile platforms and its participation acr oss 150 -plus indigenous defense programs. So can you please elaborate on the company's current or perspective role in DRDO's Project Kusha, particularly in the development of fire control systems, onboard electronics or radar integration for that matter in the components for M1, M2 and M3 interceptors that will be under Phase -1 and Phase -2? That is my first question, sir.
Baddam K. Reddy: Kusha is like S -400 type of a program. It is going to be 150 kilometer range, 250 kilometer, 400 kilometer kind of a thing, okay. We are providing lot of subsystems to Kusha . In fact, because of urgency and lot of pressure from MOD, DRDO has placed order on couple of industries. We are the first people to deliver the systems. Almost four, five subsystems we are doing for the Kusha program , it goes into onboard this thing. Critical actuation system like radar actuation, front actuation and all we have already supplied. We are the first people to deliver the subsystems. We are also doing launcher systems also we are making , and we will be completing any time next quarter before September.
And also , you must have heard about QRSAM and Akash -NG and all, QRSAM already government has released Rs. 25,000 crores . We have huge contribution in QRSAM program also, so continuously meetings are taking place and we are gearing up for the pr oduction activity . So any time next two quarters from we are expecting order from BDL. BDL is a production agency for QRSAM. BDL and Bharat Electronics together they are doing the production.
Garvit Goyal: Got it. And secondly , given our expertise in RF an d microwave subsystems through Ananya and your long -standing participation in critical indigenous defense programs including missiles and naval platform, so how is the company positioned to capitalize on emerging demand in radar and electronic warfare doma in? Particularly if I speak about the fire control radars and GAN -based SR radars, so has the recent conflict with our neighbor , and India has demonstrated operational readiness led to any concrete engagement or any visibility around large scale contract e ither from the Ministry of Defense or any export inquiries for that matter?
Addepalli Sai Kumar: So RF side we went a little slow. This year we are going to accelerate, we are talking to couple of companies in RF space for acquisition further actually, the RF portfolio we will increase.

Presently in RF side, our presence is very, very less, but this is something that we are going to accelerate.

Baddam K. Reddy: Akash -NG and QRSAM we will be getting good orders of RF Qs.
Moderator:

Thank you. Mr. Goyal , may we request that you return to the question queue for follow -up questions as there are several participants waiting for their turn. Our next question comes from the line of Deekshant with DB Wealth. Please go ahead.

Deekshant B: Hello, sir. Congratulations on the good results. Firstly sir the question is , we have a pattern of pledging our shares and then revoking it, so specifically for Mr. Reddy, could you help us with this sort of thought process because I think it will help with investor c onfidence as well.

Addepalli Sai Kumar: So primarily, two and a half years back we have done a preferential round. In order to maintain the shareholding percentage, the promoter ha d also participated in it. Not only for that reason, promoter by himself is quite positive and bullish about the company and in the current preferential round also promoters participated. So the participation has been done by raising funds by pledging the shares .

As per the terms and conditions governing the Loan Against Securit ies (LAS) facility, when the market price of the pledged securities exceeds a predefined upper threshold, a proportionate release of shares may occur, as the Loan -to-Value (LTV) ratio improves significantly. Conversely, in the event of a price decline, the LTV ratio deteriorates, necessitating an increase in collateral to maintain the required coverage. So you will see a share pledge and release from time to time happening for that reason actually.

And I would also like to mention that the funds that are r aised through pledge of shares are all deployed in the company and no pledging or any debt is raised by the promoter for any of his personal requirements, investments in any other entity or any other requirements. It is purely for investment back into the company as an equity back in the company. The current preferential round also, the promoter group has participated significantly and that is being done .

Baddam K. Reddy: And also for the acquisition purpose also these funds are raised.

Addepalli Sai Kumar: And we have also raised some funds in our subsidiary for which the promoter has also given his shares as a guarantee actually. So that is how the pledge also took place for that reason as well. And this is something that we are going to do. There is nothi ng alarming situation. Everything is purely in our control . We anticipate that the company's upcoming performance, coupled with its current strategic defense initiatives, will underscore its inherent strength and resilience. And the investors would underst and what the company is doing all about . And the promoter's LAS also will come down in the subsequent quarters.

Deekshant B: Sir, I completely understand that. In fact, if we are going for a new phase of growth then we would need capital. This is very help ful. Sir, secondly, what kind of dilution of shareholding can we expect in the next FY, like current to next FY, the next two years?

Addepalli Sai Kumar: Currently, promoter holds around 55% overall stake in the company. It will come to close to around 50 -point some change which is close to 51%.

Deekshant B: Okay. And what is the total pledge , if you could clarify that , for us right now?

Addepalli Sai Kumar: I will have to check the records, if I can give the answer to you by checking the records appropriately.

Deekshant B: No problem, sir. Sir, two questions on the production stage here. You have mentioned that we are now going into production stage for a lot of class of weapons. Could you just elaborate this? And also , in this presentation we hav e seen BrahMos being mentioned , so what is our role in this and any other air to surface weapons?

Baddam K. Reddy: We are working on a program called AAD program and also working on QRSAM program, Akash -NG is also surface to air missile . And KUSHA also S

-400 class type , KUSHA also a lot of contribution is there.

Addepalli Sai Kumar: ASTRA , air defense point of view .

Baddam K. Reddy: ASTRA air defense program also our contribution is there.

Moderator: Thank you. May we request that you return to the question queue for follow -up questions. Our next question comes from the line of Ankush Agrawal from Surge Capital. Please go ahead.

Ankush Agrawal: Hello, sir. Thank you for taking my question. So the first question is, could you highlight which are the products and programs wherein we as a company are supplying the products end-to-end? Like the underwater mine is an end -to-end product wherein we will supply the product directly to navy , and for those programs what is the estimated price and the timeline that you expect those programs to come in?

Addepalli Sai Kumar: Underwater mines, I have already given the reply, sir.

Ankush Agrawal: Similar to underwater mines, which are the products wherein you will be directly supplying the

entire product?
Addepalli Sai Kumar: Yes, we are doing one anti -submarine warfare rocket also for Indian Navy and there is a man -portable mines called Limpet Mines also that we are giving to Indian Navy. Presently our

medium range rockets are under development under Make 2 which will go for trials in the coming quarter actually. That is one full -fledged system that we would be doing.
Apart from that , we have started an in -house development of VSHORAD S rockets also. There is a recent EP program which is happening from Indian Army for w hich we have submitted bid last week actually , which is going on a significant thing. As you are aware that we have entered a joint development MOU with Garden Research Shipbuilders & Engineers for developing a mini torpedo. All the build ing blocks are alr eady available, continuous interaction is happening. So, mini torpedo is one such thing which will go for development.
And in the mines classification also, there are some deep sea deposition mines requirements which are basically with the mooring mechan ism called moored mines. That is also something which the development is already complete. It is a non -DRDO program presently. It has got converted into DRDO program last couple of months back only , but we finished development more than one and a half year back and we submitted our samples for evaluation to DRDO.
So, more in offerings there are another four, five programs which are very classified and sensitive which I will not be able to divulge at this point of time. But as and when certain things keep happening, we will inform to the investors about it and then we can have a more elaborative discussion on that.
Ankush Agrawal: Got it. Sir, the second is just a clarification on the margin commentary which you said that in H1 FY '26 we will see a better margin , and that margin expansion will stop. So does that comment mean that the margin expansion will stop but we will maintain the impr oved margin that we will see in H1 FY '26 ? Or do you expect margins to contract from say H2 and FY '27?
Addepalli Sai Kumar: I didn't get your question. Somehow the voice was breaking in between.
Ankush Agrawal: So the question is, you have mentioned that in H1 FY '26 we will see improved margins, right, but you expect that expansion to stop from H2 FY '26 and going into FY '27. So does that comment mean that in H2 and FY '27 we will see margins contract or is it just that the expansion will stop?
Addepalli Sai Kumar: No. It's not that the expansion will stop actually. You will have to understand that as the quarters progress, there is a lot of interest loading that keeps happening because of the long -term debt that is there in the company, okay? So , initial part of the financial year there will be a margin expansion , later there may not be a significant margin ex

pansion but it would be flat actually. It is not that it will reduce. There is an interest loading that happens because of the continuous completion . By September we will be drawing the complete this thing. That is the guidance that we are giving at this point of time.

Moderator: Thank you. We move to the next question from Deepanshu Bhatia with FinWizz. Please go ahead.
Deepanshu Bhatia: Yes. So I ha ve two questions. First thing is, for the fundraising, the round that we have planned, it is now around Rs. 816 crores. Are we confident that we are going to receive almost 98% to 99% of the payment? Or is there a risk some investors can back up at this moment?
Baddam K. Reddy: Something which is not in my hands, I cannot comment. It is only a matter of one week , you will get an answer , so please .
Deepanshu Bhatia: So the payment will be received by a week or two?
Addepalli Sai Kumar: No, no, I wanted to tell you that the promoter group has already put in money, okay. So that is the only thing I would like to give a comment as of now. How much participation would be there based on market conditions or something. As I speak to you, we are continuously interacting with the investors. Most of them are very positive , they are talking to us. Promoter , on the first day itself promoter has already put in his money.
Deepanshu Bhatia: Okay. And for you people also, in the next two weeks you will be able to like assess how many people are committed, right? You will be receiving the payment for the preferential at least ?
Addepalli Sai Kumar: Preferential and warrants, both, right? Both has to be done , yes.
Deepanshu Bhatia: In a week or two or it will take six months to receive the payment? That is what I want to understand.
Addepalli Sai Kumar: No, no, week or two only.

Baddam K. Reddy: Our participation is only one week or two weeks
Addepalli Sai Kumar: The six -month context during the speech was that in six months t he complete conversion of preferential will be complete , because the warrants is for the six months only . And for the preferential equity point of view, in six months the conversion will be complete. That was the context.
Deepanshu Bhatia: Okay. There is a conversion , okay. Got it. Sir, second question is about the order, I think you have already answered that but I want to know is there a possibility the huge order for the naval defense and those Rs. 1,000 crores type of orders that everybody is waiting for some time and I hope you are working your best towards that. Is there a possibility it can move beyond 2025, which we might be receiving in Q4 FY '26 or something or is it like we might get in three, four month s max?

Addepalli Sai Kumar: As the day stands, the information what we are getting it will not go beyond.
Baddam K. Reddy: The file is moving and , what is this thing, RFQ in June month we are expecting. From there it is only processing time.
Moderator: Thank you. We move to the question from Aman Vij from Astute Investment Management. Please go ahead.
Aman Vij: Good morning, sir. My first question is on IDL. So could you talk about what is the order book currently and where do we see this order book going i n the next one to two years?
Addepalli Sai Kumar: We are not in access to that presently. We have only entered in SP A agreement . Until the share transfer agreement is done, that information may not be access ed to us , and I cannot comment on that as of now.
Aman Vij: Sure. Next question is , if you can give an update on the ATGMs because there is lot of things happening on that side as well as I read couple of articles on Rudram , STAR and I think it should be LRGB also there is lot of trial happening. So do y ou expect any orders from these programs in FY '26 as well or mo

stly it will be in FY '27 and later? First if you can give update and then , please.
Baddam K. Reddy: LRGB, we are expecting orders , when it is some emergency orders also we are expecting. This LRGB DCPP partner , Adani is one of the DCPP partner. In fact , there was emergency enquiry also we have submitted and under emergency they are expecting some orders . And also bulk quantity orders also they are expecting before this financial year end.
Adde palli Sai Kumar: And also NAG, HELINA and other MPATGMs we have participation. There are different actuation system, fuses and other things like several systems are going in multiple ATGMs actually.
Baddam K. Reddy: Few hundred already enquiry has come alr eady. I think next one month 's time they will be releasing order.
Addepalli Sai Kumar: Which also includes Rudram and STAR.
Baddam K. Reddy: Yes.
Moderator: Thank you. Our next question comes from the line of Utkarsh Somaiya with Eiko Quantum Solutions. Please go ahead.
Utkarsh Somaiya: Thanks for the opportunity. Can you please give guidance on EBITDA margin, interest and appreciation for FY '26 and '27?

Addepalli Sai Kumar: Not presently on the EBITDA and the PAT levels , but on the t op line levels, I gave my this thing , 45% to 50% we will grow. But I can say , even in spite of the long -term this thing, our PAT levels will continue to grow . But how much expansion would be there on a PAT level , I think a better guidance I will start giving from H1 onwards.
Utkarsh Somaiya: No, I want EBITDA margin, interest cost and appreciation, these three.
Addepalli Sai Kumar: Both the guidance up to H1, I will not be able to give , because we are in a severe expansion mode. All put together on H1 period only I will be able to give more clarity on that . But I would like to say there will not be any dip in the EBITDA levels. There will be an improvement. But exact guidance on the numbers, H1 period I will be abl e to give with more clarity actually.
Utkarsh Somaiya: Okay . And with the acquisition you said your revenue will double in FY '26 approximately Rs. 1,100 -odd crores, am I right?
Addepalli Sai Kumar: Yes.
Utkarsh Somaiya: And from there you expect a 50% gro wth in FY '27 to Rs. 1,600 -odd crores ?

Addepalli Sai Kumar: Whatever growth guidance I am talking, I am talking only on a standalone basis.
Utkarsh Somaiya: No. You also mentioned you would double your revenue in FY '26 with the acquisition, right?
Addepal li Sai Kumar: That is what. The guidance which we gave 45% to 50% growth is on a standalone basis , but on a consolidated basis our revenues will double, that is what I said.
Utkarsh Somaiya: Yes. I understand that. So, what I am trying to understand is , in FY '27 when we look at the growth from the consolidated revenue we will do in FY '26, do we still take that as 50% or a lower number on a consolidated basis?
Addepalli Sai Kumar: No, no, you are not understanding actually. I am giving a guidance, I wil l continue to grow 45% to 50% in this financial year, next financial year on a standalone basis. Consolidated revenue, this financial year we are going to double the revenue, okay? Next financial year, unless the company comes into my hold, where I start f ully operating the company, I will not be able to give any guidance on that particular company. But keeping the way the trend with which the company is recording its sales for last three, four financial years, we foresee that we will double the revenues on a consolidated basis. But my standalone guidance of growing at a 45% to 50% CAGR , on a standalone basis it will continue this financial year and next financial year also, on a standalone basis.

Utkarsh Somaiya: Okay . And one last question if you don't min d, what will be your total share out

standing post
the dilution?
Addepalli Sai Kumar: Numbers are very tough to remember actually, you may record the question, I will answer it to you offline.
Moderator: Thank you, sir. Our next question comes from the line of Pratik Bagadia who's an investor. Please go ahead.
Pratik Bagadia: Yes. Hi, good morning, sir. Thanks for giving me this opportunity. Most of my questions have already been answered. So I just want to understand one thing that, last time when we spoke in the last quarter, our promoter pledge part was around 33% which now has moved to close to 48%. And as per my understanding, our company's guidance was that by FY '26 we will completely remove our promoter pledge part. So are we still sticking to that?
Baddam K. Reddy: No, the pledge percentage will come down, when the price was Rs. 55, Rs. 60 only we have pledged actually. I am expecting back the shares from various vendors. But the percentage will come down like anything. Maybe I am expecting some 15% will come down, next one week, 10 days' time.
Pratik Bagadia: Okay. No. But by FY '26, how can --
Addepalli Sai Kumar: 33% to 47% we have raised funds in our subsidiary for which the shares are pledged, for the acquisition the funds are raised for which th e shares are pledged , that's why you are able to see . But 33% to 47%, I do not think it has jumped. But exact thing, I have to check actually how much it is.
Baddam K. Reddy: And some of the accounts we are carefully also, we are closing also maybe in next one week, 10 days' time, we are closing some accounts also , in fact.
Pratik Bagadia: Fair enough, sir. So just a request, if you can share a press release whenever our process is done that this is the exact promoter pledge part that comes, it would be very helpful for all the investors.
Addepalli Sai Kumar: Press release is not mandated actually. As and when there is a release, it gets automatically updated in the exchange d. But you can keep track of it or you can get in touch offline through our Invest or Relationship email ID, we will quickly reply on to that.
Baddam K. Reddy: In fact, yesterday, somebody has released some 4 lakh, 5 lakh shares. That will come automatically, you can see on this thing.

Pratik Bagadia: No. I understand, sir. Sir, my last request is, I do not know if how much we are allowed to ask on specific on the programs because defense being a very sensitive area from the national security point of view. So I am not sure if all the participants are allowed to ask on programs like torpe does, missiles and submarines. So I just wanted to check on that if we are allowed to ask such questions or not.
Addepalli Sai Kumar: You can ask any question, there is no bar for it. To what extent we can reply, we will reply to it based on the sensitivit y of that particular program.
Moderator: Thank you. We move to the next question from Divysha Shah from Uchit Capital. Please go ahead.

Divysha Shah: Sir, my question is somehow conceptual question. Sir, we are becoming a Tier -1 for the defense and aerospace ecosystems. Sir, what will be the difference and what is the financial potential for becoming a Tier -1? And who are our two or three nearest competitors as a Tier -1 supplier? And sir, what is the total addressable market for Tier -1 supplier , total addressable Indian defense market for Tier-1? This is my first question, sir.
Addepalli Sai Kumar: Addressable Indian market , over a period of next few years is going to be few lakhs of crores, okay, which is very highly mind boggling kind of a figur e. But we would not like to say that we are trying to address that market. In a very subtle way we want to tell you that the size of the market is going to be so big that any single company will not be able to address that particular market. That is the re ason when the only mandate was ther

e with the PSUs , the
mandate, government has started believing that it has to be spread across the different private industries also who can raise the capital fast and who can able to take a decision fast and meet the inv entory requirements of the forces.
We are also getting into that particular specific league wherein we will be able to address that particular market. By acquiring explosives company, we have got into a very , very unique league as a company who can design the systems inside the weapon and who can integrate the weapon, which we have been doing for other programs in different, different applications. And also, we have an expertise in the ground support equipment side in terms of the launchers and the fire co ntrol system side.
Explosive becomes a very extremely added advantage because today in Indian ecosystem the explosive filling capabilit ies hardly any companies have , like Premier Solar and Munitions India Limited. There are other very small companies. But everyone has to understand, understanding the composition in terms of the warhead explosive and the propellant and the design capability for that, and in -house investing in terms of the development during the development is something very, very critical a nd not many players are doing, including the players which I told.

This is the league which we are entering. It's not a short -term goal for Apollo, it's a long -term goal for Apollo. By fostering this relationship with this IDL Explosives in terms of the acquisition, we would be aiming towards a league where we will manufacture the entire weapon , both for the country's requirement and also for the lot of exploding inventory pile -up requirements across the globe wherein we will be manufacturing not only a missile kind of a thing, short -term, medium -term rockets, hand -launched rockets, ATGMs, mortars and aerial drop-bombs. So , the portfolio size is actua lly going to increase in terms of the value chain , that is the rationale in acquiring this company.
Moderator: Thank you. Ladies and gentlemen, due to time constraint and other commitments, we hand the call to the management for closing comments . And for f urther questions, please mail to the Investor Relations team. Thank you.
Addepalli Sai Kumar: So thank you so much. I would like to sincerely thank all of our investors for their valuable participation in today's conference call. We are fully committed to continuously improving our performance as given in our guidance. And we also assure you that we will make every effort to achieve better results moving forward. Thank you once again, and we eagerly anticipate reconnecting with you for the Q1 update. Wishin g you all a wonderful day ahead. Jai Hind.
Moderator: Thank you.
Addepalli Sai Kumar: Thank you, Dolat Capital, for facilitating this earnings call. We truly appreciate the questions asked by all the investors and enlightening all other investors. I also u nderstand that many investors could not ask their queries because of the short period of time, but we would love to answer every question. And personally, and joined by me, our Managing Director, Mr. Karunakar Reddy, we both personally invite every investo r to come and visit our office and see the exact process and the criticality of which in developing a weapon system, an avionics system which are safety critical, and what makes it so critical to manufacture it. Every first system to every 100th or 1,000th system that is produced, every system has to undergo the qualification, which is a tedious, time -taking, critical process. Only if you see, you will be able to understand. You may take our time and visit our office, we would love to host and showcase the capability and overall process.
Baddam K. Reddy: You can also see upcoming facilities like Unit-2, Unit-3 also you can see.
Addepalli Sai Kumar

: Thank you so much.
Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

Date: 7th August, 2025

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Subject: Transcript of the Earnings Conference Call held on August 04, 2025 under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Pursuant to Regulation 30, read with Part A of Schedule III, and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and further to our intimation dated July 30, 2025, regarding schedule of the Earnings Conference Call with investors, we wish to inform you that the conference call was held on Monday, August 4, 2025.

Transcript of the above-mentioned Earnings Conference Call is attached herewith and can also be accessed at: https://apollo-micro.com/investors/
We request you to take the above on record.
Thanking You

Yours Faithfully

FOR APOLLO MICRO SYSTEMS LIMITED

RUKHYA PARVEEN
COMPANY SECRETARY & COMPLIANCE OFFICER

"Apollo Micro Systems Limited
Q1 FY '26 Earnings Conference Call"
August 04, 2025

MANAGEMENT : MR. BADDAM KARUNAKAR REDDY – MANAGING DIRECTOR – APOLLO MICRO SYSTEMS LIMITED
M R. SAI KUMAR – WHOLE-TIME DIRECTOR, OPERATIONS – APOLLO MICRO SYSTEMS LIMITED
M R. SUDARSHAN – CHIEF FINANCIAL OFFICER – APOLLO MICRO SYSTEMS LIMITED

MODERATOR : MR. MOHIT LOHIA – ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Apollo Microsystems Q1 FY26 Earnings Conference Call hosted by ICICI Securities Ltd. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mohit Lohia from ICICI Securities Ltd. Thank you and over to you, sir.
Mohit Lohia: Yes, hi, thank you, Vishaka, and good morning, everyone. Thank you for joining us today for Q1 FY26 call of Apollo Microsystems Ltd. First of all, I would like to thank management for providing us the opportunity to host the call.
From the management side, we have Mr. Baddam Karunakar Reddy, Managing Director, Mr. Sai Kumar, Whole-Time Director, Operations, and Mr. Sudarshan, Chief Financial Officer of the company. So, without further delay, I would now hand over the call to management for the opening remarks. Thank you and over to you, sir.
B. Karunakar Reddy: Sai, can you present? You are presenting? Yes. Good morning, my name is Karunakar Reddy. My Whole-Time Director, Sai Kumar, will be presenting about the company and the Q1 results. Please go ahead, Sai.
Sai Kumar: Thank you very much, sir. Good morning, everyone. My voice will be a little low. I was not keeping well, so a little low voice. I hope it will be audible. Once again, good morning. Thank you for being with us today. It's always a privilege to engage with our valued investors and provide updates on our performance, strategy, and future outlook. I am pleased to share that AMS has delivered yet another robust quarter, marked by consistent execution, operational discipline, and a strong commitment to indigenization and the Make in India initiative.
At first, you had the opportunity to review our financial results, the letter to shareholders, the press release, and investor presentation. This marks our first interaction for the fiscal year 2026. Let me first take you through our consolidated performance for the first quarter ended June 30, 2025.
I'm sorry, June 30, 2025. In Q1 FY26, we delivered another outstanding performance, building on the momentum from a landmark FY25. Our revenues surged by 46% Y-o-Y, INR234 crores, up from INR91 crores in Q1 FY25, a result of a robust order book, execution, and successful transition of multiple systems into the production phase.
Our EBITDA rose sharply by 83%, reaching INR41 crores in FY26 Q1. This translated into an EBITDA margin expansion of 600 basis points, improving from 25% in Q1 FY25% to 31% in Q1 FY26 due to cost efficiency. Our PAT more than doubled, registering 110% Y-o-Y increase to INR18 crores, compared to INR8 crores in the same quarter previous year.

Correspondingly, PAT margin improved by 400 basis points, Y-o-Y, and Q-o-Q, reaching 13% in Q1 FY26 from 9% in Q1 FY25. These results underscore our continued operational excellence and reaffirm the strength of our growth trajectory in the current financial year and beyond. We are pleased to begin with two significant milestones that mark our continued growth and global progress.
Firstly, we are proud to share with you that we have received a maiden export order valued at $13.37 million, worth around INR113.81 crores, which we have already informed the shareholders. For the development of advanced avionics system, which is one of the critical systems which will be for a dual use for both civil as well as for the military aircraft platforms. This is a very, very critical system, and we have been chosen as a development partner for it, and we are very proud about it and

proud for the country as well.
Additionally, ACUITE has reaffirmed our financial strength by upgrading our credit ratings by two notches. Our long-term rating now stands at ACUITE A-, the A2+, reflecting enhanced confidence in our fundamentals and future trajectory. I would now like to give you a few updates on some of the corporate actions.
Firstly, regarding the capex, the capex is ongoing very smoothly as per the schedule, and there are no delays. And the phase two of the capex, which we have been talking about, the phase two already has started. I would also like to touch base on the working capital cycle days, reaffirming on the working capital cycle days.

As we have been informing earlier, we expected to reduce it by 100 to 120 days from FY27 onwards once we fully, you know, take a full-fledged advantage of the capex that we commission upon, and also going to a lot of systems getting into the production phase.
I would also like to give you one more update that we have received in principle approval from the stock exchanges for listing of equity shares in preferential basis. Looking ahead, we expect revenue to grow at a CAGR of 45% to 50% over FY26 and 27, driven solely by the core business, excluding any contribution from the recent acquisition.
This growth is underpinned by a healthy order book and multiple products entering the production phase. Operating margins are projected to improve in the first half of FY26 due to favorable operating leverage and product mix. However, ongoing capex is expected to moderate margin expansion in the later half of FY26 and into FY27.
Our vision is bold, built on strong fundamentals, and an unwavering commitment to creating value for our stakeholders. Thank you for your continued trust and support. We now look forward to addressing your questions. Over to you, Mohit.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Shreyansh Gatani from HG Securities.
Shreyansh Gatani: I have a few questions. So firstly, if you could outline what is the order book as of June 30th or the latest order book, if you could give some guidance on that?

Sai Kumar: Please complete all your questions, so we'll answer all together.
Shreyansh Gatani: Okay. So the second question was in the QRSAM. So on the BEL Con-Call Day, they mentioned that they should be expecting an order sometime in February, March. So I wanted to understand is our contribution going to be specific to the BDL side of production or it's for both the agencies since it's going to be manufactured by BDL and BEL both? And on the MIGM order update, if you could give us some sense on when do we expect because the DAC did not have that on the agenda. So if there's any progress on that front. So those were the questions that I had.
Sai Kumar: Okay. The order book currently stands at around INR735 crores. And regarding the MIGM order update, I would like to say that the priorities keep shifting in certain things. The first thing is that there are some deep sea mine requirements for which a little more priority was there, because it will take some more time. That's the reason the DAC has already approved a deep sea, which is a moored mine actually. We have been updating to all our shareholders that we have already developed this particular system and we have offered DRDO for its validation actually.
Okay. So MIGM, as far as the MIGM is concerned, the process is that we will also have to sign a ToT agreement with DRDO. We have received a copy of that. We have signed and submitted to them. A formal handover takeover is something that's going to happen in next few weeks. I'll not be able to give you the exact dates and timings, unless we get a proper update from the DRDO.
But the things are on track. There is no further delay. Everything is going on track, bu

t only the
timing and the priority based on the various other geopolitical situations and the other things MOD is taking, but things are on track. We have -- because these things are on track, everything we are going very strategic. Okay. We have recently acquired a few more machineries for manufacturing of the full-fledged composites other than the existing machines that we already have for the shells of the MIGM.
And you also know that we have acquired IDL Explosives and the warhead of the MIGM will also be done by us. Strategically, we are aligning. Just last week itself, myself, MD and other senior colleagues, our other director technical and other senior colleagues, we were there with the DRDO, with the team.
They have discussed in a very detailed way, along with the BDL team also, reaffirming that the order is going to come and asked us to gear up with the complete line of manufacturing and make a setup, all the documentation. They are asking us to keep it ready. All that is happening at the background. Okay. More than that, I will not be able to update in this particular thing, exactly timing further and all. Regarding QRSAM, our MD will give you an update.
B. Karunakar Reddy: Yes. QRSAM, we have good participation. We have almost four subsystems, critical subsystems we have supplied during development stage. Once the order comes to, the main order coming to BEL, from BEL, missile order comes to BDL, from BDL subsequently placing order on us. We are making onboard computer and complete navigation system for QRSAM and also power distribution units also we are making for QRSAM. And also one of the critical actuation system

also we are supplying to this QRSAM. Yes, we are -- once BDL receives, we are also expecting good order from BDL regarding this QRSAM.
Shreyansh Gatani: Got it. So, do we typically wait until the order comes or do we try to like start prepping for the order before the order is actually in hand?
B. Karunakar Reddy: Yes. Before only the budgetary offer and all we are submitting. Once black and white order receives BDL, then maybe next, immediately after receiving, couple of days they will be releasing orders on the sub vendors. That is generally BDL is following. Anything -- I'm sure, I'm expecting before December, this QRSAM order we are expecting.
Shreyansh Gatani: Okay, so before December. So, BDL was expecting on February, March. So, I was wondering. Okay.
B. Karunakar Reddy: Recently, there was a meeting, defense secretary, scientific advisor, defense secretary as presented. Along with QRSAM, some other programs also, they're going to release orders, almost 2 lakhs worth of orders MOD is going to release. In fact, there was -- they invited industries, all the industries and they requested industries to enhance the facilities to get up the upcoming production orders.
As per the defense secretary, this thing, next six months' time, he said INR2 lakhs crores worth of orders MOD is releasing. Not only QRSAM, there is another program called Akash-NG. Also, the process is going on. Next DSE, if it goes well, next DSE, I'm expecting clearance. There are some other strategy programs. Things are not coming on news and all, but other programs, strategy programs also, our participation is there. That order also, in fact, we are expecting. Altogether, like by December, as per the defense secretary projection, before December, the orders will be reaching to public sector units.
Shreyansh Gatani: Got it. That's good to know. So just one follow up. So on the IDL that you mentioned, so if you could give on where we stand in terms of the gross margins and you had mentioned that there was certain consultants that were appointed to get things in order. So how's that progress going and if you could give a progress on the capex where we are in time to begin.
Moderator: Sorry to disturb you, sir. I wi

ll request you to return the queue for follow up questions as there are many participants waiting for the question.
Shreyansh Gatani: Okay.
B. Karunakar Reddy: Should I answer for this IDL listing? IDL acquisition formalities going on. I think most probably this week we'll be completing. And like we appointed some of the consultants of ex-DRDO senior most scientists. They are working on it. So we are also applying for the technology transfer from DRDO lab for using ammunition for the MIGM and a couple of other missile programs also, we want to make our own explosive that is going on. Why other things like can you?
Sai Kumar: Yes, sir. So financials point of view we'll not be able to tell their quarterly results are not out actually. So we will give a more updates on IDL once this share transfer process gets completed

in the next couple of days. Until then, I think it will be better for us to refrain because GOCL is also a listed entity. To this extent, I think it should be sufficient that it produces.
Shreyansh Gatani: Okay. Got it. Thank you.
Moderator: Thank you. The next question is from the line of Kripashankar from Mirae Asset Capital. Please go ahead.
Kripashankar: Hi, thank you for the opportunity. Congratulations for the good set of numbers. Sir, I just want to follow up on the gold mine. I want to understand what could be the overall opportunity for the gold mine and who all are the other competitors along with us working on this platform?
Sai Kumar: Kripashankar, we have been talking for several years. You know what we have been. We can tell what we cannot tell. There are DAC approval value you are already aware of. It’s a DRDO program primarily and presently we have a system which is already ready and we are working with it. It's too primitive on us to say that who will be the participants in that. It's in nascent stage as a system at our end is already readily available.
We have a fair chance and a better quantum of percentage out of the overall DAC approval, that is already been accorded is going to come to us is what we are expecting.
B. Karunakar Reddy: So far we are the only people established this moored mine technology. For other people, it is going to take time. If any other people want to come into this business, it is going to take a couple of years.
Kripashankar: And after the acquisition of IDL, so just want to understand the post-acquisition how much additional value we can create to the existing platform where we are currently. Like apart from electronic components, we are supplying them. What would be our total value we will increase for anything, product or anything platform, if you can highlight that?

Sai Kumar: No, I didn't get your question properly.
Kripashankar: So suppose if you are supplying 15% of electronic component to any missile program, then post-acquisition of IDL exclusive, what would be our value share to the particular platform will increase?
Sai Kumar: See you have to understand IDL is not -- we are just in the process of acquiring. We are going to build up certain capabilities in that in terms of the propulsion and the warheads. But the present opportunities that we already have, like the short range rockets that we are developing, the anti-submarine warheads, rockets we are developing, the mines and the limpet mines and the underwater mines and other various systems like aerial bombs and all what we are developing. These are our in-house products actually, full-fledged products.
Presently, we are contemplating as a backward integration using IDL and the capacities will be more than sufficient for this. How the approach towards getting into a full-fledged missile programs and their warheads and other things like is something that we are contemplating to do over next few quarters actually.

At this point of time, how much percentage it would be and all to quantify it would be very difficult unless we enter into any program. But whatever these programs which are named currently are all of them, we are presently out posting that going forward we will be doing in-house based on the existing facilities and the capabilities that we have building up.
Kripashankar: Okay. Got it. Thank you, sir. Thank you very much. That is all from my side.
Moderator: Thank you. The next question is from the line of Dipen Vakil from PhillipCapital. Please go ahead.
Dipen Vakil: Hi, thank you for the opportunity, sir. So my first question is on the lines of so you mentioned that we are expecting some INR2,00,000 crores worth of orders on the defense side of it in the next six months. So what would be our order pipeline from those INR2,00,000 crores, like which all platforms will be involved with, any clarity on that?
B. Karunakar Reddy: While you are telling our portion is, I am not supposed to disclose right now. But a good number of systems we are supplying to all these programs. I want to tell you one very important this thing is, if you consider all the missile programs, whatever DRDO is doing, 63% of electronics and electromechanical activities and all, we are doing.
And name any program, our participation is there in small or big way. Overall, there is a list. The director general missile program is prepared. And the other day they announced 63% of electronics and electromechanical things we are doing for all the missile programs.
Order value, I can't disclose right now. But once the program names they announced, then we are in a position to arrive at least. But it is not, as I told you, I am not supposed to disclose other values, please.
Moderator: Hello, Mr. Dipen, your voice is not audible. Hello.
Dipen Vakil: Hello, am I audible now?
Moderator: Yes, yes.
Dipen Vakil: Yes. So thank you for that clarification, sir. And recently some competitors have mentioned about some development orders on project Kusha and other DRDO missile systems that they have received. So are you involved in project Kusha here? Whether we have received any developmental orders on that? And what could be the quantum of that?
B. Karunakar Reddy: Quantum, I can't tell you. But Kusha, we are also doing a couple of onboard systems we are doing. And we are the software, we are the only people, only company delivered these systems.
No industry has delivered so far. It is under development. I think everything goes well. Next couple of months, the trial test file is they're planning DRDO.
But they're waiting for the other industries' supplies also. They're waiting for other subsystems.
There is a recent review. They said the next 3 months' time, they're going for test file.

Dipen Vakil: So according to you, what will be the timeline for project Kusha from the development stage to contract finalization after this?
B. Karunakar Reddy: Under 2 years' time DRDO actually wants to take. Kusha is not a single missile. Almost four variants are there. One of the variants, I think, shortly is coming for test file, there is a time period that MoD has fixed. In the next 2 years' time, the development activity is complete. And it has to go to production phase.
Dipen Vakil: Got it, sir. Thank you so much for answering my question.

Moderator: Thank you. The next question is from the line of Rupesh from IntelSense Capital. Please go ahead.
Rupesh: Yes. Thank you for the opportunity and congratulations on fantastic set of numbers. My first question, sir, is on the torpedo side of the things. If you can give some comprehensive update on all three programs, Varunastra, when can we expect order, if you are in a position to disclose the quantity. Then the second one is EHWT electronic heavyweight torpedo.
My understanding is this is linked wi

th submarine. And how many, I mean, if you're in a position to disclose how many, what is the total of EHWT government is looking to order? Are these linked with the new submarine deliveries or existing submarine is going to, order this EHWT? And third one is ALWT. ALWT, my understanding is it is anti-submarine torpedo. And then there are two versions. One is ship-launched and one is helicopter-launched. So ALWT, is there any acceleration post, Operations Sindoor? So if you can give some comprehensive update on all three programs with the nuances.
B. Karunakar Reddy: Yes, thank you. And I think earlier this thing also we have announced. EHWT program, we are the only people, EHWT complete homing system we are providing. EHWT goes into, it's three variants we are doing. One is 6.3 version, 6.0 version also we are doing. 6.0 goes into P-75 tank. Indian Government has signed a way with France. They will be like, in collaboration with Indian industries, they will be manufacturing submarines. And P-75, 6.0 heavyweight torpedo goes into P-75 submarine. EHWT, another version 6.2 and all goes into Arihant and Aridhaman and all nuclear submarines. They're going to configure.
And ALWT, you're talking about ALWT, has a good number of production is there. But I can't quote you what is the numbers and all. User trials, I think next couple of months, DRDO is going to complete the user trials first. Then after that, RFQ going to release by the Navy regarding ALWT program.
Varunastra already 63 number order already BDL received. And we are supplying your signal processing and other technologies we are supplying. Right now, negotiation is going on. Shortly, we are expecting orders from Varunastra. BDL also, they're expecting order anytime, but they started doing negotiations. Once they receive order, the BDL will be releasing our orders also.

Rupesh: Thank you for that clarification, sir. Another question. Second question is, sir, BDL recently received one order for ATGM. The system was not disclosed, but the order value was, I think, INR809 crores. Did we also get some component supply order from that?
B. Karunakar Reddy: We are doing one of the critical subsystems we are doing. MPATGM program also, yes, we are doing. I think only, they're not received order, they're yet to receive order…
Rupesh: Sorry, they announced one order to the exchanges, INR809 crores. What I want to know is, what is our contribution and the delivery timelines?
Sai Kumar: No, no, order received is order finalized and it has been given. For us, companies like us, the order received means they will come through all the documentation and other things like that is something which will take a lot of time. That's what MD is trying to tell.
Rupesh: What you're saying is, from BDL to Astra Micro, Apollo Micro, the order hasn't come?
B. Karunakar Reddy: Yes, yes. Maybe, before September, I'm expecting.
Rupesh: But what is the quantum, sir? I mean, out of this INR800 crores, 10%, 20%…
Moderator: Sorry to interrupt you, sir, I will…
B. Karunakar Reddy: All of you, I'm not able to give a value, please. As per the regulation, we are not supposed to disclose any values from, unless until I receive, I can't share with you any value, please.
Moderator: The next question is from the line of Malay Sameer from Breakthrough Stock Market. Please go ahead.
Malay Sameer: Sir, I would like to sort of highlight a communication from Ministry of Defense, where they have talked about two participants in MIGM orders. One is BDL and the other one is Apollo.
Now, I want to take this question ahead. Number one, you said within a couple of weeks this order will come in. Would you like to share with us the outside date within which you feel you could get this order?
The outside limit date, number one. And number two, what are your estimates within a range of the quantum of th

is order? And if that order comes in, will it necessarily be supplied by us and BDL and no other party, since we've been involved in the trial production?
Sai Kumar: Sir, I'll take the question, sir.
Malay Sameer: Yes.
Sai Kumar: So, I think, you know, you have wrongly understood. We have not said in a couple of weeks we are getting the order, actually. We told that there is a process. As a DCPP partner, there should

be a DOT, you know, documentation sharing that is happening and that is likely to be completed
in the next couple of weeks. That is what we have told. But not the order.

The order will take some more time. That's what I have explicitly clarified, you know, when we
were talking about the Moored Mine and MIGM both, actually. And the timing of that was the
first question, you know, which was asked by one of the panelists in the beginning.
Malay Sameer: So, the outcome of this order could be a year, two years, three years, a few months?
Sai Kumar: No, you meant to say in terms of execution or in terms of getting an order?
Malay Sameer: In terms of getting an order.
Sai Kumar: We are expecting we will get in this financial year.
Malay Sameer: Okay. And my second question was that since BDL and us are the two…
Moderator: Actually, your voice is breaking and there is some background noise from your line. Can you
please…
B. Karunakar Reddy: Yes, this one, no, like I want to clarify here. MIGM case, BDL and Apollo Microsystem
identified as a DCPP partner. So, like I think what we are hearing is 50% order goes to BDL,
50% order comes to Apollo Microsystem.
Malay Sameer: Okay. And, sir, do you have any estimate of the quantum that is coming to the electronics
segment?
Sai Kumar: There is nothing electronics. We are doing the complete mine, actually. Okay. We are doing the
complete mine. It's not about electronics.
B. Karunakar Reddy: This case is different. We are doing a complete weapon. We are doing, including electronics,
including explosive, this thing, including instrumentation, including the shell and all, everything
we are doing.
Malay Sameer: And, sir, what is the range of these orders in terms of size that you can estimate? I know you
would not have it right now. But what is your estimate about the size of these orders once they
start coming?
Sai Kumar: Both the companies may get close to anywhere around INR2,000 crores each.
Moderator: Thank you. The next question is from the line of Garvit Goyal from Nvest Analytics Advisory
LLP. Please go ahead.
Garvit Goyal: Good morning, sir, and congrats for a decent number. I have two questions. One is on the order
book. We were speaking about some orders coming from naval sector, right, and this emergency
procurement also. Can you put some color on this marine order status and particularly on the
emergency procurement? Did you see any big orders coming at industry level, particularly to
the private players like us in the areas of radars and electronic warfare? So, that is my first
question, sir.

Sai Kumar: Sir, I would like to restrict the discussion related to Apollo. Industry questions, you know, I think
this is an investor call. We can take it offline, sir, actually. But as far as the EP cases are
concerned, we are bidding for certain EP cases. As and when we get an opportunity, we will
update you. It being EP, they are very sensitive in nature. What specifically we are bidding, that
also we are not in a position to disclose.
Garvit Goyal: Got it, sir. Secondly, on this rare earth metal issue. So, are we facing any challenges in the terms
of execution from restrictions of this rare earth metal?
Sai Kumar: Not as of now. As and when something happens, we have to keep you posted. But, you know,
nothing, you know, that we can comment as of now. It's a very sensitive

topic. We are restrained
and restricted to talk anything on this particular, you know, supply chain related issues. A
specific directive has been given by our customers not to talk anything about it.
Moderator: The next question is from the line of Prateek as an Individual Investor. Please go ahead.
Prateek: Yes. Good morning, sir.
Management: Before Mr. Prateek speaks, I would like to sensitize the point that the entire world we are running
in different areas, conflicts are happening. All the services are on toes. The entire industry,
including Apollo, all of us are on toes. We are working hard 24/7 to meet the requirements
pushed by our customers like DRDO and defense PSUs like BDL, BEL, HAL, and other private
industry customers.
I request everyone not to ask any extremely sensitive questions because these con calls get
recorded and they are all published, actually, which will jeopardy the national security. I will
very conveniently say no to you, but if you refrain from asking any extremely sensitive question,

it would be good in the interest of the nation. So, that's my personal request on behalf of the company. So, Mr. Prateek, you may further go ahead and ask.
Prateek: Thanks a lot, sir, for giving me this opportunity and congratulations for a great set of numbers. Since most of the questions have already been answered, so I will not repeat them. My first question is with respect to the promoter pledge part. I think I have seen that the promoter pledge part has come down to 37% on. And the last time we spoke two quarters back, the roadmap was to bring it down to zero by FY '26. So, I just wanted to know if we are on track or any change in timelines?
Management: We are on track. We are on track.
Management: We are reducing. In fact, month after month, we are slowly reducing.
Prateek: Fantastic, sir. Thank you for answering that. My second question is with respect to the export side. So, just wanted to know if we have a dedicated team for export and what kind of market do we see from the export side?
Management: There is nothing like a dedicated team for export or anything. Primarily, the recent order which we have received is one of our development contracts which we have taken actually. But

generally, it is a full-fledged product. Getting a development contract in an export is not so very easy. It is a very challenging task to get into that ecosystem. We are in the process of getting into that mode also.
But several of our fully matured products like one such case is our mine and similarly, some of the aerial bombs and submarine bombs, the rockets like full-fledged systems are getting ready. And some kamikaze boats also are in the process of development actually. This year, we have earmarked close to INR1,000 million rupees for developing certain full-fledged products which will be qualified to get into an export -- for an export opportunity.
And some DOTs also we are applying to the DRDO for a complete weapon systems also. So, addressable market is there. That is what we are trying to reach in the years to go forward.
Prateek: So, just wanted to understand, do we apply for those orders on an individual basis or through DRDO and other organizations?
Management: No, DRDO will give license. We will have to take a permission from them before we give any kind of a proposition to anyone actually.
Moderator: The next question is from the line of Alok Shah from SRE.
Alok Shah: I just want to ask one question. You had mentioned around January that there was a collaboration between Apollo and Garden Reach Shipbuilders. So, can you throw some light about what it was and where are we in that collaboration?
Management: We are jointly developing some products along with GRSE. But exactly what product and what is the current status, we are not in a position to share in the public domain, sir.
Moderator: Sorry

to interrupt you, sir. There is an echo from your side and there is some background noise also. Hello. Hello?
Management: Yes, now it looks -- now it is okay.
Moderator: Yes, sir. The next question is from the line of Rupesh from Intel. Sir, again the voice is echoing.
Management: Vasant, is it from our conference room?
Management: No, no, no, no, nothing, nothing. Our conference has pin drop silence, you know.
Moderator: The next question is from the line of Rupesh from Intelsense Capital.
Rupesh: Yes, sir. Thank you for the opportunity again. Am I audible, sir?
Management: Yes.
Rupesh: Yes. So, sir, this mines order, my question is, is it linked to any sort of ship deliveries? I mean, is there like every ship should have X number of mines and then as and when the new ships get produced, the mines will be procured or, I don't know, some army, army or defense forces are

going to build a large inventory and then they will be distributed as and when needed. So I just wanted to understand this aspect of the mines order.
Management: Sir, it has nothing to do with any ship building. But rest of the inventory for what purpose, where and how, all that is very sensitive, cannot be disclosed in a public domain, sir. But it has nothing to do with any ship building.
Rupesh: Okay. So deliveries are not linked with any ship, mine deliveries are not any linked with the ship deliveries. That is the clarification you are giving.
Management: Yes.

Management: Independent of this thing. Not linked with any infrastructure, yes.
Rupesh: Okay, okay. And that's because, I think, I wanted to understand what is our contribution to BrahMos? Because I think that's such a big part of our defense arsenal. So what are we doing in that space? Any color, if you can.
Management: BrahMos, we had…
Management: BrahMos we are doing a couple of things we are doing. And BrahMos new version DRDO now going on. Because the old, this thing many of the technology is absoluted. And that end up, this thing is -- format is going on. We are already bagged recently one of the orders. And we are expecting more and more subsistence from BrahMos also, yes.
Rupesh: So can it become a significant growth driver for us over the next 2, 3 years?
Management: See, BrahMos is one of the programs. See, I was talking to one of the investors at the same. If you consider all the missile programs like BrahMos, so many programs, Agni program, MPATGM, Akash-NG, several programs, around 100 programs are there. We are doing almost 63% of electronics Apollo micro system is doing.
Rupesh: I mean, that part I understand, sir. But BrahMos, at least my understanding is, it is slightly higher priority or on fast track?
Management: BrahMos also going on along with the other programs. Right now, we are doing only one subsystem for BrahMos.
Management: Great sir. I will take the answer. Sir, now that Ops Sindoor has taken place. Okay. And BrahMos has been used. So that's what we are getting the information. It has taken a different stance altogether. But strategic weapons are as important, like, other many other programs for a different type of missions, different weapons are being used, sir, actually.
Something that we can cut a small Mirchi with a small knife, same knife we cannot use to cut a chicken, sir, actually, or a mutton. So for different missions, different requirement, different projects will be used, different weapons will be used. So there is nothing that any specific importance is there for any specific weapon or anything like that.

BrahMos is a cruise missile. It's an Indo-Russian mission missile, out of which, after several years, a lot of indigenization has been done and there is a contribution. Similarly, the earlier program, you know, we didn't have contribution. Now, now we st

arted taking contribution. We
started taking orders in it. Going forward, we are going to have.
How much it is going to anchor? It is not like that. We are a company who have a position in almost every missile program of the country. Every indigenous missile program of the country, we have participation. So the revenue drivers or revenue, this thing, there is nothing like that. The contributions keep coming.
It's not like based like, you can see several companies having a huge size of order book. It doesn't mean that it gets executed. They executed over a period of 5 years, 10 years like that. So there is nothing like a revenue drivers or growth or anything like that. Contribution will be coming from one part or the other part of different, different programs and multiple programs like that. BrahMos is one such program actually. We are part of much more sensitive and classified programs also.
Rupesh: Okay. Yes, just finally, if you can give some incremental update on Pinaka compared to our last conference call where are we on the Pinaka? There is no further. My last question.
Management: Hi. I answer about Pinaka. Pinaka, I think, two industries are doing that export order, I think. MIL and economic explosive. The complete guidance electronics, in fact, we are supplying to MIL and EEL also. There is a huge requirement coming up from our MOD also under the emergency procurement
Recently, MIL also, we had a meeting. I deployed a team of people in Nagpur. They had a meeting. So there is a projection from MIL and EEL also. Some good numbers. I think everything goes well. Next 3, 4 months' time, we are expecting that production order also from our MOD related things.
But other thing, like export audit, Armenia, everybody knows that Armenia audit, these two companies are doing. That audit already we received -- and partially we received and we are in the process of completing the execution also next 2, 3 month's time.
Moderator: The next question is from the line of KS Subramanya, as an individual investor, please go ahead.
KS Subramanya: Good morning, sir. First of all, I would like to congratulate and also as an Indian citizen, express my indebtedness to this company for everything that it is doing for the sake of our defense and making us secure. Now, I don't want to go into any details.
All I just want to know, is it possible to divulge that how much was the order intake in this quarter? That is my first question. And second thing, in the 3 months or maybe by December, any of the large ticket orders that the company has been expecting, is there a possibility of

getting, bagging any of these large ticket orders like INR500 crores or maybe more than that, INR1,000 crores orders? These are the two questions which I have. Thank you, sir.

Management: There's something under process going on. But figure, I'm sorry, I'm not able to give you a figure. But there's a good number of programs under process where things are going on. Like QRSAM we are doing. Once the QRSAM order, the bell rings, then we'll be knowing how much order we'll be receiving.
Before December, we are expecting, as per the recent meeting with the defense secretary and the DRDO, so before December, the bell and BDL are going to receive orders. Finally, BDL also plans to place orders on the vendors. Value and all, I think I'm not able to give you any value right now. So I don't need the value, but something large might come. That is a possibility. Just a possibility within three to six. By December, some large things might come. That's the thing, right?
Management: I want to share with you, this financial year is going to be, I think, a game changer year. Yes. Because various company has participated and I told you. Many programs our Pandit special is there. Underwater weapons are also participating there. Missile electronics are participatin

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there. Airborne is also participating there.
Management: So this thing we are expecting, this financial year, and everybody knows that we are going for major expansion. And Unit 3 also is getting ready. We are going to start occupying from October onwards. By December, we want to complete the operational listing. We want to start.
KS Subramanya: Okay. Okay. Thank you, sir. Thank you for your kind information.
Moderator: The next question is from the line of Hardik Rawat from IIFL Capital.
Rupesh: Thanks for the opportunity. Good morning, Badam sir, SAI sir, as well as and Sudarshan sir. My question is slightly long-ended in terms of, we are expecting further expansion OPMs in the first half or vis-a-vis the previous year, but then some moderation in the second half in FY '27. How do you expect, margins to move forward from there in FY'28 and beyond, considering that large part of our, systems will go into production and our facilities will also lastly, the utilization will also be improving by then. So what are your expectations in the slightly longer term?
Management: Hardik, FY '28 is very far. We are still in FY 'Y26 middle. It's like, I think we should not be talking 2 years ahead. But broadly as we have been giving you guidance several quarters, there will definitely be a margin expansion once the systems get into core production phase. And that is something that you will start partially seeing starting from this financial year and subsequently the next financial year and FY '28, I think it will be much better. I think, quantification at this point of time may not be very appropriate. But Yes, this is all I can tell you.
Rupesh: Got it, sir, That helps. My other question was with regards to the working capital cycle. Now you're expecting a reduction of 100 to 120 days, with improvements starting from FY '27. These savings will largely come from inventory days. Would that understanding be correct?
Management: Yes.
Moderator: The next question is from the line of Sunil Shah from SRE PMS.

Sunil Shah: Yes. Thanks for the opportunity. Sir, my question is to understand the entire different cycle. If you just go back 5 years, the entire concept of Atmanirbhar gave defense PSUs a huge kick up in their businesses. Majority of them grew by more than compounded 30%, the defense PSU. So now that order book is very high in defense PSU and they are outsourcing it to the private sector as well. So can we see a similar kind of a growth rate for private sector defense companies over the next, let's say, 3 to 5 years at a compounded 30% kind of an opportunity? Is that a safe directionalism? If you could just let me know on that, please.
Management: Broadly, I can say yes. Broadly, I can say yes. But much in detail, it is not appropriate to say because they are also our customers and directly me telling that private industry share is going to grow compared to PSU. That will not be a very appropriate way of putting forth, but you will -- there will be a consolidation in terms of the business working style, wherein the public sectors and the private sectors, I think, we foresee would jointly come forward in execution of the orders based on the capabilities. That is how you have to look forward.
Currently, I do not differentiate in terms of understanding that whose share of order book is growing, whether it's the PSU or a private. Whoever is able to deliver, they will have a better edge in the market. Obviously, PSUs will continue to have a better edge in the market because they are a MOD.

Sunil Shah: Yes. So…
B. Karunakar Reddy: One more thing I want to add here. Recently, like last three years, four years, as per the government policy, MOD wants to have one public sector unit, one private unit like that. Many of the programs…
Sunil Shah: Okay.
B. Karunakar Reddy: DcPP, case like they are considering one public

sector unit, one private unit like that.
Sunil Shah: Right. Sir, so appreciate that the opportunity landscape is so huge. Then in that context, would capacity or technological tie-ups or technological knowledge be an hindrance to really make this opportunity into numbers? Would technology or capacity be a hindrance or that is too much?
Sai Kumar: No. Both. It is not specifically, like, see, one is that you need to have a technology. The technology has to be proven on ground. Then once it's proven on ground, when there are numbers, you need to build up a capacity, both infra wise and a financial wise, okay. So these are all hand-in-hand, they have to go hand in glove.
Moderator: The next question is from the line of Kishan Bang, an investor.
Kishan Bang: Yes. Most of the questions have been answered. I just wanted to understand the order execution for the coming years.
Sai Kumar: That's a very broad question, actually. Can we take offline?
Kishan Bang: Sure. Sure. Sure.

Moderator: The next question is from the line of KS Subramanyam, an investor. Please go ahead.
KS Subramanyam: Okay. Sir once more, I would like to ask one simple question, which is that -- is there any possibility of the company going into a manufacturer of drones? That is one of the questions. And the offline thing, which you're saying that contact offline, if you have any questions, can you please elaborate a little bit on that for individual investors like me?
B. Karunakar Reddy: You're going to reply, Sai?
Sai Kumar: Sir, I missed the question, sir. I missed the question somehow.
KS Subramanyam: Okay. I'll -- hello.
Sai Kumar: Gentleman is asking.
KS Subramanyam: Can I say, okay, the thing…
Sai Kumar: Can you repeat the question.
KS Subramanyam: Yes. Surely. Surely. The thing is that, is there any opportunity of the company going into drone manufacturer in the future or maybe in the near future -- distant future? That is my first question. And second thing is regarding contacting you offline and stuff like that for individual investors like me. Can you please elaborate a little bit how we can contact the company and to get some information or something like that?
Sai Kumar: Investor Relation email ID and mobile number are published in the IP. That…
KS Subramanyam: Okay.
Sai Kumar: Number is only for the purpose of WhatsApp, okay. You can just put a message, you want any specific call to be taken, we can -- the Investor Relation team will arrange a Zoom call or something like that, okay. That's point number one. Or if you have any queries…
KS Subramanyam: Okay.
Sai Kumar: You can send an email ID. Regarding drones, yes, we are developing certain delivery cargo drones. It's in offing actually.
KS Subramanyam: Okay.
Sai Kumar: And we have already given a glimpse of it during the recent Aero India show. And the final model also we will release once our internal trials are complete.
KS Subramanyam: Okay. And sir, any defense -- the drones for the defense sector, anything that you are trying to develop or thinking about…
Sai Kumar: It's for the defense only, sir. We are not talking…
KS Subramanyam: Okay. Okay.

Sai Kumar: About commercial drones. It's a defense drone.
KS Subramanyam: Okay. Thank you for the clarification.
Moderator: The next question is from the line of Subodh, a retail investor.
Subodh: Sir, my question is regarding the DRDO's transfer of technology. So you mentioned that you, Apollo and BDL were the DcPP for MIGM. But I can see that on DRDO's website, the MIGM technology is available for other companies through the ToT process. So I just wanted to

understand, like won't the DcPP -- I wasn't under the impression that DcPP partners have sole access to the technology. So...
Sai Kumar: No, no, no, no. Where did you see? Where did y

ou see?
Subodh: Sir, that -- I was under the impression. I don't know. I don't exactly remember where I saw that. But logically speaking, a company which invests in R&D and spends a lot of time on it and after the completion of the project, if DRDO awards DcPP to other companies also, then -- I mean, that's a bit unfair, isn't it?
Sai Kumar: No. But I think, that's a question. That's a question we are addressing internally with DRDO. I think in the investor forum, we are not able to talk about it and it will be unfair on our part to talk. It's an issue which is being addressed by DRDO. Okay, that's point one. But when you were asking, you were asking a question differently, actually, about you saw something on BDL website or something like that.
Subodh: Sir, on DRDO website, there are a list of technology transfers available. If you just Google MIGM, DRDO, ToT, you will get a link on the DRDO website and there DRDO mentions that companies can send letter to NSTL with supporting documents.
Sai Kumar: See, normally what happens, anything, whatever government does, it puts it -- it puts on a website, actually, okay. But there are licenses that are fixed to it. There are only two licenses, only two people developed it, okay. There is no such larger quantities, like, 1000 of -- 10,000 of numbers production that is required, which mandates it for multiple partners. I think, please be rest assured, there are only presently two partners who have developed and two partners are yet to enjoy the business. It's a long way to go. Okay, sir.
B. Karunakar Reddy: Sai one thing. One more thing, Sai.
Sai Kumar: Yes.
B. Karunakar Reddy: MIGM case is different. MIGM case, no, spec to design, actually. We have complete development, we have done, actually. So, we are the only people holding the technology, like Apollo Micro Systems and BDL. There are other cases, like DRDO is developing the complete design and all, whereas other industries also participating in subsystems and all. That technology, they can give it to a number of people, but MIGM case is something different, actually. All the technology developed by these two companies only, Apollo Micro Systems and BDL.

Subodh: Okay, sir. Understood.
Moderator: The next question is from the line of Ashok Shah from Eklavya.
Ashok Shah: Sir, we are taking technology from the DRDO. So, do they charge any royalty or are there any condition that after a few years, they will be charging some royalty, because all the research are done by them and we observe the research and technical details also?
B. Karunakar Reddy: See, here it is like this. If already DRDO developed technology, if anybody is looking for the ToT, then they are charging. But our role, if you see, most of the cases, we are the people, based on DRDO specifications, we are doing development. In many of the cases, we are not paying any royalty. But the other thing -- other case is like DRDO is available technology there. Somebody wants to take the ToT. In that case, we have to pay the royalty.
Sai Kumar: Not royalty, sir. Sir, not royalty. Licensing fee. Licensing process.
B. Karunakar Reddy: We have developed. We are not going to pay any royalty.
Ashok Shah: Okay. And secondly, sir, we have raised the fund. So, does the fund has been utilized fully or it will take time still to utilize fully? Because the construction and project starting, it takes time?
Sai Kumar: We have received only 50% of the amount mobilized.
Ashok Shah: Okay.
Sai Kumar: Slowly, we are utilizing. But the purpose part is mentioned in the objects of the issue.
Ashok Shah: So, by what time it will be utilized? So, because the investor, if you demand, they will be paying partly paid-up share and fully paid-up share or something like that.
Sai Kumar: Whatever we have already issued is fully paid-up share plus warrants, 50% of the warrant

s. Out of the warrants amount of INR400 plus crores, INR100 crores we have received another INR325 crores we are yet to receive within the next four months.
Ashok Shah: So, all the fund around INR400 crores will be utilized for the capex or it will be for the working capital also?
Sai Kumar: It will not be for capex. It is only for working capital requirement.
Ashok Shah: So, generally?
Sai Kumar: For that, a lot of working capital requirement will be there. It will be utilized for working capital, most of it.

Ashok Shah: Okay. Sir, one last question from my side. Sir, from the start of the raw material purchase and completing the -- whatever the production we do and then we do the billing. Sir, what is that time?
Sai Kumar: Time?

Ashok Shah: Time. So, because of whatever order we -- sir, we have to purchase the raw material and we have to execute order...
Sai Kumar: Correct. I got your question.
Ashok Shah: Three months, six months and then we have to -- then we prepare the bill.
Sai Kumar: Sir, I got your question. It depends on the type of the system. We are not a product company. There are different types of systems that we develop for different type of programs for different verticals. Maybe for a missile application, underwater application. But broadly, for your understanding, it ranges anywhere between four months, five months up to 4 months to 15 months like that depending upon the type of the project.
Ashok Shah: 14 months to 15 months.
Sai Kumar: Yes. Yes. As in when you are -- as -- whenever you are in Hyderabad, sir, you can come to our office. We'll explain you how the process would be by prior taking a time from the Investor Relation team. We'll tell you how the process and all will be there, okay.
Ashok Shah: And, sir, last question. Sir…
Moderator: Sorry to interrupt you sir.
Ashok Shah: Sir, it's an important question, sir.
Moderator: Okay.
Ashok Shah: If the GRSE receives the fund when the order is received, GRSE, Mazagon Dock. So, do we receive any fund for the 10%?
Sai Kumar: Public sector companies, they are government in nature, sir. That is totally different. We are a private company. No private company will get any advance fund. But in case whenever orders are received directly from the services, like maybe from Army, Air Force or maybe, we are likely to get some advance payments. As and when there is something like that, we'll quickly post it. But most of the programs that we are presently doing are with the DRDO and defense PSUs and other private customers. And there are no advance payments currently that we are having.
Moderator: The next question is from the line of Shreyansh Gatani from HG Security.
Shreyansh Gatani: So, my question was on the RF business that you are looking to build. So, trying to understand like what kind of revenues are we looking at that on that front and looking at some acquisitions in that space. If you could give some progress, give some updates on that side of the business?
Sai Kumar: Yes, RF, you -- we have started building up our own RF capabilities and we were also contemplating for an acquisition of a RF company. But in the process, we got this IDL acquisition. We first want to consolidate our position in terms of completing this transaction. Then in a further expansion on that particular area, as and when we move forward, we will keep you posted. But yes, we are going to go strong on RF.

There are other some sensitive technologies in RF that we will be developing, starting to develop right from this financial year. What exactly we will be developing and all, I will not be able to divulge at this point of time. But you can keep us in track. We'll keep posted to all the investors as and when things are progressing.
Shreyansh Gatani: Got it, sir. At

this point, we don't have RF contributing much to our revenue.
Moderator: Sorry to interrupt you, sir. I will request you to join the question queue for further questions. The next question is from the line of Vinod Bangera from Carvin Capital.
Vinod Bangera: Yes. Thanks for taking my call and congratulations for a good set of numbers. Sai, sir, what is the revenue break between products and current costs? And what are – what is it likely to be in FY ‘27 given that the order book inflow is expected to increase going forward?
Sai Kumar: Vinod, we have never given such breakup. But you can clearly estimate that there is a little improvement in the production percentage in this quarter. That's why the margins have got improved. So you have to actually make estimates like that, yes.
Moderator: Ladies and gentlemen, we will take that as the last question. I now hand the conference over to management for closing comments.
B. Karunakar Reddy: Sai.
Sai Kumar: Thank you so much. Yes. Yes. Thank you so much. We extend our sincere gratitude to the

Ministry of Defense and the Government of India for their continued trust in the Indian defense manufacturing ecosystem in which Apollo Micro Systems plays a vital role for all the indigenous weapon programs.
The confidence reflected through substantial investments is a strong endorsement of our nation's industrial capabilities and innovation potential, which we have already seen throughout Sindoor recently. We remain steadfast on our commitment in delivering advanced solutions that bolster operational readiness and strengthen national security. It is an honor to serve the nation and we stand fully prepared to support our armed forces under all circumstances.
I extend my heartfelt thanks to all our esteemed investors and analysts for being with us today. Your continued trust and partnership mean the world to us. Your participation and feedback are invaluable to us. We remain committed to enhancing our performance and driving sustainable growth. We look forward to welcoming you to our facilities where you will have the opportunity to observe our operations and initiatives at the ground level.
Should you have any further questions or wish to share your thoughts, please do not hesitate to contact our Investor Relations team or write to us at investors.relations@apollo-micro.com
Thank you once again for your time and trust. We look forward to reconnecting with you during our Q2 update. Wishing you all a great day ahead. Jai Hind. Jai Bharat.

Thank you ICICI for facilitating this and on behalf of the company and joined by me, our Managing Director, Mr. Karunakar Reddy; our CFO, Mr. Sudarshan and all our secretarial team. Thank ICICI for facilitating this wonderful conference.
Moderator: Ladies and gentlemen, on behalf of ICICI Securities Limited and Apollo Micro Systems that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

Date: 8th August, 2025

BSE Limited,
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Dalal Street, Mumbai – 400 001
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Listing Department
Exchange Plaza, C-1, Block G,
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Subject: Transcript of the Earnings Conference Call held on November 05, 2025 under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Pursuant to Regulation 30, read with Part A of Schedule III, and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and further to our intimation dated October 29, 2025, regarding schedule of the Earnings Conference Call with investors, we wish to inform you that the conference call was held on Wednesday, November 5, 2025.

Transcript of the above-mentioned Earnings Conference Call is attached herewith and can also be accessed at: https://apollo-micro.com
We request you to take the above on record.
Thanking You

Yours Faithfully

FOR APOLLO MICRO SYSTEMS LIMITED

BADDAM KARUNAKAR REDDY
MANAGING DIRECTOR
DIN: 00790139

"Apollo Micro Systems Limited
Q2 FY '26 Earnings Conference Call"
November 05, 2025

MANAGEMENT : MR. BADDAM KARUNAKAR REDDY – MANAGING DIRECTOR – APOLLO MICRO SYSTEMS LIMITED
M R. ADDEPALLI SAI KRISHNA KUMAR – WHOLE-TIME DIRECTOR, OPERATIONS – APOLLO MICRO SYSTEMS LIMITED
M R. SUDARSHAN CHILUVERU – CHIEF FINANCIAL OFFICER – APOLLO MICRO SYSTEMS LIMITED

MODERATOR : MR. MOHIT LOHIA – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Apollo Micro Systems Q2 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Mr. Mohit Lohia from ICICI Securities. Thank you and over to you, sir.
Mohit Lohia: Yes, hi. Good morning, everyone. Thank you for joining us today for Q2 and H1 FY26 Earnings Call of Apollo Micro Systems Limited. First of all, I would like to thank management for providing us the opportunity to host this call. From the management side, we have Mr. Baddam Karunakar Reddy, Managing Director, Mr. Addepalli Sai Krishna Kumar, Whole-Time Director Operations, Mr. Sudarshan Chiluveru, Chief Financial Officer of the company. So without further delay, I would now hand over the call to management for the opening remarks. Thank you and over to you, sir.
Management: Thank you so much. Good morning, everyone. Happy Guru Purnima to all of you. Thank you for being with us today. It's always a privilege to engage with our valued investors and provide updates on our performance strategy and future outlook. I am pleased to share that we have delivered our highest ever quarterly revenue and PAT marked by consistent execution, operational discipline and a strong commitment to indigenization and the Make in India initiative.
I trust you have had the opportunity to review our financial results, letter to shareholders and press release and investor presentation. This marks our second interaction for the fiscal year 2026. Let me first take you through our consolidated performance for half yearly and second quarter ended September 30th 2025.
H1 FY26 marked another period of strong growth and operational excellence. As we continue to build on the remarkable momentum achieved in FY25 revenue grew by 42% semi-annually to INR359 crores up from INR250 crores in H2 FY25 which is almost in line with the kind of a guidance that we have been giving. Supported by steady execution of our healthy order book and the seamless ramp-up of several products into serial production EBITDA stood at INR100 crores reflecting a robust 81% semi-annual increase.
EBITDA margin also expanded by 600 basis points to 28% in H1 FY26 compared to 22% in H2 FY25. Underscoring our sustained focus on the productivity improvement and cost optimization.
Profit after tax rose sharply by 97% year-on-year basis to 48 crores as against INR24 crores in H2 FY25.
The PAT margin improved by 330 basis points reaching 13.3% in H1 FY26 driven by enhanced operational efficiency and a more favorable product mix. In Q2 FY26 we delivered another outstanding performance continuing on the momentum from a landmark FY25 revenue surged by 69% quarter-on-quarter basis to INR225 crores up from 134 crores in Q1 FY26. A result of

our robust order book execution and successful transition of multiple products into the production phase.
Our EBITDA rose sharply by 45% reaching INR59 crores in Q2 FY26. PAT registered 70% quarter-on-quarter increase to INR30 crores compared to INR18 crores in the previous quarter.
These results underscore our continued operational excellence and reaffirm the strength of our growth trajectory into FY26 and beyond.
We are pleased to begin with two significant milestones that marked our continued growth and global progress. First, updating on the corporate actions. On the capex side, Unit 3 Phase 1 Single structure is complete.
Phase 2 civil structure has already started and partial production in the phase 1 has already started and the full-fledged production will

be starting from end of this financial year or probably by
Q1 next financial year. As far as the exposition point of view is concerned, we have already paid INR107 crores for acquiring 100% equity of Ideal Explosives Limited which we have already informed to all our investors. Looking ahead, we expect revenue to grow at a CAGR of 45% to 50% over FY26 and FY27 driven solely by the core business excluding any contributions from the recent acquisition.
This growth is underpinned by a healthy order book and multiple products entering the production phase one after the other. We have evolved from being a subsystem and systems

manufacturer to establishing ourselves as a full-fledged weapons manufacturer, a significant milestone in our journey of growth and technological excellence.
Building on 40 years of technological excellence, we are poised to evolve into a multidisciplinary defense system powerhouse to drive next-generation innovation. Our vision is bold, built on strong fundamentals and an unwavering commitment to creating value for our stakeholders. Thank you for your continued trust and support. We now look forward to addressing your questions.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Nilabja Dey from Ashmore Research. Please go ahead.
Nilabja Dey: Sir, good morning and congratulations on an excellent set of numbers. I think you are on your trajectory of maintaining the guidance. Sir, actually my fundamental question like in case I go through your presentations very carefully, you have a strong dependence on the domestic sector, everything, but how you are thinking of managing or catching up the whole defense pain happening specifically in Europe and what about the strategic tie-up because some of your competitions are already doing the same.
They are connecting with some of Europe's key defense manufacturing companies. So, because there is a domestic cyclicality of these orders, we know how difficult sometimes it becomes. Can you throw some light on how you are going to tackle that exports and tying strategic tie-ups and building more international footprint?

Management: Yes, thank you so much and for keenly understanding what we are doing. So, primarily, we have been an out-and-out technology development company. I mean, it's a core technology development rather than a system integration company or a lead integration company right from the beginning actually.
Of late, we have been working for last 40 years with DRDO programs primarily and as we have already told you several times that we have presence in every indigenous missile program of DRDO. Last few years, as you rightly pointed out, last few years we have started trying to look forward to making a complete system or a platform by ourselves.
So, our journey on this particular direction has started a bit late compared to other lead integrators who are actually getting a tie-up with other companies and doing a system integrating job. We caught up a little bit late, but carried by a huge technological experience that we have and right from a system and a subsystem level, we have recently started entering a strategic tie-up with different companies which we have recently also announced that we have entered in partnership with an American company for developing a rocket motor where the complete Grad rocket is being developed by us.
We already have few interest coming up in different countries. We also have been communicating with you that we have certain technologies which are already matured in the naval domain, which we are talking to different companies from different countries. We have submitted our proposals.
We also submitted the request to MOD to give us a clearance for export of such technologies. These being a very sensitive system, it will take some time. But

the interest is very long and
multiple due diligence are already taken up by these service companies from different countries, particularly from Middle East and from the European region.
Going forward, you will see that we will be able to clinch a big-ticket project for these technologies. I wish you would appreciate the point that these will be 100% indigenous technologies rather than just being a lead integration system export.
Management: Our participation is there. Domestic projects, number of programs, our participation is there. With our present facility, we are not able to take up even foreign orders. I think we have already announced one project, a good project from the UK. We are holding one order. It is the INR113 crores order we are holding and we are expecting more and more orders from Saudi also. We are expecting some orders and Europe side also we are expecting some orders.
It is going on. Unit 3 is ready then a number of people visited already there. In fact, we are time to time, we are updating overseas companies. Once our facility is ready, they want to come and audit our facility and they want to have a MOU with us.
Like last time, a big team has visited, almost six or one people team has visited the present facility. They visited, they are so happy and they have even visited our upcoming units also. Once we are fully operational, then we are going to enter into a MOU.
Nilabja Dey: Surely, sir. We wish you all the best. Thank you.

Moderator: Thank you. The next question is from the line of Divyesh Shah from Uchit Capital. Please go ahead.
Divyesh Shah: Hello. Sir, first of all, congratulations for very good results. And, sir, my two, three questions regarding growth of our company. Since we have completed the corporate action about acquisitions of IDL, IDL is now 100% subsidiary of our company. Sir, can you please elaborate on what will be our strategy for IDL for a short term for one year and for a long term of three years?
Where do you see the IDL after three years because as a Layman Investor, as far as the explosive is concerned, we see a huge opportunity and only listed entity for a listed entity is solar industry. So, we tend to compare IDL with the solar industry. So, what is management view about IDL? So, can you elaborate about the IDL strategy? Then I will come up with next question, sir, please?
Management: Thank you, Divyesh. So, very rightful question. But I will be able to give you a very short glimpse, not a very detailed one at this point of time, because we are evolving a much detailed presentation on it. We will come back to investors and do it subsequently. But broadly, I will tell you, which we have already given a rational for acquiring this company. I would not like to take any of my other companies name.
They are all one of my big customers as well and also a competition to some extent. So, the point here is that the acquisition of IDL is both backward as well as a forward integration for us. That's point number one. So, several of the systems that have already got matured, we want an explosive chain also to be available with us. That's how we have started looking for an explosive company for acquisition. That's how we have acquired IDL Explosive.
So, point number two is that individually, as an explosive company, we would be moving towards a direction of manufacturing critical high energy explosives in IDL Explosive and also creating a multiple filling lines for different calibers of artillery as well as for the weapons actually.
So, for which we have already started preparing proposals for it and we have already negotiating with some of the manufacturers for acquiring the machinery. All such aspects of it, we have already started taking. You will get to hear a lot of actions happening on IDL Explosives.
I think in the next one big 10 days onwards, we will keep a

nnouncing on it. We are entering into
some strategic relationship with different companies, both domestic as well as international, along with the existing capital requirement that Apollo has. So, this is a glimpse of what we wanted to share with you as of now. More in detail, we will keep you posted. But broadly, I can tell largely to all investors that a lot of initiatives are being planned. Specific consultants are appointed for complete overhaul of IDL Explosives. You will get to hear from time to time, sir.
Divyesh Shah: But sir, my gut feeling is that IDL can be as good as or bigger than Apollo itself. So, is it a possibility after three years?
Management: On the Guru Purnima day, why should I say no, sir?

Divyesh Shah: That's a positive answer.
Management: We are thinking big, we are aiming big, that much we can say.
Divyesh Shah: And sir, my second question is regarding our growth prospects, capex for Unit 3. I think first phase is just operational, started. And I think it will be over by March 26 or first quarter, as you know in your opening remarks. So, generally, last year you have projected a growth of about 45% to 50% for Apollo. So, after Unit 3 starts first phase, so what is your expectations for growth for financial year ‘27, generally?
Management: If you compare the present facility and once Unit 3 is ready, we are enhancing our capacity to eight times. Present this thing to, once our Unit 3 is ready, it is almost eight times enhancing the production capacity. And same time, a lot of domestic, this thing also, government is one by one they are cleaning.
Maybe before this financial year, we are expecting good orders from our MOD itself. And also, once Unit 3 is ready, we are also going to sign MY with some of the overseas companies also. Good growth will be there once we start Unit 3.
Divyesh Shah: And, sir, my last question about the EBITDA margin. I think in the previous conference call, you have just cautioned us that the EBITDA margin in second quarter will be a little bit less. And this quarter, EBITDA margin is about 26.3%. So, can we consider this EBITDA margin as the lowest or still we can go lower?
Management: Sir, we have been telling constantly that there will be a revenue growth, but sometimes in some quarters, some of the projects will get stayed up faster. Some of the projects will get slowed

down based on the end customer requirement, where one common customer, we are handling multiple projects.
So, depending upon the product mix, certain margin levels, small here and there, small variation will be there. But the momentum is definitely not going to be disappointing for any one of us, actually. That is how I know broadly with the kind of the current order book that we have. That is all I can comment as of now.
Divyesh Shah: Okay, sir. Thank you and all the best, sir. Thank you.
Moderator: Thank you. The next question is from the line of Rupesh from Long Equity Partners. Please go ahead.
Rupesh: Hello, sir. Thank you for the opportunity and congratulations on fantastic results. I have two questions. First question, sir, is recently we won a ToT for Mechatronic Fuse for Grenades. So, can you just give some color around the opportunity size, when will the ToT be completed, when can we see some trial orders, commercial orders, some color around that?
And then the second question is on the naval component. So, I think we are present in all torpedo programs, ALWT, LWT, Varunastra and I think some of the orders I think are there. So, if you can, for each of the three programs, if you can tell where we are, how many and what is the

opportunity size, when will we receive the order, when will it be executed? So, these are the two questions.
Management: Sir, size at this point of time, we are restricted to give you the si

ze of the opportunity, but ALWT
AON approval has already come, which is there in the market last couple of weeks back, Ministry of Defense already given. You will also see a good order flowing for EHWT to Bharat Dynamics Limited from Indian Navy and we having a significant participation in the program, we are also going to get.
Most likely that this EHWT order, most likely we may get within March, is what we are getting to know as of now. So, ALWT AON has already released, once the tender is out, BDL is a partner for it and our share of business, we will be getting in that as well, sir.
Rupesh: So, Varunastra and then the Mechatronic Fuse.
Management: Mechatronic Fuse, recently we have taken a mechatronic, so basically a mechanical fuse. We have developed few mechanical and mechanical plus electronic fuses indigenously. But for certain applications, instead of redeveloping, we have taken a ToT from DRDO, which is applicable for certain motor applications, that is the thing.
The opportunity size is very big, it is a recent ToT. So, we will be absorbing the technology by developing a few prototypes in next one or two quarters and get it validated and something. I think in next one year down the line, I think we will start taking the opportunities. Already we have some interest coming up from various customers, that is how this fuse, ToT, we have started taking from DRDO.
Rupesh: Okay, okay, sir. And final question, if I may squeeze in, sir. BrahMos, I think, is coming up with ER extended range and BrahMos engine. So, do we have some presence in that? And at least to me, it seems like in emergency procurement, that is one of the big programs. So, can you just comment on it?
Management: BrahMos, the new version, our participation is that, one of the subsystems already we received orders, we are working on it. And other things, we have participated and they are going to decide any time, maybe next one month’s time. Now, we are also expecting couple of projects from BrahMos also. One project already received.
Rupesh: Sorry, go ahead, sir.
Management: BrahMos, one project already we are doing. And if I remember correct, some five to six projects already we have participated, technical evaluation is going on. Once that completes, they are going to decide actually. We are expecting more and more orders from BrahMos next two, three months' time.
Rupesh: What is the outlet at the program level, at ministry level? Do you have some number?
Management: I think that's not appropriate to share. We have certain critical information, but I think it's not appropriate to share.

Rupesh: Okay. Okay, sir. I'll come back in the queue for more questions.
Moderator: Thank you. The next question is from the line of Pratik Bagadia who is an individual investor. Please go ahead.

Pratik Bagadia: Yes, hi. Good morning, sir. First of all, congratulations for a great set of numbers. And thanks
for giving me this opportunity. So I have a few questions. First, I just wanted to talk about the
promoter pledge part. So, as I can see in the September quarter, it has reduced to almost 35%.
So just wanted to know if we are on track of the earlier guidance of getting it to zero by FY ‘26.
Are we on track on that?
Management: Yes, like if you see, we are reducing. I think next one week time, we are going to see, you know,
I think every month we are reducing something. Yes, definitely. Next six months' time, I'm going
to close all the pledge part. That's what I'm planning.
Pratik Bagadia: Yes, okay. Thanks a lot for that answer. My second part I wanted to know is on the receivable
side. So if we see our receivable is almost INR360 crores, that is close to Q1 and Q2 revenue.
So can you throw some light on it as in, is it going to be the same going forward as well?
Management: So this financial year end, you will see a significant reduction in the receivab

les, actually. Some
of the long gestation projects which the receivable, this thing is over. It has almost come to a
final phases, actually. I think, Q3 to some extent visibility will be there. Q4 significant reduction
will be there.
Pratik Bagadia: So I assume that going forward from FY ‘27 onwards, receivables should be on the lower side.
Is my understanding correct?
Management: Yes, let us say we are doing more production orders. The receivable will, this thing will reduce.
A production item, line of production will be there. Once we supply immediately within 30 day’s
time, we will be getting the same. If it is R&D development plus production order, it takes more
time for the releasing acceptance and releasing payment.
Pratik Bagadia: Okay, okay. And so my final question is on the export side. So last time when we spoke about
this, I think my understanding was that we do not directly apply for export orders, but via
organizations like DRDO. So, I just wanted to understand what kind of opportunity do we see
in the export side, the process, and probably in the next one or two years, what would be the
revenue split between domestic and exports, if you can throw some light on this?
Management: See, primarily, there are two aspects of it. Certain technologies which we have developed where,
you know, along with the DRDO, for that we need to take both DRDO approval and Ministry
of Defense approval, both. Okay. Certain technologies which we have developed in-house, we
just need to take a Ministry of Defense approval for exports. So this is how the process would
be there for the type of business that we are currently working.
As the day stands, we are having a little over about, INR100 crores opportunity of, you know,
as an export order, which is presently a kind of a development project, actually. Okay. And it's
a very critical avionic system. And as far as the mix is concerned, at this point of time, we are

not able to give any guidance for it. But in subsequent quarters, you know, as we get more such
opportunities and orders, then we will be able to give further guidance on that.
Pratik Bagadia: So, but the process would remain the same that we are going to apply through organizations like
DRDO. We are not directly going to apply for it?
Management: It is the same for any organization, it is the procedure we have to follow. Yes.
Pratik Bagadia: Okay. Okay. Thanks a lot, sir. Thank you and good luck.
Management: Yes. Thank you.
Moderator: Thank you. The next question is from the line of Anand from G K Globas. Please go ahead.
Anand: Sir, thank you for the fantastic presentation. Can you please elaborate on your order book?
Management: So, little less than INR800 crores is the order book as on September end, actually. Okay. Over
and above that in last 1, 1.5 month, we have received a few more orders, you know, and little
amount of production orders, but significant amount of new development orders for the next
generation weapon programs and next generation platform programs, actually. So, that is how,
you know, I can say.
Anand: And what is the execution timeline of this order book?
Management: So, we keep getting some short-term projects, some medium and long-term projects, but I think,
as far as this financial is concerned, as the day stands, whatever guidance we have been given,
you know, we are maintaining it and I think going forward for the next two quarters also we will
be maintaining the similar guidance, actually.
Anand: Okay. Thank you, sir.
Management: Thank you.
Moderator: Thank you. The next question is from the line of Amit Kumar from HDFC Securities. Please go
ahead.
Amit Kumar: Good morning, sir. First of all, congratulations to all of you for a great set of numbers. I wanted
to understand about the proportion of developmental projects in overall pie compared to the
production. So, maybe you can s

pend some time on explaining the proportion with respect to
revenue, with respect to order book and in our product portfolio, how much would be the developmental proportion and how much of this is actually going towards production, from development to production it is moving. So, that would be helpful.
Management: 25% to 30% in between band, you know, is the production size compared to the development, development to core development, development cum production orders, actually. Going forward, it may increase up to 45%, you know, that is what we are contemplating.

As you all know that we are expecting some very large cap projects going forward, you know, for which all of us are waiting very eagerly, our infrastructure is getting ready, in all aspects we are fully getting geared up for it.
So, once that strikes, I think and then that revenue kicks off, you know, in once the order comes within two to three quarters, I think the revenue mix in terms of the production versus this can significantly vary, which will also anchor a lot of change in the overall revenue mix as well as, you know, the numbers that you see in the P&L and balance sheet as well.
It is a total demography change of the, you know, the numbers as well as both in terms of the working capital cycle and all, you will see a lot of change. But yes, presently this is the mix, broadly, I can say.
Amit Kumar: Sir, sorry, just to clarify, this 25%-30% you said is developmental as of now or otherwise?
Management: Production. Production.
Amit Kumar: Production. Okay. So, more of development right now, which will move into production and then the benefits. Okay.
Management: We have a footprint in almost every missile program of DRDO. So, you can imagine, like, you know, the development projects are numerous numbers, actually, and different types of technologies.
We are not a single type of technology company. There are a variety of technologies, different groups, different group heads and team leaders and engineer sets as an individual, like a company, you know, in our R&D chain. So, who are working on…
Management: More than 60% of subsystems, we at Apollo Microsystem is doing today.
Amit Kumar: Okay. Great to hear. And, sir, what would be the margin profile movement once the product moves from development to production? Some ballpark would be great to understand.
Management: It depends on the type of the system, type of technology. There is nothing like, you know, specific ballpark. And that too, similar technology for different application, it is different, actually. So, it's like that.
Management: Production will do more.
Management: But obviously, the production margins are higher compared to development.
Amit Kumar: So, basically, I'm trying to understand whether it is single-digit margin in development and production, it becomes 25%, 26% or so, or is it similar to each other? I mean, is there a stark difference?
Management: We don't want to hear such sensitive information.
Management: Hopefully, let us think.

Amit Kumar: Okay, no problem. Just last bit, that this proportion, if you can please guide that by FY26 and '27 and how this proportion would move? Maybe in 2 years down the line or so?
Management: I already told some anchoring projects, very large-cap projects we are expecting of, you know, this 25%, 30%, 35% will shift to 40%, 45% is what we can give you a broad guidance as of now.
Amit Kumar: Okay. Thank you so much, sir, and all the best for future quarters.
Moderator: Thank you. The next question is from the line of Pinkesh Jain from Shree Stockvision Securities Ltd. Please go ahead.
Pinkesh Jain: Hello.
Management: Yes, sir.
Pinkesh Jain: Yes. So, just wanted to check about the installation of new testing facilities, because earlier we said that this t

esting of all the products also take -- consumes a lot of time, which further
elongates our working capital cycle. So, just if you can throw some light on that?
Management: Yes, yes. See, like present facility, we don't have every facility, like some of the facilities, we depend on DRDO facility and other private company facility we are using. Where you know like Unit 3, we are going to have all the facilities, like EMMC test is there, so it takes a lot of time, and we have to be maintained, you know, like 2, 3 months' time. In fact, we are losing

every time. But once our facility is ready, then we can do in-house only, we can do all the testing. We are going to have all kinds of test facility in our Unit 3.
Pinkesh Jain: So, that completely, like, reduces our dependence on DRDO for the purpose of testing?
Management: Totally, 100% facility we are going to have in Unit 3.
Pinkesh Jain: Okay. And so, we will be spending a sizable capex on the testing facilities also, sir, out of the total capex?
Management: Around INR60 cores, we are spending only on test equipment.
Pinkesh Jain: Okay, okay, okay. And that also helps in reducing the working capital, right?
Management: That can reduce, like, execution time.
Pinkesh Jain: Execution, right, okay. Yes, thank you.
Management: Thank you.
Moderator: Thank you. The next question is from the line of Manish Gupta from Equinox Investment Advisors. Please go ahead.
Manish Gupta: Yes. Good morning, sir, and thank you for the opportunity. Sir, this is regarding newspaper reports that Indian government is actively considering to allow wholly owned subsidiaries of foreign defense manufacturers to qualify as Indian vendors. So, how that would affect, you

know, the domestic defense manufacturers in general, and let's say, I mean, Apollo Microsystem, in particular?
Management: So, very interesting point you have raised. Particularly, you know, we would not say that, it's not a welcoming gesture, but definitely not a very good move is what we can say. But in one way, we can also say that by this fully owned companies, which are 100% investment by these companies.
Once these companies start establishing their offices here in India, a lot of further, you know, ecosystem also gets developed, and the existing ecosystems will have a share of improving upon their technological base and other things like, you know, and also a lot of opportunity, which will come to several companies like us.
So, it's a flip of the coin, like, in the both sides. Okay. So, majorly, if we see that, you know, if a very large cap companies are coming in terms of, for example, some kind of an aircraft manufacturing something, larger communities in terms of the medium scale, large scale and small scale industries also will get benefited. But certain areas and technologies that may still continue to have a dent.
But for Apollo Microsystems, both it's an advantage also. At the same time, we also see that, you know, our footprint is majorly with the DRDO and those programs are not going to have any effect by these, you know, foreign OEMs coming in fully setting up their shops back in the country. So, you will have to look at in that direction, both in the company perspective as a general perspective.
Manish Gupta: Okay. So, the broad understanding that one should take away is that Apollo is not going to be largely affected by the advent of these companies in India, though some part of our, let's say, production or orders might get affected by the impending competition. Is that correct, sir?
Management: Not related to strategic programs, of course, but yes, there are -- defense is an ocean of a kind of requirement, you know, there are various other. For example, now the MALE UAVs program, you know, a very large program is coming up. There is no such similar kind of a capability company presently available, which

is mature.
So, obviously, some foreign OEM will come. The Ministry of Defense has stipulated that 50% of the system has to be indigenous, actually. So, it's a both advantage to some extent, and for certain players who are eyeing for certain type of things, it could be disadvantage. For a very large system integrators who are eyeing in a different way.
But we being at a medium level currently, you know, I think it's for next few years, I think we don't see a serious dent for us, actually. It could also result into some big opportunity.
Management: Advantage only we'll get, yes.
Manish Gupta: Okay. Okay. And sir, just a clarification, I think I heard that you said after Unit 3 is completed, your capacity will go up by 8x. So, is that correct, sir?

Management: Yes, sir.
Manish Gupta: All right. And how much is the capex for Unit 3, sir?
Management: Total INR250 crores, what we are investing.

Manish Gupta: All right. All right. Thank you, sir. I'll fall back in the queue. Thank you.
Moderator: Thank you. The next question is from the line of Shreyans Gathani from SG Securities. Please go ahead.
Shreyans Gathani: Hi, good afternoon, sir. I had a few questions. So, one was, in the presentation, we not mention of the RF strategy or any products related to RF. So, we've been talking about that for a while now in terms of an acquisition or so. If you could give an update on where we are with that and what business, you know, we have on that front?
Management: Yes. In fact, RF side is a senior level team. In fact, yesterday only one team has joined. Okay. And we are very good in sonar side. There are a lot of technologies we have established. And now we are working on the seeker electronics for various missile application.
And yesterday only some senior level team, you know, from some other company, three people have joined. And some more people, November end also some five, six people are joining. So, we are now going to concentrate on RF side also.
Management: The acquisition point of view, it is going a little slow, because we were trying to make a consolidation in the current existing acquisition that we have done. You know, once that gets completed, we'll start steering up the other one activity also. But yes, it's there on the cards.
Shreyans Gathani: Got it, got it. So, my second question is on the ideal capex. So, like for it does not currently cater to, you know, like a defense explosive as such. So, do we need additional capex on the ideal side to, you know, build capabilities in that front?
And also given the current balance sheet, like, will we need additional rounds of funding anytime soon, given the cash levels that we have? Or do you take on, do you look to take on additional debt, given the way we are growing and the working capital requirements?
Management: As I already answered to one of the other investor, you know, there are a lot of overhaul requirements that we would be doing in ideal explosive owing to the current balance sheet size and, you know, not in terms of the size, the health and other point of view.
From time to time, we'll keep you updated about it. Obviously, there's a lot of capex and many other initiatives that, you know, we would be doing in it. As and when we keep taking call on that, we'll keep you posted about it.
Shreyans Gathani: Got it. So -- but for Apollo, we're not looking to, you know, raise funds in any time, anytime soon, because…

Management: I would reserve my answer for this. You know, there are certain things which we are contemplating as and when the Board gives the kind of an approval, I think, we will reach out to you for packaging.
Shreyans Gathani: Okay. And my last question is, since the QRSAM, you know, order is out. The order value and BDL, BEL expects the order to come in March. So, if n

ow given that it's out, like, could you quantify like, what would be our contribution to QRSAM?
Management: QRSAM a good contribution is there. And it is in RFQ stage, you know, like, BEL, BDL, you know they're participating in this thing. Sanction has come and they're participating in a tender.
I think before March, Bell and BDL is expecting order. Maybe we are also expecting before March or maybe first quarter of next financial year.
Shreyans Gathani: Right now, my question is like, the government has actually…
Moderator: Sorry to interrupt sir, but I request you to rejoin the question queue for follow up question as there are many participants left in the queue.
Shreyans Gathani: Okay. All right.
Moderator: Thank you. The next question is from the line of Nishita from Sapphire Capital. Please go ahead.
Nishita: Yes. So, I just wanted to ask, IDL is currently loss making by when do we envision it will be profitable?
Management: We have started taking certain initiatives. I think by Q2 next financial year, I think we should be in a position to make some good turnaround.
Nishita: Okay. Understood. And so our EBITDA margin, is that going to stay in the range of 26% to 28% for FY26 because I see that since past three quarters, there's been a lot of up and down in the EBITDA margin?
Management: Yes. As we told, quarter-on-quarter basis, the different product mix have a different margin profiles actually. So, broadly, it is all guided based on that actually. So, it will be varying in those ranges actually.
Nishita: Okay. Understood. Thank you so much.
Moderator: Thank you. The next question is from the line of Nilabja Dey from Ashmore Research. Please go ahead.
Nilabja Dey: Okay. Sir, another question I have that, sir, how -- what you are doing, many of the Indian, specifically you are focusing on the products. So, currently, your R&D spent around INR33

crores annually, if I'm not wrong, from the day you mentioned? So, like to know that what's your
and many of you and you are closely working with DRDO.
But beyond that, how you are scaling your R&D spends and also the hiring of the people, because
as we understand from multiple industry people that getting the right kind of people in this, being

a very nascent industry is very difficult. So, specifically, can you throw some light on your talent
acquisitions and R&D spend part?
Management: So, we generally believe on retention mantra rather than a recruitment mantra. So, you have
rightly understood that getting a new talent and then nurturing them is very difficult. And already
an existing talent to what do you call recruit, who is already working in some other places also
not so very easy because there are different disciplines in which we are working electronics,
electromechanical and a mix of various other systems.
So coupled by a domain knowledge or domain expertise to a certain extent, which will make
them a proper calling as a talent primarily. Okay. This community as a defense systems and
particularly more so in the areas where we are working, there are very limited resources
available, but what we do is that, you know, there are some existing seniors who have more than
15, 20 year's experience, we are retaining them.
More than five to eight year's experience of team leaders, we are retaining them. And over and
above that certain talent of 0 to 2years experience, freshers we recruit and we nurture and we
hold on to them. It's not that freshly every time at new talent and all. Over and above that we are
complementing them with experts in the specific domain of that particular area, who are retired
scientists from the different labs of DRDO.
And in some places the production engineering and quality sides experts who have already got
retired from different PSUs, maybe BDL, we have people who are retired from HAL, from
Bharat Electronics, from mod

ern inspectors like that. So this is our mix with which we actually
pull our overall R&D as a resource.
Nilabja Dey: Okay. Thank you, sir. Thanks a lot.
Moderator: Thank you. The next question is from the line of Riffat Fatma from Yashwi Securities. Please
go ahead.
Riffat Fatma: Hi, good afternoon. Yes. So my question would be on ideal side. So when can we expect Ideal
Financials to get consolidated with Apollo Micro?
Management: Q3.
Riffat Fatma: Q3. Okay. And what are the margins that we can expect then?
Management: So currently, ideal is a loss-making company at EBITDA level actually. As I was telling the
other investor also that we are doing -- we have started taking some overall initiatives in that.
And to a certain extent we have been successful in certain areas. Not much I'll be able to divulge
on a call or other things. But you will see a lot of improvement coming in from the next financial
year in the Ideal as well. That's how I can broadly comment as the day stands.
Riffat Fatma: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Dhaval Jain from Sequent Investments. Please
go ahead.

Dhaval Jain: Sir I just wanted to get an update that you had mentioned earlier that our order book would be
almost 3x of our FY25 order book. Are we on track to achieve that because you just said that we
have an order book close to INR800 crores right now?
Management: Yes, Dhaval. So we have initially given a guidance by March, you know, we will be having
owing to some large caps projects which we were expecting. As the day stands, it is actually
going on track. We are also fingers crossed waiting keenly for it. Even if it in case misses by
March, you know, by first quarter, it should happen. That's what, you know, we are feeling.
But AON is much awaited, the various stages of crossing the AON has already passed through
is what we are understanding from our customer as of now. I think very soon AON approval
should be coming. As soon as the AON approval comes, it's as good as a project primarily for
us.
But expecting that this thing is going to happen as I told during the beginning of this thing itself
that we have fully gearing up for the full flesh production of it. And both in terms of the
integration and in terms of the explosive chain and all other aspects we are getting fully geared
up by the time the order hits into our records, we'll be able to quickly start the production. That's

how, you know, broadly I can give a guidance to you.
Dhaval Jain: All right. So is this order based on we getting the MIGM order that we and BDL are the two companies in it? Is that the understanding right?
Management: MIGM is one of the case. Even QRSAM is -- that is also from QRSAM also we are expecting big orders, okay. And ESWT also, ESWT also we are expecting big orders. Like ALWT already, DIC approval has come and that part from that program also we are expecting some orders.
Dhaval Jain: Like just a clarification on this, like I, in the last concall you had mentioned that the MIGM order that we are expecting is around, I mean, a broad range of INR4,000 crores. So how what is the track of us getting this order by end of this FY26? Are we on track to get that order from the said agency?
Management: INR4,000 crores is not for Apollo alone. It's for Apollo, BDL put together, okay. And the second part of your question I already answered that AON we are expecting any moment. Hopefully if, you know, it comes faster, the file movement takes place, the RFU comes in all by end of March, if it comes, it's welcoming.
If it misses also by Q1, it should be coming, but we are closely monitoring it, but the preparedness is already there as if the order is already with us. That's how I can say, because that's how we are getting a follow up from our client as well. So accordingly we are getting fully gea

red up for that.
Dhaval Jain: Okay, sir. Thank you so much.
Moderator: Thank you. The next question is from the Manoj Jain, who is an Individual Investor. Please go ahead.

Manoj Jain: Namaste, sir, and good afternoon and congratulations for the excellent set of numbers. My question is regarding this MIGM, which is that so far I gathered is that it's about INR4,000 crores order, which is going to divided between BDL and you. And so it will be about INR2,000 crores opportunity for this company. Now my question is, has all the steps for getting this order been approved? So it's just we are waiting for the order. That's it or is it some other steps are needed for in order to, for this order to mature for us? If you can kindly guide it?
Management: In four stages, approval is required. What we heard from my colleague, my colleague is sitting in Delhi. Almost the third stage is going to get cleared any time. Once the third stage is clear, then it goes for the DAC approval. Anything like December, we are expecting -- before December end DAC approval, we are expecting.
Manoj Jain: Okay. And after that, it will come anytime. That approval, which is -- that means we are going to get after that, okay. So by March, maybe.
Management: Yes. After DAC approval, then RFQ, this thing, submission of this thing, negotiation, all those things will be there. Two months, three months’ time it will take once after DAC approval.
Manoj Jain: Okay. Okay. Sir, okay. And my second question is that I'm hearing about the government approving big ticket orders, emergency acquisition and stuff like that. So means when would something from there percolate to Apollo? Like, all those big things with INR70,000 crores, INR1 lakh crores and all those things are happening. So something -- some orders from there, what do you expect to get something from there?
Management: Every approval, our contribution also is there. Once, it converted into order, we are also expecting good orders from all these programs.
Manoj Jain: I will…
Management: One of the clearance, DSA has given us INR72,000 crores of clearance, MOD has given INR35,000 crores something that, some novel-based recently also one clearance has come. Every, this thing now, our contribution is there and we are also expecting good orders from all these approvals.
Manoj Jain: Okay, sir. Okay.
Management: But if you're talking about single INR70,000 crores, I think, we do not have any opportunity eyeing for it, actually.
Manoj Jain: Okay. Something is percolate from there and you will get out of it. Okay. And one last pleasing question, which is that, that Unit 3 will become fully operational by which time?
Management: By June end is going to be fully operational, before June.
Manoj Jain: Okay, sir. Okay, sir.
Moderator: The next question is on the line of Rahul Shah, who is an individual investor.

Rahul Shah: Hello, sir. Great set of numbers. Hello.
Management: Yes.
Rahul Shah: Hello. Two questions. One was what would be the typical contribution of IDL on top-line and bottom-line in FY ’27, ‘28? And secondly, is there a ESOP policy or some kind of a policy in place to retain talent in both IDL and Apollo?
Management: Presently, the complete share transfer agreement is likely to get completed in the next couple of weeks, sir. After which implementation of any ESOP and other things and all, how we have to do and all, we will have to think internally. The first -- the main elephant in the box, is how to overhaul the company and bring at a different this thing, okay.
That's something which is very important for us. That overhaul is what we are trying to do. Presently, at a -- improving the overall EBITDA margins and improving the PAT margins, bringing into a profit margins is something which is very important for us, actual

ly, okay. That
is something Phase 1 we will be doing. Subsequently, the other things we will be doing.
As I told to other investors also, a lot of things are planned. Continuously, we are working on IDL. Although the complete share transfer legally, it has not yet happened. All that management control, partially we have taken, we did not take fully. We have started implementing all those things. You will start getting to hear one after other whatever actions that we are taking in IDL from time-to-time, we will be very vocal about it. And we want all our investors to appreciate, how we are going to make this turnaround.
Moderator: The next question is from the line of Rajamohan, who is an individual investor.
Rajamohan: Yes. And congratulations on another great set of numbers. The new capacity, which would be 8 times our existing capacity. Going that way, the country is rapidly indigenizing, and we are converting to a better manufacturer from our subsystems. Could we say this capacity would be put to full use or optimum use over the next five years?
Management: If everything goes fine for the next three years also, it can happen. There are certain anti-submarine warfare rockets which are currently under advanced phase of development. We'll be going for trials and testing in next one and a half quarters from now. There are the matured underwater mine projects.
One already we are talking about that we are going to get a production order very soon. And there's another variant of mine which we have already developed. And one DRDO variant of mine is in the phase of development that also will hit production very fast. And there are ground-to-air rockets and ground-to-air guided rockets and GRAD rockets, which are under development.
There are other very small, miniaturized diver-carrying mines which are going for it. Top attack, anti-attack mines also will be developed. So there are bouquet of products, if I can count, I can tell you more than 12 to 13 fully -- full-fledged weapon products are -- will be hitting production in next two years on a very large-scale basis is what we are contemplating as of now, sir, actually.

So if all that fructifies and we are able to get orders for it, touch wood, I think, the facility may not be sufficient also. But as we know that, the defense projects are all staggered and it happens one after another, we feel -- we still foresee that we would still have a time for us to gear up further.
Rajamohan: It's extremely impressive, sir. And connecting that to the point that you indicated to getting some people for RF, how much further employee expertise in terms of external and probably international technology experts would we be needing in terms of percentage to the current employee base? Or is it not material, as we would be more converting the production to a production ecosystem, which could be done by incremental employee addition?
Management: So presently, there are no foreign employees that are there with us. All are Indian employees only. That's point one. Most of them are homegrown talent, kept within the company or working with the company for quite some time. And there are some new talent that we keep acquiring from time-to-time, which I have already told, who are domain experts and other things like.
As the day stands, both the R&D -- production from integration and testing, all the teams are sitting here. As the Unit 3 full-fledged operation starts from Q4 onwards, this financial year, the R&D team will continue to sit at the Unit 1, which is the corporate headquarter, and we are going to make it a little more robust. We are going to add up new capabilities in terms of the technologies and augment the overall methodological way of working of R&D also, like we may, we may add up an AI team going forward. We are already, we have started a full-fledged RF team.
Earlier

RF team was a very limited team, but we have taken some core experts who just joined yesterday itself. And at the same time, certain technologies where we are not fully matured, we are going ahead and acquiring those companies actually, which are there in the frame, which we have been vocal for quite some time actually. So this is how the expansion overall is going to take place.
So specific to each technology, it will be an independent group by itself and specific to team, technological buildup groups will also be built in next few financial years, you will see like that. So like for specifically, for example, a Naval architecture or Naval based systems, a specific group will be formed. So that's how an independent group under that there will be a subgroups of core technological groups, which will be there. So this is all the overall chain of the Apollo as an R&D would be working as.
Rajamohan: Thank you very much, sir. And best wishes to convert to a successful complete weapons kind of organization.
Moderator: Thank you. The next question is from the line of Ajinkya Jadhav from KRIIS PMS. Please go ahead.
Ajinkya Jadhav: Yes. Thanks for the opportunity. In an answer to one of the participants, you said that, uh, we have a good capabilities on the Sonar end. If you can elaborate more on this and if you can let us know how we are trying to improve on this end?

Management: That is a great information actually.
Management: Basically torpedo homing system homing system. For lightweight torpedo and heavyweight torpedo and all. In fact, we are the only private company working on inside. Homing is nothing, but a seeker electronics in underwater. And also we are working on a decoy system, like torpedo decoy systems and all we are working. In fact, we are the only people working on decoy systems and torpedo homing system. So mining side BDL is a production agency identified as a second vendor. Technology development side we are going to people working.
Ajinkya Jadhav: Okay. Like are we there in the anti-submarine warfare, like LFVDS or ATAS?
Management: Yes, we are very much there.
Ajinkya Jadhav: Okay. So we have a collaboration with…
Management: We have a variety of ASW systems we are doing both on weapon side, as well as on the decoying side. This is an electronic warfare side, actually. So, that's where you can understand from this.
Ajinkya Jadhav: And for LFVDS, ATAS, Sonar, we have a collaboration with somewhere or like we develop this tech in your house?
Management: We have our own district center.
Ajinkya Jadhav: Okay. Got it.
Management: Last 35 years, we are working on Sonar side.
Ajinkya Jadhav: Okay. Got it. That helps. Thank you.
Moderator: Thank you. We will take that as our last question for today. I now hand the conference over to the management for closing comments.
Management: Okay. Thank you so much. So, we extend our sincere gratitude to Ministry of Defense Government of India for their continued trust in the defense manufacturing ecosystem. Their confidence reflected through substantial investments is a strong endorsement of our nation's industrial capabilities and innovation potential.
We remain steadfast in our commitment to delivering advanced solutions that bolster operational readiness and strengthen national security. It is indeed an honor to serve the nation and we stand fully prepared to support our armed forces under all circumstances. I along with my managing director, Mr. Karunakar Reddy and our CFO, Mr. Sudarshan, extend our heartfelt thanks to all our esteemed investors and analysts for being with us today.
Your continued trust and partnership mean the world to us. Your participation and feedback are invaluable to us. We remain committed to enhancing our performance and driving substantial growth. We look forward to welcoming you to our facilities where you will have the o

pportunity
to observe our operations and initiatives at a ground level.

Should you have any further questions or wish to share your thoughts, please don't hesitate to contact our investor relations team or write to us at investors.relations@apollo-micro.com.
Thank you once again for your time and trust. We look forward to reconnecting with you during our Q3 update. Wishing you all a great day ahead. Jai Hind. Happy Guru Purnima.
Moderator: On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us

and you may now disconnect your lines. Thank you.
Management: Thank you so much.

Call: Feb 2026

Date: 12th February, 2026

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Subject: Transcript of the Earnings Conference Call held on February 9, 2026 under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Pursuant to Regulation 30, read with Part A of Schedule III, and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and further to our intimation dated February 2, 2026, regarding schedule of the Earnings Conference Call with investors, we wish to inform you that the conference call was held on Monday, February 9, 2026.

Transcript of the above-mentioned Earnings Conference Call is attached herewith and can also be accessed at: https://apollo-micro.com
We request you to take the above on record.
Thanking You

Yours Faithfully

FOR APOLLO MICRO SYSTEMS LIMITED

BADDAM KARUNAKAR REDDY
MANAGING DIRECTOR
DIN: 00790139

"Apollo Micro Systems Limited
Q3 FY '26 Earnings Conference Call"
February 09, 2026

MANAGEMENT : MR. BADDAM KARUNAKAR REDDY – MANAGING DIRECTOR – APOLLO MICRO SYSTEMS LIMITED
M R. ADDEPALLI SAI KRISHNA KUMAR – WHOLE-TIME DIRECTOR, OPERATIONS – APOLLO MICRO SYSTEMS LIMITED
M R. SUDARSHAN CHILUVERU – CHIEF FINANCIAL OFFICER – APOLLO MICRO SYSTEMS LIMITED

MODERATOR : MR. VIKASH SINGH – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the Apollo Micro Systems Q3 FY '26 Earnings Conference Call hosted by ICICI Securities Limited. Certain statements during the conference call may be forward-looking statements. Such forward-looking statements are subject to certain risks and uncertainties.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Vikash Singh. Thank you, and over to you, sir.
Vikash Singh: Thank you. Good evening, everyone. Welcome to Apollo Micro Systems Q3 FY '26 and nine-months FY '26 Results Conference Call. From the management side, we have with us Mr. Baddam Karunakar Reddy, Managing Director; Mr. Addepalli Sai Krishna Kumar, Whole-Time Director, Operations; and Mr. Sudarshan Chiluveru, CFO.
Without taking any much time, I'll hand it over to Mr. Reddy for his opening remarks. Over to you, sir.
Karunakar Reddy: Yes, good morning. This is Karunakar Reddy, Managing Director. Joined with me, Mr. Sai Kumar and our CFO, Mr. Sudarshan Chiluveru. Mr. Sai Kumar will be presenting. Then after questioning this thing, answering this thing, I will be responding to you. Okay? Over to Mr. Sai Kumar, please.
Sai Kumar: Thank you, sir. Good evening, everyone. Thank you for being with us today. It's always a privilege to engage with our valued investors and provide updates on our performance strategy and future outlook. I'm pleased to share that we have delivered our highest ever quarterly and highest ever nine-month revenue marked by consistent execution, operational discipline, and a strong commitment to indigenization and the Make in India initiatives.
I trust you've had the opportunity to review our financial results, letter to shareholders, press release, tear sheet, and investor presentation. This marks our third interaction for the fiscal year 2026. We are pleased to begin with two significant milestones that mark our continued growth and global progress.
First, we are also pleased to announce that an additional acquisition by ADIPL, which is expected to be completed before the end of this financial year. This acquisition will significantly enhance our organic growth and overall strength.
Looking ahead, we expect revenue to grow at least at a CAGR of 45% to 50% over the next three years, which has always been our, guidance since few quarters, solely by the core business, excluding any contribution from the recent acquisition or the future acquisitions that we do in this financial year. This growth is underpinned by a healthy order book and multiple products entering into the production phase.

Let me now take you through our consolidated performance for nine months and third quarter ended 31st December 2025. In Q3 FY '26, we delivered highest revenue ever and the revenue surged by 70% YoY basis to INR252 crores, up from INR148 crores in Q3 FY '25 as a result of our robust order book execution and successful transition of multiple products into the production phase.
Our EBITDA, excluding other income, rose sharply by 33%, reaching INR50 crores in Q3 FY '26. PAT registered at 25% YoY increase to INR23 crores, compared to INR18 crores in the previous year same quarter. The order book as on 31st December stood at INR1,305 crores on a consolidated basis.
Considering nine months FY '26, we have delivered highest ever performance in our history. Our revenue from operations has spiked 53% to INR611 crores, up from INR400 crores in nine months FY '25. This trend has been continued in the E

BITDA, excluding other income, which
has increased by 61% to INR151 crores compared from INR93 crores in nine months FY '25. EBITDA margin has been expanded by 134 basis points in nine months FY '26. Our PAT has climbed by 67% to INR71 crores, up from INR42 crores in nine months FY '25. These results underscore our continued operational excellence and reaffirm the strength of our growth trajectory in FY '26 and beyond.
We have evolved from being a subsystem and system manufacturer to establishing ourselves as a full-fledged weapon system manufacturer, a significant milestone in our journey of growth and

technological excellence. Building on 41 years of technological excellence, we are poised to evolve into a multidisciplinary defense system powerhouse to drive next generation innovation. Our vision is bold, built on strong fundamentals and an unwavering commitment to create value for all our stakeholders.

Thank you for your continued trust and support. We now look forward to addressing your questions.

Moderator: Thank you very much. We will now begin the question and answer session. We take the first question from the line of Sucrit D Patil from Eyesight Fintrade Private Limited. Please proceed.

Sucrit D Patil: Good evening to the team. I have two questions. My first question to Mr. Baddam is, looking ahead, how do you see Apollo Micro Systems balancing between expanding defense and aerospace contracts, investing in new technology, and protecting profitability? As the demand for advanced electronics grows, what will guide your decision on which of these areas should get the strongest focus in the coming quarters? That's my first question, I'll ask my second question after this.

Karunakar Reddy: Yes, see like, the last quarter result also I was talking to your people. If we see the Government of India, already DAC has cleared, Defense Acquisition Council has cleared already you must be knowing. QRSAM one program is going for bulk production. And another program is Akash NG also is going for a few hundred numbers. And if you see these two programs, our major contribution is there, QRSAM also, Akash NG also our contribution is there.

And other side, naval systems also limited series production we have completed heavyweight torpedo and we are now expecting bulk production order we are expecting. And also, we are also doing the complete, one of the program like mine program, underwater mine programs, 3-4 programs we are doing.

One program complete test trials also completed and anytime -- anytime this month I'm expecting Defense Acquisition Council, DAC clearance also we are expecting. That is going to be a major order what we are looking for immediately.

And other programs also underwater mine side if you see, couple of variants, other variants also we are doing, limpet mine, two variants of limpet mines we are doing. We are also doing, like deeper depth, there is a program called MOORED Mine, that MOORED Mine also anytime we are expecting -- we are going to sign DCPP partner, as a DCPP partner we are going to sign with DRDO.

That is also we are expecting already, fortunately, the MOORED Mine DAC clearance already happened, the fund is in place. Only thing user trials we are yet to perform, once we complete user trials, so we are expecting a very big order like MIGM, MOORED Mine also going to be a big game-changer order for Apollo Micro Systems.

And many other programs like short-range programs, short-range missile programs, our participation is there. Long-range like Agni missile, Agni 5, Agni 1 also going for a bulk production, our major contribution is there in these programs also. And as I explained you last previous meeting, missile technology side if you see, we have good contribution, subsystem-wise if you see 63% of our contribution is there.

You name any program from short-range 4-kilometer ran

ge to 5,000-kilometer Agni missile
kind of thing if you consider, 63% of subsystems in fact Apollo Micro Systems is supplying to DRDO, more than 80-90 programs. And already we are, we became DCPP partner for couple of programs. We are also expecting two more programs we participated, anytime DRDO is going to decide.

We are expecting one naval-based missile program, anti-ship program we are expecting, that also I think this month DRDO is going to decide. And as you know like we are doing one program, RGB 60 program, it's an anti-submarine program and we have done I think lab tests and all we have done, we are going for a, I think trial tests, anytime we are planning for technical trials.

And other programs like complete weapon systems kind of, and one of the program like anti-drone swarm drones, hard-killing rocket we are making, that also I think we are going for trials next month, first quarter. First quarter we are going for trials. All cursory checks and all, lab tests and all we have completed, all simulations and all we have completed. The product is ready, first quarter we are going for trials.

And many, many other programs are doing, at least couple of hundred programs, few hundred programs we are doing. Every program our contribution is there as I explained you. Naval side also we have contribution, and if you see land-based systems like launcher systems and all also we have contribution. Missile technology if you see also our contribution is there.

LCA Mk2 is there, AMCA is there, AMCA also we are participating. Already we started doing couple of subsystems. LCA Mk2 also we are doing almost something like five subsystems, very critical systems design development activity we are doing.

And as you know like, explosive company also like we acquired IDL Explosives, we are now going for a good expansion, we want to produce defense-grade explosive we want to produce, and I think we are going to start another six months' time we definitely going to start producing defense-grade explosive also. That is another plan is going on.

And also, we are planning to acquire couple of companies where we don't have presence. I think, in fact, I think, before this financial year end, at least some three companies we are going to, we are going for due diligence.

Sai Kumar: Due diligence is going on, at least one we will be able to close for sure.

Karunakar Reddy: Yes, if everything goes well, three companies are in pipeline and at least one or two companies' acquisition we want to complete before this financial year end. That's all.

Sucrit D Patil: Thank you. My second question to Mr. Chiluveru is, again along the similar lines, as Apollo Micro Systems plans for the next few quarters, what financial signals or metrics will be most important in guiding you to take the decisions on cost control, working capital, and capital allocation for R&D and capacity expansion? How do you see these levers shaping the company's ability to protect the margins and deliver sustainable growth in the coming few quarters? Want to understand your plan of action on this.

Sudarshan Chiluveru: As you already know, if you visualize, we have been spending around 9% to 10% of our outlay, topline, as R&D expenditure since our company is a -- bread and butter is R&D. Unless we do R&D, we cannot sustain and we cannot grow in the business. That's why sizable amount is allocated for R&D, and we have even availed a term loan sanctioned by one of the banks, INR75 crores. Lot of programs we have taken up for R&D and around INR50 to INR60 crores we are going to spend in the near future on R&D itself. That is one part.

The other part is we have massive expansion plans. As Phase 3 at Hardware Park we have already commissioned partly in the October end, with a INR150 crores outlay with a term loan of INR110 crores from State

Bank of India. With our margin, INR150 crores worth of project we have already implemented and another 2.5 acres we have acquired and we have started civil works for further expansion.

And also, we have recently got allotment of another 5 acres of land adjacent to the existing expansion plant from Government of Telangana, where we will be spending at least INR100 to INR150 crores for further expansion. So it will be a state-of-the-art project once we complete entire thing of project in the 10-acre, 10.5 acres of land. That is our expansion plan.

And as far as growth is concerned, we have been growing at a CAGR of 30% to 35% for the last two-three years. The same tempo if everything goes well, whatever we are having plans of getting the orders and all that, if it fructifies and we will be growing at 35% to 40% in the years to come.

As far as order book is concerned, we are comfortable and with the addition of IDL Explosives, we are into -- we will be growing into a full-fledged weapon manufacturer thing, earlier we were having only a subsystem manufacturer. Now we can manufacture the entire missile. So order book is good. And as far as finance is concerned, we have mobilized funds as through preferential issue and bank finance is also made available to us as long as we need it, and all the things are in place.

Sai Kumar: Yes, one more thing I want to share with you. See like cost-cutting wise, we are now going for a -- we have implemented SAP and we started migrating into SAP. And also, we are doing one automation, complete all factories now we are going for automation, we are almost implementing Industry 4.0 standard we are implementing.

Wherein the management can see the complete machinery, how machinery is utilized, how manpower is working, what is the machinery running hours, and if anybody/any of my customers want to see also, they can remotely they can see, through video they can see and their status and all in the text form also available, customer can monitor.

Management side also micro-level monitoring what we want to do, where manpower utilization and machinery utilization properly we want to do because now Unit 2 we are -- we have two units are there, explosive if you see explosive side four-five units are there, and third unit, third unit itself some four units within 10-acre campus only we will be having four units in fact.

Four different buildings and it is a huge, almost going to have 5 lakh square feet area kind of thing. Each main building is 2.6 lakh square feet area and other three buildings also more than lakh square feet area we are building. So at the same time we are going for automation, so proper utilization of manpower and complete machinery utilization also we want to monitor in an automated this thing.
Sai Kumar: Yes, so the what CFO has talked about the R&D investment in the, we have already allocated INR100 crore, for the R&D. The fund is already in place, some of which investments have already taken place. The 9% to 10% what he talked about is in the subsequent years, up to 9% to 10% is the investment that we are going to do in R&D, which is currently, earlier it has been 7% to 8% then it got dipped to 6%, primarily because our revenues have started kicking on a continuous basis.
But going forward, the investments in R&D, will further increase. So that's one thing that I want to add to what the CFO has told as a clarification as well actually. Yes, we can go to the next question.
Sucrit D Patil: Thank you and best wishes.
Moderator: We take the next question from the line of Deekshant from DB Wealth. Please proceed.

Deekshant: Hello sir. Congratulations for the number. Impressed with the…
Moderator: Sorry to interrupt Deekshant, I would request you to come closer to your device and then spea

k.
Deekshant: Sure. Congratulations management, congratulations on the topline growth. We are seeing a significant rise of cost in our employee expenses and our other expenses. While I understand that we are in a growth phase right now and we are doing acquisitions so employee expense might go up, but what's the major contributor to our other expense?
Sai Kumar: So if you see compared to the previous quarter sir, the other expenses in terms of the finance cost and other things, got significantly reduced actually. Obviously, the depreciation going forward also will increase because there's a lot of investment in terms of capex and continuous investment in terms of the capital work-in-progress which is there in R&D, every quarter on quarter basis, we keep capitalizing actually. Okay, and other things like, okay.
But if you see the employee expenses, we have gone in for a very, very, very large expansion. Okay, from the current, size of the facility we have contemplated for an expansion of, 5.5 to 6.5 times. Now with the addition of the other new facility which we have recently announced that we have been allotted 5.6 acres, up to 12x to 13x times, the facility will increase.
Proportionately the manpower also will be increasing actually. So in the next few months, the manpower which is required for the next financial year, that recruitments also have started, continuous basis. Hence the financial -- because training and other things like at all levels the manpower have got increased.
From a managerial level, the head of the department level, the team leader level and at a junior level also. So obviously the manpower has also got increased because the number of per employee, number of projects handled by per employee is increasing on a continual basis. So we are continuously increasing the manpower, so the cost of the manpower is increasing on a, on a quarterly basis actually.
Deekshant: Sir, what is the core sort of other expense that is happening? Because depreciation I understand, the sort of interest cost we are getting that also makes sense. But what is it the other expenses that are really hitting us?
Sai Kumar: I will tell you. There's expenses related to, generally normally what happens that certain expenses in the Q3 and Q4 will increase actually, primarily owing to, I mean to say this has been the trend, primarily owing to we have an annual function, happening in, so that is one expense that gets added. We participate in the, international shows and exhibitions, that is one expense that gets added actually.
So these are certain expenses, which gets increased. But in last, few quarters, our travel expenses also have got significantly, increased, primarily owing to huge business development, activity that is taking place. And, in terms of the execution and integration also, lot of travel is happening across multiple laboratories across India, pan-India basis actually.

So these are the different heads under which, the cost have got increased in the, I mean to say, also we are doing trials, lot of trials also. Yes, the cost of the trials is also expenses that we are putting.

Deekshant: So sir next, I have two quick questions. One is that you have mentioned 45% to 50% CAGR growth for the next three years in your opening remarks, and that's something that has been consistent. So what kind of margins on net that we can expect now? Because since we are now going through a new leap of growth in our business which as investors, we are proud of, but what kind of net margins can be seen now?
Sai Kumar: See on a PAT level, if I talk about, we are going, we are targeting for a 15% PAT level. Yes, consolidated there could be a small, dip in the consolidated basis. Okay, I just want to talk on a standalone basis, I'll just want to talk about standalone basis that, standalone basis the net profit percentage

, PAT percentage, we are targeting for 15%.
Consolidated basis, primarily what happens there is only one major consolidation which is happening which is IDL Explosives actually. Okay, there, we are, we are having a little dip because of the, previous RC contracts of the Coal India which IDL was handling actually. That may -- that may have a little small impact towards, this thing, but I think overall on consolidated basis also, if you see on a year-on-year basis, there will be a significant improvement in the, PAT level margins which will be there, even after, the consolidation.
Deekshant: So you are expecting that this year end, the next quarter we will see around 15% on consolidated basis plus-minus 1% or so?
Sai Kumar: No, no, no, on standalone basis 15%. There will be a dip in the consolidation, because of the IDL, that's what I was trying to say.
Deekshant: So what would be the number?
Sai Kumar: But it will be better than year-on-year basis consolidation. That's what I was trying to say.
Deekshant: If possible, can you give us a number, sir?
Sai Kumar: Quantifying at this point of time is very difficult. We are just taking control of the full control of the management because there are spread across seven plants, continuous basis, we are reducing wherever there is a redundancy of, the expenses or the manpower and other things, costs and other things, are being, done.
You have to accept a fact that, the acquisition and, this thing is a very organic process. We cannot take, actions overnight because there are traditionally employees which are older than this company. There are 41-42 years since, employees are there who are working in the company actually. Stage-by-stage we are doing, but currently guidance point of view to give also, I do not have a clarity of the numbers currently.
But from Q1 next financial year onwards, we will be able to give a guidance on the consolidated basis. But the only thing, guidance that I can give at this point of time, not in an absolute number,

is that even after consolidation, even after there is a small dip also, year-on-year point of view, the PAT level margins are going to be on higher side.
Target for the standalone basis we are targeting for a 15% margin. That's what is our internal target.
Deekshant: Sir lastly is on underwater mines. This is something that we have been expecting from the government and from our partners with PSUs for some time now. So what's been update on this and what's like been a deterrent for us right now?
Sai Kumar: All necessary approvals at all levels are over actually. The, it is just awaiting for a DAC approval, it has come to that level actually. We are most positive and likely that, it may, the file may come up for the DAC approval in the upcoming DAC meeting or maybe it, if it gets slipped, for an operational reasons because certain files, certain number of X number of files only they take up actually, if it slips it may go for another DAC meeting.
Some clarity is yet to come for even for us, as much as you are waiting, the same way we are also waiting. Operational-wise, everything is set, we are ready up for production, the documentation, quality plans, everything are up and ready from our end, we are fully geared up. The moment the switch is on, we can do production, that's the stage we have already geared up ourselves. We are still awaiting as much as you were, as soon as something comes out, we will -- we will give our disclosure.
Deekshant: And this would be a INR2,000-INR2,500 crores order that we are thinking of, right?
Karunakar Reddy: Yes, it is going to be INR2,500 crores. Plus we are also expecting my other DCPP partner BDL also going to take equal order, from that also we are expecting few hundred crores orders.
Because we are making...
Deekshant: Do I have permission to ask one more question, sir?
Sai Kumar: Pardon me? Y

es, yes.
Deekshant: Can I ask one more question? Okay. So sir right now we are also sort of seeing some increase in

approvals, so the production state that we are going to go into, at what point can we expect our COGS to like, start going down? You are going for automation and everything else. So at what -- right now it's around 70% our material consumed, right? So at what point can we see a significant improvement here?
Sai Kumar: Yes, see this question we have been giving a reply to all the investors. Once again, I will give. There's a significant improvement at a COGS level will happen once a large-scale production orders kick up and which are going to be an anchoring orders over the overall toplines actually. Till such a time, the similar COGS levels would be maintained actually because predominantly most of the projects that we are addressing are, typically R&D projects and there is no control at COGS level actually for that. But as the large-scale production orders which we are awaiting,

okay, they are, they are something, which are going to give a significant benefit at a COGS level for them.
Management: And you must be knowing already DAC clearance now, I think around INR2 lakhs crores orders MoD has already given clearance. Many, many programs, naval programs, missile programs, couple of missile programs, and long-range missiles if you see, all together INR2 lakhs crores DAC, already Defense Acquisition Council has already cleared. So, I think,
Sai Kumar: So these are all production orders what he means to say. These are all production orders. Once they get into system integrator level, we are going to get that production orders, which will definitely give a benefit for it.
Deekshant: Is there any timeline for these DAC meetings so that we are aware of?
Sai Kumar: It is not in our control, sir. It depends on availability of Raksha Mantri, various other officials who are part of this thing, not in our control. Nor do we have any, we are not privy to the information also most of the time.
Deekshant: No, I get it sir. That's confidential on their level, but I get it. Jai Hind, sir. Thank you so much for continued work on this.
Sai Kumar: Thank you. Yes, I request everyone to restrict themselves with two questions. I am available tomorrow, day after tomorrow for the two different conferences, you will have, if you are attending the conference, if you are in Mumbai, you can meet me in person also. But I think, because we will have to give opportunity for many of them, some of them are messaging me personally also, that two questions I request most relevant two questions.
Moderator: Thank you. We take the next question from the line of Abhi Shah from Siddhi Technologies. Please proceed.
Abhi Shah: One question regarding the subsidiary IDL Explosives. So there is a standalone losses on the books of IDL Explosives. So what is the figure and when can we expect this figure to turn around positive on an EBITDA margin and also on the net income basis? So when the subsidiary could turn positive?
Sai Kumar: See primarily, if you see, there is INR4 crores loss that got added actually in the quarter, okay, out of the 45 days that this thing is there. This quarter I think, we are expecting an EBITDA level to be, break even, break even, okay. From next financial year Q1 onwards, the EBITDA level and at a PAT level it was going to be a positive PAT, a positive EBITDA company actually.
Abhi Shah: Okay, so can we expect margin dilution this, this year in FY ‘26?
Sai Kumar: There will definitely be a margin dilution. There will definitely be a margin dilution which we have told last quarter also actually. Okay, we have given that indication very brightly last quarter itself. But you have to also observe that, the margin levels of the standalone financials, it has significantly got increased, owing to, multiple typ

es of systems, also entered – which have got

entered into production order in this financial year, which has given a benefit at a, I mean to say EBITDA level as well as at the overall at the PAT level.
Okay, so owing to that, although there is, certain, in the consolidation basis there is certain impact that is going to be there, but on overall as a consolidated basis although there is an impact because of consolidation, on a comparative basis of year-on-year, there is still going to be an improvement in the all the fronts, both at EBITDA level as well as at the PAT levels. That's how we would like everyone to look at.
The rationale behind the purchase of IDL at the time of, entering the SPA agreement also we have given in very much in detail, a detailed comprehensive, presentation we have given, that it's a strategy with which, the IDL Explosives is acquired and, it takes few quarters for us to,

implement that strategy and bring it on to, defense-grade explosive, full-fledged this thing.
A huge capex is also being planned in IDL, which will contemplate for the future energetic requirement both in terms of the propellant as well as in terms of the warhead explosive, for, for our backward integration and also for, forward integration as a vertical integration, all three levels. So it will this transition will take some time.
At the same time, in our investor presentation also we have told that, there will also be an improvement from the next financial year owing that, we are doing a huge business development for IDL Explosives alone on a standalone basis also where, huge export-oriented, market which was untapped earlier is also being explored. Okay, and we have also given, decent amount of funnel is already there in place, which will further improve the margins of the company. Traditionally whatever, the levels at which this is there, it is going to be, subdued or compensated with the export business as well as increase in the domestic business. Predominantly the business comes from the Coal India, but also other, mining and infra projects also one after other, we have started getting projects. And we have played a, key role by fighting in the court of law for the ban of Coal India to be lifted actually.
And that was successful, we got Coal India projects, so the survival point of view there is no problem, but Q1 onwards from the next financial year the EBITDA is going to be positive, PAT is going to be positive. This year there could be a small, impact but there is not going to be a serious dent on the financials at EBITDA level or the PAT level because the margin expansion has significantly been there in the last three quarters for Apollo on a standalone basis, so that small, impact of, the consolidation may not have a significant impact on the console side.
Abhi Shah: Thanks for the detailed answer. So again, one question I want to ask regarding the order book. So can you just guide me what is the order book for IDL Explosives this quarter?
Sai Kumar: This quarter, the complete order book of IDL is standing at around INR500-odd crores actually.
Abhi Shah: INR500 crores. Okay. And okay. Yes, that's it.
Moderator: Thank you. We take the next question from the line of Akshay from AK Investment. Please proceed.

Akshay: Hello, thanks for giving me the opportunity and...
Moderator: Sorry to interrupt Mr. Akshay, could you please come closer to your device and then speak?
Akshay: Okay, thank you sir and thanks for giving me the opportunity. Sir, my first question is about the EBITDA margin, so at consolidated level not for this year because we have acquired IDL and margin is stressed somewhat for that reason, but for the next financial year and FY '28, what would be the consolidated EBITDA margins going forward? What are our targets?
Sai Kuma

r: No, margin levels guidance, For the EBITDA or at a PAT levels, at a Q3 level, I am not in a position to give you. Okay, guidance we will give you, once the Q4 quarter ends based on the outstanding order books that we have and the funnel that we have at the end of the 31st March. Okay, that's point number one.
But broadly, there is an internal target of maintaining on a standalone basis 15% margin at a PAT level. This is what is the guidance that we give, and we continue to stand on our guidance on the topline revenues of increase of 45% to 50% growth. Okay, that that guidance we have been giving and we will continue to stand on that point.
Akshay: Okay sir, and sir, my second question is about the promoter pledge, so when -- by when are we clearing the promoter pledge?
Sai Kumar: Okay, see like everything goes well, no, like -- We are we are working towards it in few quarters, we should be coming out. We have initially contemplated to come out in this quarter actually, but I think in next few quarters, step by step one after other we should be coming out.
Akshay: Yes, Yes. Okay, thank you.
Moderator: Thank you. We take the next question from the line of Manoj Jain from Jain HUF. Please proceed.
Manoj Jain: Namaste sir and Jai Hind. I would like to first state that, on the 5th of January I had sent an email to you people, asking a certain question but I don't know why it was unanswered. Now the question I'd like where which I placed there, I'm placing it once more here, which is that recently in CNBC-TV18 and other some websites some allegations some articles came on this your company in which it was alleged that something like that the shareholders had rejected a proposal for approving related party transactions in tune of INR500 crores between Apollo Defence, Apollo Strategic Technologies and IDL Explosives with almost 99% of the institutional shareholders voting against the resolution.
So is this true? I don't know why the company did not refute it or say anything about it. So if you can kindly clarify on this matter. Thank you very much.
Sai Kumar: I will clarify, sir. The point is like this, it is not a neither an allegation nor false, sir, it is in a

public domain. We have went we have gone in for an approval to shareholders stating that we would like to give a corporate guarantee towards subsidiary companies actually. Okay, sir.

The fact which -- the fact which every investor has to understand is that if we are taking a stake in a company, maybe a 100% acquisition or a minus stake or a majority stake, those companies typically rely on a parent company for support in terms of the financials. Right, sir?

Manoj Jain: Yes, yes, yes. Yes.

Sai Kumar: By being a support to the give a financial support to those companies, some certain guarantees has to be given as a corporate, okay. We have to stand as a guarantee and give that comfort to their either their lending partners or we may have to give some guarantees when they want to bid for a higher, tender projects or something like that.

Based for that purpose, in order to give such kind of a comfort letters or a corporate guarantees, this this resolution has been moved by us, which shareholders largely shareholders have accepted actually, but certain shareholders, they have gone with the what do you call biased, what do you call reports of certain report -- certain agencies who have made a report that, certain RPT, related party transaction based, corporate action is being initiated by Apollo.

Here the related party transaction point of view, none of the, the fund is not coming going to any of the, what do you call promoters, no such this thing is being given, only corporate guarantee, we are standing as a guarantee corporate guarantee has to be given without which, those company survival will become difficult actually. Okay.

Further we did -- there

is nothing to refute nor is it an allegation. There are you -- there are certain people who will write some, irrational topics in the social media which are being picked by few other people and, we do not want to respond certain things which are there on that actually.

The fact is that the resolution got defeated because certain people did not understand, whoever has voted negative we have reapproached and we have given a presentation, but they being certain mutual funds, they go by these agencies' reports actually. We did not further move that resolution once again for a reason that even if we move now for the next financial year starting from 1st April we will have to once again approach for, shareholder approval.

For the purpose of this one or two months, there's no point in taking approval because once again we have to take, it's a cost for the company, it is your company who is incurring loss by again going to the ballot, it is INR20-INR25 lakhs expenditure for me actually. I did not want to spend that, we have requested our bankers to, maintain certain refrain over it and wait for some time, we will further go in for shareholder approval.

This time we will make a comprehensive presentation to all the people, whoever has written reports to them also we will approach, and we will tell them the rational. There is no benefit that is being accorded to any of the, subsidiary companies nor any benefit accorded to any of the promoters by moving this resolution.

It is purely for the purpose of supporting the subsidiary companies so that they become independently they will be able to run over a period of time till such time When a baby is born,

it should eventually be able to stand and walk on its own two feet, but until then, it needs to hold its father's hand to walk, right?

So, if I'm extending my hand to help him, and someone says, "Don't give him your hand, let him fall," that wouldn't be right, would it? We appreciate and understand the concerns of that reporting agencies, we are going to address it, I will come back with the resolution, I will convince them, once again we will get it fast. That is the thought process that we have internally.

I hope this is clear and there is nothing hanky-panky happening there.

Manoj Jain: Okay, actually the report was made in such a way that as a shareholders, I could not understand that what was going on, so that's why I wanted clarification. And one more thing, sir, that I don't know why my question was not answered.

Sai Kumar: Jain sir, I request, please when reading -- when you read the report, whether the report has been written, appropriately by understanding what further resolution has been moved or not is also I request you to understand it, not just reading the report alone because reports are being prepared by certain analyst not understanding.

Because, when you prepare a report see I ask like you are an investor, whenever we conclude a call also now also, I want to tell, if when you are talking to us over the call of half an hour, one

hour, you will not understand anything about the company, please visit us, talk to the
management at least once in a lifetime. Okay?
Then only you will understand, after that we can have any number of calls. So whenever whoever
is writing analyst also, I request analyst to please visit us, understand us, we can give you one
hour, one and a half hour time, then you can write the report. Sir, what is not clarified I will
clarify again.
Manoj Jain: Yes, sir, regarding this only I said that I had sent an email to you people but, regarding this only
and but it was not answered, sir. That's why...
Sai Kumar: I regret it is unanswered, sir, verbatim it will be answered in next 72 hours.
Manoj Jain: Okay, sir, thank you, thank you for this and one more, one more question, small question I can
ask, that any further plans of equity dilutio

n for your company, means can you give any kind of
indication that any kind of equity dilution in the future which you are planning?
Sai Kumar: As and when as and when it is contemplated, we'll keep you informed, sir.
Manoj Jain: Okay, sir. Okay, thank you very much.
Moderator: Thank you. The next question is from the line of Ankush Agrawal from Surge Capital. Please
proceed.
Ankush Agrawal: Hi, sir, just a clarification. So you said out of INR1,300 crores of order book, INR500 crores is
IDL and rest INR800 crores are standalone.
Sai Kumar: Yes, sir, yes, sir, yes.

Ankush Agrawal: So INR800 plus INR500, that's the number, right?
Sai Kumar: Yes, yes, order book.
Ankush Agrawal: Okay, okay. That was all. Thank you.
Moderator: Thank you. We take the next question from the line of Shreyans Gathani from SG Securities.
Please proceed.
Shreyans Gathani: Hi, good evening, sir. I had a question on the acquisition. So if you could give some more details
around, which space the acquisition is in and what size of acquisition are we doing, what
revenues, just some more details on what we are looking to acquire?
Sai Kumar: Acquisition is strategic in nature once again, okay. But we are bound by NDA, I cannot disclose,
on exactly what it is actually because many of the people, will make their own assumptions out
of it, but good strategic acquisition. Wherever we are doing acquisitions, we will be doing where
we do not have a significant presence or we do not have a presence at all.
Shreyans Gathani: Got it. Sir, not just like any in which specific space because I know that we're looking to acquire
some RF company for a while now, so?
Sai Kumar: NDA is signed and NDA is signed, due diligence is in the process, after we do our internal due
diligence, it will come to merchant bank stage actually, okay, where the merchant banker is
involved right from the NDA stage itself actually, okay. This is what I can tell you.
Shreyans Gathani: Got it. Okay. And second question is on the QRSAM order, it's already passed DAC, so when
do we expect that order coming in because I assume that that'll also be quite a significant order
for us?
Karunakar Reddy: Yes, Yes. QRSAM order, BEL already negotiation is going on, MoD is negotiating with Bharat
Electronics. I think anytime, anytime this month only I think BEL is going to sign the MOU
with MoD. I think this month we are expecting. Before March, all subsystem-level orders also
they want to finalize. That is what the public sector undertaking, BDL is going to produce the
missile, overall project Bharat Electronics is going to handle.
So BDL we are in touch with BDL now because missile onboard systems we are doing. BDL
already they started negotiations and the, I think before March they want to finalize, in fact.
Shreyans Gathani: Got it. Okay, that's very helpful. Thank you. That's all from my end.
Moderator: Thank you. We take the next question from the line of Vivek, an individual investor. Please
proceed.
Vivek: Hi, thank you for the opportunity and congratulations on good set of numbers. My question one
is, probably I did not hear clearly, this order of MOORED Mine would be somewhere around
INR2,500 crores?
Karunakar Reddy: Yes, DAC approval is there in place, I think INR2,500 crore, correct, yes.

Vivek: Okay, okay.
Karunakar Reddy: Two variants we are doing, two variants we are doing, one approval already is there in place.

One DAC approval is in place, MOORED Mine already approval is there, MIGM we are expecting anytime this month.
Vivek: Okay. Regarding this Directed Energy Weapons, any progress on the order from the DAC?
Sai Kumar: No, sir. It will take some more time.
Vivek: Okay. Thank you so much.
Moderator: Thank you. We take the next question from the line of Disha from Sapphire Capital. Please procee

d.
Disha: Yes, thank you so much for this opportunity. So, sir, just couple of questions. So what has been the contribution for IDL so far in terms of the revenue?
Sai Kumar: It means in the consolidation.
Disha: Yes, Yes.
Sai Kumar: See there is a consolidation happened for 45 days actually, okay, with a clock date of 16th November. So in terms of the topline, the contribution is around INR50.8 crores.
Disha: And what sort of contribution are we expecting overall for this year?
Sai Kumar: This quarter could be around INR90 crores.
Disha: Okay. And sir just going ahead, I think you mentioned 45% to 50% is what we're planning on a standalone basis, that is organic growth. But with this IDL, we'll get the full year for consolidation next year, and a lot of other acquisitions also that are in pipeline. What sort of growth are we targeting for FY ‘27 and for years going ahead?
Sai Kumar: The futuristic acquisitions may not add to the consolidation even if it is done before 31st March actually because hardly any time will be left, that may not be very significant actually. But typically whatever consolidation has happened I told whatever guidance happened I told actually.
So on a consolidation basis, guidance I told you I will not be able to give any guidance on the consolidation. My guidance is only on a standalone basis. Guidance we will start giving from the next financial year onwards on a consolidated basis.
Disha: Okay. Okay. Fair enough, sir. And for the IDL, I think you mentioned just to just to clarify...
Sai Kumar: So my guidance ceases, till now whatever guidance we have given that ceases as of 31st March 2026. Fresh guidance, on a because now that consolidations are happening, fresh guidance on a consolidated basis we will start giving from the next financial year onwards.

Disha: Okay. All right, sir. And just so just to clarify, you mentioned that IDL will be EBITDA break even we are expecting by this quarter and PAT and EBITDA positive from 1st Q FY ‘27, right?
Sai Kumar: Yes, yes.
Disha: Okay, okay. Alright. That's it from my side. Thank you so much and all the best.
Moderator: Thank you. We take the next question from the line of Santosh Singh, an individual investor. Please proceed.
Santosh Singh: Good evening, sir. Hello, am I audible?
Sai Kumar: Yes, Yes, good evening. Good evening.
Santosh Singh: Sir, my question is around the debt level. How are you going to fund this acquisitions which you have planned and how would the debt would look like? That is my first question.
Sai Kumar: Continue, sir, you ask all the questions, I will answer at a time.
Santosh Singh: Okay, that is the first question, Yes.
Sai Kumar: As far as, the ADIPL, which is going to do the acquisition, okay, we are going to infuse funds into that, which will meet that this thing, sir, actually.
Santosh Singh: Okay. No, my question was basically is it from internal accruals or you are going to raise more fund, that can you give more clarity on that?
Sai Kumar: Currently internal accrual, sir.
Santosh Singh: Okay, okay. Second question was around this order line, I mean, order which you have, what is execution timeline you're targeting? I mean and what percentage of that will be, executing each quarter or maybe a yearly. Can you give some idea around that? The rate of execution basically.
Karunakar Reddy: No, coming orders you are talking about, sir, which order?
Santosh Singh: Order book, which you have. INR1,300, right? So how is that going to be, executed? Per year, per quarter, how is that going to be, executed?
Sai Kumar: Sir, the current outstanding order book is around INR1,300 crores. On a consolidated basis actually, okay. So partially of that will be concluded in this financial year, and some running orders, fresh orders, keep coming on a short-term this thing. But majorly, the current for th

e next
45 days, 50 days to for the end of this financial year, the orders what has to be executed everything are already in the pipeline.

Rest of the orders, what do you call are the ones which will be executed in the next financial
year where we have further funnel, where we are expecting orders, to contemplate for the
guidance that is given on a standalone basis for the company actually.

Santosh Singh: Okay, okay, I got it. My last question would be basically what percentage we are, I mean maintaining our R&D expenditure, could you help me with that currently?
Sai Kumar: Sir, average of 6% to 8% has been traditionally our R&D spend, sir, actually. Okay. This year it may cross that trend actually. That's how I can tell you.
Santosh Singh: Okay, got it, sir. Yes, thank you for answering all my questions and best wishes for the next quarters. Yes, thank you so much.
Sai Kumar: Thank you so much. Thank you.
Moderator: Thank you. We take the next question from the line of Deepen from PhillipCapital. Please proceed.
Deepen: Hi, thank you for the opportunity and congratulations on a great set of numbers. Sir, my first question is on the lines of your acquisition for IDL Explosives. So, sir, I wanted to understand as to where have we reached in terms of licensing and certification pertaining to the defense explosives and what all are what more certification and licensing are pending?
How much time it could take us and when can we start with the commercial production and maybe even foresee orders for defense explosives?
Sai Kumar: Sir, it is too detailed an information which I am not in a position to disclose at this point of time. But broadly, I will answer your question, that a detailed compendium of the different explosives related to defense explosives has, is already ready. And we are for some of the things, we have already started placing orders for the machinery.
For some of the things, negotiation is going on, parallelly licensing activity is also parallelly going on. And there is a team of expert consultants who have been nominated to do this job actually. Next financial year, we are likely to get, large-cap, weapon system orders for which we are geared up.
Deepen: Got it, sir. Sir, in one of the DPSUs' commentary, so they told us that there was some supply chain issue that they are facing, so any slowdown from ordering from DPSUs that you might be seeing in or any commentary on the industry side of it that you would like to...
Sai Kumar: Obviously, when the context when the context of IDL has come, I told to the previous, this thing also, that this is a backward integration for us, it's also a forward integration for us and a vertical integration also, okay. We are we are building capacities which will not only meet our internal captive requirement going forward, but will also be, serving as an outsourcing for the many.
So in the current scenario, doing it in a very, very large quantity, the ecosystem is very small and the requirements are growing exponentially in every quarter-by-quarter basis, every month, rather, I should position it as. And we are observing the trend. As we do not have a full, although we have a clarity and idea, we have appointed, very, very senior consultant panel actually.
Not one member, okay, a panel of senior consultant who is expertise in the explosives in the different types of, someone who is expert in the warhead, someone who is expert in propellant,

within propellant someone who is expert in different things, someone who is expert in ammunition, okay. So like this, artillery, okay.
Like that, a panel of, consultants are, working on it, in terms of the current captive requirement of us and the futuristic requirement of to serve different industries, both for the public sector and there is a growing

demand in the private sector, lot of people are entering into this project this thing. Even for them also IDL is going to be a support system, sir, going forward.
Deepen: Got it, sir. That's all from my side. Wish you the best. Thank you for the opportunity.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. And I would now like to hand the conference over to the management for closing comments. Over to you, sir.
Sai Kumar: Thank you so much. We extend our sincere gratitude to the Ministry of Defence, Government of India, for their continued trust in the Indian defense manufacturing ecosystem. Their confidence reflected through substantial investments is a strong endorsement of our nation's industrial capabilities and innovation potential.
We remain steadfast in our commitment to delivering advanced solutions that bolster operational readiness and strengthen national security. It is an honor to serve the nation by all of us from the company and we stand fully prepared to support our armed forces under all circumstances.

I extend my heartfelt thanks to all our esteemed investors and analysts for being with us today. Your continued trust and partnership mean the world to us. Your participation and feedback are invaluable to us. We remain committed to enhancing our performance and driving sustainable growth. We look forward to welcoming you to our facilities where you will have opportunity to observe our operation and initiatives at a ground level.

Should you have any further questions or wish to share your thoughts, please do not hesitate to contact our investor relations team or write to us at investors.relation@apollo-micro.com. Thank you once again for your time and interest. We look forward to reconnecting with you during our Q4 update. Wishing you all a great day. Jai Hind. Thank you ICICI team, for arranging this call.

Moderator: Thank you. Thank you, management. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2026

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Date: 21st May 2026
BSE Limited,
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Dalal Street, Mumbai – 400 001 National Stock Exchange of India Ltd.,
Exchange Plaza, C-1, Block G,
Bandra Kurla Complex,
Bandra (E), Mumbai – 400 051
Scrip Code: 540879 Symbol: APOLLO ISIN: INE713T01028

Dear Sir,

Subject: Transcript of the Earnings Conference Call held on May 19, 2026 under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

Dear Sir/Madam,

Pursuant to Regulation 30, read with Part A of Schedule III, and other applicable provisions of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended and further to our intimation dated May 14, 2026, regarding schedule of the Earnings Conference Call with investors, we wish to inform you that the conference call was held on Tuesday 19th May, 2026.

Transcript of the above-mentioned Earnings Conference Call is attached herewith and can also be accessed at: https://apollo-micro.com .

We request you to take the above on record.

For Apollo Micro Systems Limited

Karunakar Reddy Baddam
Managing Director
DIN:00790139

"Apollo Micro Systems Limited
Q4 FY26 Earnings Conference Call"
May 19, 2026

MANAGEMENT : MR. KARUNAKAR REDDY – MANAGING DIRECTOR – APOLLO MICRO SYSTEMS LIMITED
M R. A. KRISHNA SAI KUMAR – WHOLE TIME DIRECTOR - OPERATIONS – APOLLO MICRO SYSTEMS LIMITED
M R. SUDARSHAN CHILUVERU – CHIEF FINANCIAL OFFICER – APOLLO MICRO SYSTEMS LIMITED

MODERATOR : MR. PRITISH URUMKAR – ICICI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to Apollo Micro Systems Limited Q4 FY26 Earnings Conference Call, hosted by ICICI Securities Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Pritish Urumkar from ICICI Securities. Thank you and over to you, sir.
Pritish Urumkar: Thank you, operator. Good morning, everyone. I welcome you all to Apollo Micro Systems Q4 FY26 conference call. I would like to thank the management for giving us the opportunity to host the conference call. From the management team, we have Mr. Karunakar Reddy, Managing Director, Mr. Sai Kumar, Whole-Time Director, and Mr. Sudarshan Chiluveru, CFO.
Now, I hand over the call to the management for opening remarks. Thank you.
A. Krishna Sai Kumar: Good morning, everyone. Myself A. Krishna Sai Kumar, I'm the Director Operations, Apollo Micro Systems. Thank you all for being with us today. It's always a privilege to engage with our valued investors and provide updates on our performance, strategy, and future outlook.
I am pleased to share that we have delivered our highest ever quarterly and 12 months revenue marked by consistent execution, operational discipline, and a strong commitment to indigenization and the Atmanirbhar Bharat initiative. I trust, you have had the opportunity to review our financial results, shareholder letter, press release, tear sheet, and investor presentation.
The shareholder letter reflects the true thoughts from Apollo Micro Systems, which will help you understand where we are headed and our long-term direction. The press release provides a concise overview of our annual and quarterly financial performance.
The tear sheet offers a snapshot of who we are, what we do, our financial highlights, and a glimpse into Vision 2036. The investor presentation provides a comprehensive overview of our weapons, systems, and subsystems, explosive portfolio, financial performance, and strategic priorities. This marks our fourth interaction to conclude fiscal year 2026.
We are pleased to begin with a significant milestone that marks our continued growth and global progress. We are pleased to announce that an additional acquisition by our subsidiary Apollo Defence Industries Private Limited is expected to be completed before end of this financial year, which will significantly complement our organic growth and overall strengthen our business.
We are currently charting our Vision 2036 document, which will be unveiled soon and will outline our detailed strategy, key growth areas, and strategic direction for Apollo's growth over

the coming decade. A glimpse of Vision 2036 has already been shared with you through the shareholder letter and the tear sheet.
Our vision is to grow as a global OEM over the next 10 years with recognizable revenue streams across land, air, and sea domains, expanding our presence in Indian markets, while continuing to scale in global markets. Delivering valued products built with conviction and strengthening our R&D capabilities with the most advanced and futuristic technologies.
The four pillars of our vision are; first, becoming a global OEM made in India, transitioning from a tier 1 supplier o

f critical electronics to a recognizable global OEM in defense platforms
where Apollo's name is on the platform itself, not only inside the electronic system, which forms part of a platform.
Second, building recognizable and diversified revenue streams across land, air, and sea so that no single platform, program, or customer defines the Apollo story. Third, deepening our presence in Indian defense procurement, while meaningfully expanding in global markets, converting our first export order into a sustained international revenue stream.
And fourth, driving conviction-led innovation, which has always been the backbone of Apollo Micro System, backed by futuristic R&D in radio frequency technologies, artificial intelligence, autonomous systems, and inertial navigation technologies.
We do make mistakes. Some bets will succeed, while others may require a course correction.
What I commit to you on behalf of the entire team Apollo and the management and the Managing

Director of Apollo is that, we will communicate with complete transparency through both success and setbacks without glossing over challenges or overstating achievements.
Let me now take you through our consolidated performance in last five years, full year that is 2026 and fourth quarter ended 31 March, 2026. Over the last five years, we have delivered strong compounded growth and operational performance. Between FY21 and FY26, our revenue grew from operations at CAGR of 30%, while EBITDA grew at a CAGR of 41% over the same period. Our bottom line significantly outpaced top-line growth registering a CAGR of 64%.
We also witnessed meaningful margin expansion during this period. EBITDA margin improved from 19% in FY21 to 24% in FY26, reflecting an expansion of 500 basis points. PAT margin expanded by 700 basis points increasing from 5% in FY21 to 12% in FY26.
The ROCE improved substantially from 10% in FY21 to 18% in FY26, demonstrating enhanced operational efficiency and capital productivity. Our working capital cycle has also seen a significant improvement reducing from 626 days in FY21 to 359 days in FY26.
Moving to our FY26 performance, during the last call, we had indicated an internal target of achieving a 15% PAT margin at the standalone level. We commit; we deliver. We close the year with the full year PAT margin of 16%. At consolidated level, our top-line of FY26 stood at INR904 crores, registering a strong year-on-year growth of 61%, compared to INR562 crores in FY25.

EBITDA excluding other income grew significantly by 69% to INR218 crores in FY26 as against INR129 crores in FY25. A similar growth trajectory was witnessed in PAT, which outpaced revenue growth and increased by 91% to INR107 crores in FY26, compared to INR56 crores in FY25.
FY26 has been a breakthrough year in Apollo's history marked by strong financial discipline and operational execution. During the year, ROCE and ROE stood at 18.23% and 11.21%, respectively. EBITDA margin expanded by 114 basis points to 24% in FY26, while PAT margin expanded by 185 basis points to 12% in FY26. We made the highest investment in R&D within the industry during FY26 with R&D expenditure amounting to 8% of revenue, which is around INR72 crores in absolute terms.
Notably, we recorded zero attrition within our R&D team during this year, reflecting the strength and stability of our talent base. In FY26, our focused and rigorous R&D efforts culminated in successful development of products such as Mini Torpedo, sensor suits for underwater autonomous vehicles, fiber optic gyro-based INS systems, and several other advanced solutions. We are also actively working on multiple critical and next-generation technologies and solutions that will strengthen our future capabilities and growth trajectory.
I would now like to draw your attention to some of the key highlights of FY26 that have laid

a
strong foundation for the years ahead, including a successful fundraise, greenfield expansion in Telangana, 100% acquisition of IDL Explosives, receipt of our first export order, a tripartite alliance with Indian Navy, IIT Chennai, and AMS, an MoU with GRSE. We also received an industrial license for TNT and RDX through our subsidiary company IDL Explosives.
We have received a DPIIT license covering UAVs, INS systems, radars, torpedoes, underwater mines, ATGM, decoys, chaffs and flares, aerial bombs, rockets, missiles, and loitering munition. This is a remarkable achievement, which are a lifetime license for the company, and which paves a way and a road for penetrating into a full-fledged platforms for the company, for the Indian markets as well as for the global markets.
And also we have received transfer of technology for directed energy weapons, including laser-based DEW and electro-optical tracking systems. I would like to now touch upon a quarterly performance. On a consolidated basis, Q4 FY26 marked our highest ever quarterly revenue, EBITDA and PAT performance.
Revenue surged by 81% year-on-year basis to INR293 crores, compared to INR162 crores in Q4 FY25, driven by robust execution of our order book and the successful transition of multiple products in production phase.
EBITDA also witnessed strong growth increasing by 88% to INR68 crores in FY26 Q4 and the PAT recorded an exceptional growth of 164% year-on-year, rising to INR37 crores as against INR14 crores in the corresponding quarter of the previous year. Our order book as of 31st March stood at INR1,432 crores on a consolidated basis providing strong visibility for future growth.
Our strength, Apollo heritage strength has been in the air and underwater domains including missiles, electronic warfare, avionics, torpedoes, sonars, and underwater mines. Our presence in

land systems has historically been limited, however, this is now changing in a deliberate and well-resourced manner.
FY26-'27 will mark our serious entry into key defense domains including armament electronics, fire control systems, and battle tanks, infantry combat vehicles, and artillery platforms, vehicle-mounted counter-drone systems with trials scheduled in the upcoming quarters.
We have done remarkable progress in development of our futuristic rocket programs, like, the BM-21 Grad rocket. As you all are aware that we have been a trusted partner and supplier for various programs in guidance and navigation systems, one such program is the Pinaka program and for many other programs.
We will also continue our role as the approved production partner for DRDO and you all are aware that we are already approved production partner for multi-influence ground mine and we are expecting to become a DCPP partner for other variants of mine of DRDO. India's MIGM, which is India's first indigenous naval mine of its class designated as Vighna developed under the DcPP with DRDO.
Each of these initiatives represents a strategic foothold together forming the foundation for long-term compounding growth over the coming decade. In the Air domain, our focus areas include unmanned systems, loitering munition, rail platforms, and counter-drones. Our commitment to emerging technologies spans three core areas; RF systems, artificial intelligence, and inertial navigation systems.
In RF, we are developing various RF sensors, like, RF tracking and direction-finding system, and various other electronic warfare sensors, advanced communication suits, the neutral backbone of modern combat platforms.
In Artificial Intelligence, we are building embedded AI for sensor fusion for autonomous vehicles and underwater autonomous systems, and also for various battlefield applications and also for the various direction-finding applications.
We have done a good progress in this concluded financial year in developing inert

ial navigation
system based on fiber optic gyros, and we would be unveiling the products soon and we will update our investors from time to time. These commitments underscore our continued operational excellence and reaffirm the strength of our growth trajectory into FY36.
We have evolved from being a subsystem and systems manufacturer to establishing ourselves as a full-fledged weapon system manufacturer, a significant milestone in our journey of growth and technological excellence.
Building on 41 years of technological excellence, we are poised to evolve into a multi-disciplinary defense system powerhouse to drive next-generation innovation. Our vision is bold, built on strong fundamentals and an unwavering commitment in creating value for our stakeholders.

Thank you for your continued trust and support. We now look forward to addressing your questions.
Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Amit Dixit from Goldman Sachs. Please go ahead.
Amit Dixit: Yes, hi, good morning, everyone, and thanks for the opportunity. Congratulations for a very good set of numbers and a very informative presentation uploaded on the exchanges. A couple of questions from my end.
The first one is essentially, if I look at the revenue growth, very impressive. Order book is around INR1,430-odd crores. Now my question is more on near-term scenario. What, kind of, order inflows we expect in FY27 and '28 let us say, because if we don't get substantial order inflows then this superlative revenue growth might not be sustained. So, just want to get your thoughts on that, the order inflows that you expect for FY27-'28? That is the first question.
A. Krishna Sai Kumar: Can, you continue with all your questions? I will answer it at once.
Amit Dixit: Okay. The second one is essentially on FY36 Vision. I mean, thanks for articulating it in the letter to shareholders. Just want to understand the key tenets of that FY36 Vision. I mean, while you have explained in terms of products where you want to be, the multi-disciplinary company, but if you have any financial parameters handy, if you can articulate them that would be wonderful?
A. Krishna Sai Kumar: Yes. So, I will go ahead with the first question. So primarily, we are expecting a large ticket projects, which we have been quite vocal about for last one year. And the time has come, and the clocking of these large ticket orders are due to come, and anytime in this financial year we would be getting and our order book size also will cumulatively increase both on standalone, as

well as on a consolidated basis. So that is something that I would like to understand.
We will continue to grow at a similar rate, in this particular financial year and the subsequent financial year backed by the size of the order book that we are going to have. The order book size will increase significantly as we have been telling, and that something, which is going to happen in this financial year. That's something, which I want to tell.
Regarding the FY36, we just wanted to give a glimpse of what we are trying to do. The more nitty-gritties of that, we will come back to all our investors and we will be start being more vocal about it and how the numbers will culminate and all from time to time. But at this point of time where we are heading, we just want to give a course for you to understand, what's the vision that we have down the line.
Amit Dixit: Okay, sir, great. That's helpful. Thank you.
Moderator: Thank you. Next question is from the line of Abhijeet Singh from Systematix Group. Please go ahead.

Abhijeet Singh: Sir, thank you for the opportunity and good to see such great results. Sir, I want to understand what is our product and offering in t

he air defense systems that are going to come up, like,
QRSAMs and Kusha. So, what is our capability and products and offerings going into these air defense systems? That is my first question.
Second question sir, where are we on the development of the RF seeker in the BrahMos, and do we also supply some other subsystems, modules for BrahMos other than our development initiative on seekers?
A. Krishna Sai Kumar: Okay. So, if you remember, in the previous con-call our Managing Director, he has already informed to investors that we have started the RF seeker development for a couple of programs.
And the programs are -- these are our internal R&D programs and we are investing heavily on that, and we are setting up a specialized RF seeker testing facility in our upcoming unit in Hardware Park. So, this is about the RF seeker.
And regarding our presence in QRSAMs, Kusha, and other things, these are too nitty-gritty questions, and I would not like to take on a con-call, but I would like to tell that we have a good and decent presence in both Kusha program as well as in the QRSAM program. Various systems like the SAMs, the actuations and other systems are part of these programs actually. So, as of now I just would like to make it up to this.
Abhijeet Singh: Okay, sir. Thank you. Thank you so much.
Moderator: Thank you. Next question is from the line of Gaurav Shah from Nitya Capital. Please go ahead.
Gaurav Shah: Good morning, sir. Congratulations for a very good set of numbers. I have two set of questions.
One, is wanted to check on what is status of the Unit 3, which was under construction?
Second one is on, wanted to know your thoughts on the large inventory and trade receivables that we have on our books, and how do we see it coming down vis-à-vis the total revenue going forward?
A. Krishna Sai Kumar: So, Unit 3 civil work is already complete for phase one. So, phase two civil work is still taking place. Some of the machinery, which we have ordered, we have already received those machinery and installation process going on. MEP, electrical and other facade works are going on in phase one. So we will be taking the position of the premises phase-wise, and subsequently we will be shifting the machinery, which is presently in the Unit 1 to Unit 3 on stage-by-stage basis, okay.
And regarding the inventory holding days, there is an improvement in this financial year and this is something, which is going to be in the subsequent financial years as well. As you all know that the predominant business that gets recorded are development orders actually, and we are expecting the decently good production orders on in this financial year, as well as in the subsequent financial year.
Most of the programs have got matured, and lot of other larger players have already started receiving orders. As we have been predominantly a subsystem and a supplier to various platform

integrators, we are likely to get a large production orders. As and when these production orders keep hitting, and then the revenue starts recognizing, I think the inventory levels will slowly come down.
But vis-à-vis the revenue size will also parallelly grow as the number of programs are increasing, obviously, the inventory will also keep growing, because in the gestation cycles of this raw

material and the production and testing cycles of these defense systems are very highly elongated actually, which is common amongst this industry. So, there's nothing, I mean, to say, a factor that has to be looked down about the inventory and the sizes of it.
As the business keeps growing, the levels will also keep growing, but as the scale of operations will increase, you will definitely see a decent improvement in the holding periods, because all the test facilities, which we have been outsourcing for last several years, we are setting up all the test facilitie

s, so that is something that will contribute to the overall holding periods. That's what you will see a visibility in few quarters down the line.
Gaurav Shah: Okay. Thank you, sir.
Moderator: Thank you. Next question is from the line of Darshil Jhaveri from Crown Capital. Please go ahead. Darshil Jhaveri?
Darshil Jhaveri: Hello? Hello?
Moderator: Yes, go ahead.
Darshil Jhaveri: Hello? Can you hear me?
Moderator: Yes, go ahead.
Darshil Jhaveri: Yes, hi sir, hi sir. Firstly sir, congratulations on a great performance, and a great presentation sir. Sir, just wanted to understand, sorry, there was a network issue for me, so I couldn't hear the previous comments. So, in terms of IDL, what is the revenue expectations that we have in this year and going forward, and what utilization and margins is it operating on currently sir?
A. Krishna Sai Kumar: IDL last year performance stood at around INR380 crores, little less than INR380 crores. So, it will continue to maintain a similar level of performance. So, this is primarily a huge shift of management, which have been there for decades. Now, our outlook towards IDL is totally different.
As of now I'm not able to give any guidance on IDL. It's presently undergoing a transformation phase. In next couple of quarters, we are taking a lot of initiatives in last one, one and a half quarter, and in next couple of quarters more initiatives will be taken. I think we will be quite vocal about IDL's revenue guidance and other things from Q3 onwards.
Darshil Jhaveri: Okay, okay. Fair enough sir. So, but currently at INR380 crores, is it profitable or how do you feel sir right now? If you could just give a broad range in terms of the potential margins that can it come to the consolidated margins that we're doing right now, or is it nearby? How are we planning to make it EPS accretive?

A. Krishna Sai Kumar: For last few years, IDL was loss making, but there's the huge transformation as I already told you that we have started by taking up the initiatives, and the operational loss, we have reduced significantly at both EBITDA levels and at different levels of the balance sheet. Going forward, you will see a huge improvement in that. But as of now, it's undergoing transformation, and one after the other we are able to do that.
Moderator: Thank you. Darshil, I'll request to come back for a follow-up question. Next question is from the line of Ronak Singhvi from NAFA Asset Managers. Please go ahead.
Ronak Singhvi: Hello?
Moderator: Go ahead sir.
Ronak Singhvi: Yes. Thank you for taking my question. I would want to know specific things about in the slide number 101, you have mentioned state-owned defense public sector units have recorded 42% surge in exports, reaching out INR8,389 crore. A large part of these two are from explosives as part of ammunition, particularly for artillery. So, which is big demand in Europe. So, are you looking into that venture as well?
A. Krishna Sai Kumar: Yes, yes. We will be going heavily on ammo's and artillery side. We have already started getting orders to that extent. Very shortly we are going to get a [inaudible 0:27:25] ammunition order as well. So, as and when we keep getting, we'll definitely announce you. But this is the one area, which we would expand in continuously.
Explosive portion will be supported by our explosive subsidiary IDL Explosives, and the rest of the hardware, and wherever the intelligence is required, this is all done by the parent company, Apollo.
Ronak Singhvi: So, this will be filled artillery shells, not only the empty shells. Am I right?
A. Krishna Sai Kumar: Yes, yes.
Ronak Singhvi: Thank you.
Moderator: Thank you. Next question is from the line of Prateek Bagadia, Individual Investor. Please go ahead.
Prateek Bagadia: Yes hi sir. First of all, thanks for giving me this opportunity and con

grats for a great set of
numbers. So, I have two specific questions. First, I wanted to understand that you have mentioned that around management has participated in around 150 plus indigenous programs and around 700 plus onboarded technologies. So, can you throw some light as to currently at what stage are they? Are they in the serial production stage or still in the development or prototype stage?
A. Krishna Sai Kumar: No, that will be a very exhaustive question Bagadia ji. So, -- but I will just give a touch base on it that, you know, some of the programs are in development phase, some of them are in serial production phase, some of them are in, you know, trials phase like that actually, okay.

So but you know, detailing of each program and all over the call, you know, it's very sensitive also to, you know, discuss, but you know, these are at a various phase levels which are spanning around the missile programs, the naval programs, the air defense programs, the land systems programs and all, all put together.
Prateek Bagadia: So, are we expecting any revenue contribution from them in the coming few quarters?
A. Krishna Sai Kumar: Yes, yes, obviously. Any indigenous missile program which is going for production which you hearsay, you know, through the news, social media or, you know, the defense news or any other, you know, media, you know, all those programs we will be having our, you know, equipment going in it actually. That's a uniqueness of Apollo that, you know, we have a presence across every indigenous missile program of the country. So that's how I can term ourselves as.
Prateek Bagadia: Okay, thank you. And my second question is with respect to the promoter pledge part, I remember last year when we discussed the idea was to bring it down completely to zero in FY2026, but as I can check it is still around 39%. So, can you give us a roadmap as to what does the management see?
A. Krishna Sai Kumar: Immediately roadmap I cannot tell but in the last, you know, call, you know, we said that, you know, in the upcoming financial year, we are going to come out of this and we stand by that actually, which is this financial year.
Moderator: Thank you. Prateek, I'll request to come back for a follow-up question. Next question is from the line of Ayush Agarwal from MAPL Value Investing Fund. Please go ahead.
Ayush Agarwal: Yes, hi sir. Good morning. Thanks for the opportunity. My questions are pertaining to the subsidiary IDL Explosives. I want to understand more on the TNT and HMX side. First question is, you know, if you can tell us why are we going with a smaller expansion not a larger one? What is the particular expansion like capex size we are doing in TNT and HMX? I understand it's 500 tons for TNT and 50 tons for HMX, but like, you know, what capital will be used for that and why not a larger capex for these two products?
A. Krishna Sai Kumar: So Ayush, primarily the TNT and HMX licenses which we have obtained are the -- our industrial explosive requirements actually, okay. The capacities are not limited to that. For higher capacities for the defense explosive requirements, you know -- and you know, we would be doing a very large expansion.
So, the DPRs are have -- are getting ready and as and when, you know, we feel it to be, you know, necessary that, you know, it has to be opened in the market, you know, we will keep, you know, disclosing, keeping in view of the sensitivity of the area that we are working to the investors from time-to-time.
Ayush Agarwal: Understand. One more question on these products is, you know, what would be the global demand in your opinion for TNT and what is the supply situation against it? Are there a lot of, you know, plants coming up outside of India to cater to this global demand and can we see prices coming down that have gone up in the last two, three years?

A. Krishna Sai Kumar: Globally, the conflicts have been boiling at a highest peak level in last six years. You know, there's a huge depletion of stocks across the world in different various countries. And keeping in view of the ESG and other, you know, issues, you know, the lot of plants which are unoperational for several decades in many countries. So this brings a lot of opportunity for the explosive companies both in India as well as across the world actually.
So, the idea behind we, you know, getting into explosive was one that, you know, we wanted to get into full-fledged platforms now that we have a lot of experience that we have put up and some of which we have already demonstrated and we have been qualified in some of the cases, you know, we have been qualified as a production partner as part of the DRDO program.
Some of the programs we are directly developing ourselves with the indigenous, you know, R&D and captive internal, you know, R&D investments and some of the areas, we have directly

taken orders from Army and Navy based on some something which we are developing. So, both as a captive requirement is one such thing we are going to do. Now that, you know, we're going to, you know, build up the facilities for our captive requirement, we'll also be serving for the other markets as well.

Moderator: Thank you. Ayush, I'll request to come back for a follow-up question. Next question is from the line of Amit Kumar from HDFC Securities. Please go ahead.

Amit Kumar: Hello. Good afternoon sir. Congratulations for a great set of numbers. I hope I'm audible.

A. Krishna Sai Kumar: Yes, very much.

Amit Kumar: Yes. So, congrats sir for great set of numbers and lot of licenses from Government of India. So, my only question is we can see lot of potential from these new licenses, missiles, ATGMs, torpedoes, mines, aerial bombs, etc. So can you please take two minutes to explain that how much is the revenue potential from each of these? I mean, I'm not, I mean, holding off for a specific number, but at least the guidelines and what could be the timelines for these materializing would be of great help?

A. Krishna Sai Kumar: All variants of mine we have -- you know, two variants of mine, one shallow, one deep water. And, you know, we have two variants of mine which are limpet mines and diver carried mines. All these -- only these variants of mine alone would be a cumulative, you know, a market, you know, in very immediate market size of something like INR4,000 crores to INR4,500 odd crores, you know, that that we are expecting, which -- out of which some of the, you know, orders, you know, which we will be getting in this financial year, some maybe next-next after financial year on a continual basis.

We also have some opportunities, you know, overseas, you know, we have started submitting our offers. So just to give a glimpse of one area. So aerial bombs or dumb bombs primarily, this also very sizable market. We are trying to, you know, reduce the cost of, you know, the production of it and something the trials have already been successful -- successfully. This is some -- this is something which we are working with DRDO.

Like that there are many other opportunities, you know, it will be too exhaustive, you know, to take up in this call, but you know, the addressable market opportunity for the licenses that we have got is pretty large as a TAM. Out of which where we are qualified, that itself runs into a, you know, decently very large numbers.

Amit Kumar: Okay. So, I mean, if you can squeeze in. So, I mean, considering all of these products, can we see a visibility for at least next five years at the current pace of growth?

A. Krishna Sai Kumar: That's something which I have already told in my speech itself that, you know, we w

ill continue
to grow at the same pace or an accelerated pace in the years coming ahead and including this financial year.

Amit Kumar: Okay. Thank you sir.

Moderator: Thank you. Next question is from the line of Aryan Singh from Hem Securities. Please go ahead.

Aryan Singh: Congratulations sir on great set of numbers. My first question is regarding composition of the order book.

A. Krishna Sai Kumar: Composition of order book we have never given, you know, I would like to refrain from the questions and I want to take it offline.

Aryan Singh: Okay sir. My second question is like what are going to be the best products which are going to contribute most of our revenue in the coming years?

A. Krishna Sai Kumar: No, it's not like that, you know, what products are going to contribute to revenue. You know, this is -- primarily there are two aspects of it. One, you know, predominantly our business has been coming through the DRDO which are development programs and through the system integrators, you know, where whoever has been, you know, awarded the, you know, integration of a larger platform, okay.

So, you know, it all depends on, you know, which systems or which platforms are getting into production phase in various years. So, it could be a very tricky question to answer, you know, as and when there is an order book, then I will be able to tell that this is happening.

But over next period of, you know, few years, you know, how that will culminate is something -- but please keep a watch on various weapon programs that are getting into production and the announcements that are given by the government or various system integrators including the defense PSUs and the private system integrators who have got orders and, you know, which are getting into production, in all of those programs we will be, you know, having our, you know, presence.

Aryan Singh: Okay. Thank you sir.

Moderator: Thank you. Next question is from the line of Kavish Parekh from 360 ONE Capital. Please go ahead.

Kavish Parekh: Hi team, thanks for the opportunity. My question pertains to the current global supply chain environment. Are you witnessing any disruption in the availability of key supplies of critical components at this point? And could you also highlight the countries or regions from which you source these critical inputs? And if there is any potential impact that you see on your production timelines or costs or overall operations if these situations persist?
A. Krishna Sai Kumar: Nothing -- see, see, this geopolitical issues and -- are something, you know, which are not new or something which are based on the current conflict or something, this has been there since time immemorial, okay.
So, but, you know, as far as the, you know, performance point of view is concerned, you know, whether there will be a significant dent or not, you know, in the years to come, that's something that, you know, is very tough to answer actually.
But there could be always a timing issue because of the various, you know, operational conditions which are running across the globe. As the day stands, you know, the very immediate, what you call, global issue which we have faced with Corona and at that time there was a supply chain disruption.
Then there was a reset of, you know, how to work in this particular type of environment of giving a guidance of, you know, what material at what point of time, you know, has to be, you know, procured. So, that's how we used to give our, you know, guidance to our, you know, OEMs and suppliers of the various semiconductors which are our primary raw material. Accordingly, you know, we were procuring, okay.
The similar reset will keep happening as, you know, as and when any such, you know, global events happen. But I think very immediate effect of, you know, and denting of the, you know, overall performance, you k

now, is something, you know, I don't contemplate. But the timing of the, you know, revenue recognitions may shift by a quarter or so in -- I mean to say I'm not specifically talking about me as such, you know, as an industry also actually.
But broadly per se if you have to ask me is as of now there's nothing very significant, you know, that I could see. Everything is normal. As I'm speaking to you, now I'm in Middle East, you know, everything is good to go here, you know, everything is normal. So I don't think any issue should be there.
Kavish Parekh: Great sir, great. Good to know that. Thank you so much. That was my question.
Moderator: Thank you. Next question is from the line of Vivek Gautam from GS Investments. Please go ahead.
Vivek Gautam: Yes. Sir, congratulations on good set of number and what I especially liked was the letter written by you, it was a very heartfelt letter and very sincere. And actually we have just started tracking the company, so basically if you would don't mind if you can repeat the -- basically the expected growth rate for our company, opportunity size for us in India under Atmanirbhar as an export? And the differentiator for our company -- and are there any products where we are making sort

of a monopoly sort of competition intensity is quite less sir? So that is -- these are my question sir?
A. Krishna Sai Kumar: Sir, if I say that, you know, I am doing and having a monopoly over certain things, you know, then it becomes quite controversial. So, I would not like to, you know, term anything like that.
But definitely we have a uniqueness, you know, in terms of certain products where we are the only company who got qualified in certain areas. And in certain areas where, you know, we are the only, you know, qualified, you know, company who is a full-fledged developer with all-round, you know, IP available with us including the explosive portion of it.
Although there are, you know, competition, you know, in fray in certain areas where they end up to be only a system integrators or a production partners actually. So, it's a variable listing.
But there's nothing like a monopolization may not be the right word, but we have a unique standing point where we have the ability to re-engineer and develop and advanced systems and technologies by virtue of holding the IP with us, which is a key differentiator compared to many other peer players of that specific technology or of that particular area of where we are working.
That's how, you know, I would like to, you know, professionally term it as.
Vivek Gautam: Yes. And coming to the opportunity size in exports also and also the fact that the last budget -- if I'm not wrong, last financial year was the first year by Government of India where the 100% defense -- allocated defense budget was used. And I believe the dynamic Defence Secretary Mr.

Singh is doing a great work over there. So, what is the expected growth rate for us in the company and the sector in India as well as in the export?

A. Krishna Sai Kumar: Definitely a dream come true and definitely a beautiful achievement by, you know, Ministry of Defence, Government of India. I personally congratulate, you know, for all the stakeholders who have contributed in achieving that and unfortunately I could not be a part of, you know, that achievement which I definitely regret on my part.

But we are very strong in our conviction that, you know, our exports in going forward will start inching to grow and subsequently will start escalating on a, you know, higher scales for which, you know, all the requisite initiatives we have started taking up. The audits by some of our -- the customers of interest, you know, who are interested to work with us and place orders which are export opportunities, you know, the audits have already started actually.

And we are just, you know, expecting our new f

acility to get ready so that, you know, we can firmly and strongly take up the opportunities because once we commit, you know, we have to deliver them on time, that's something which will be very important.

And now that the portfolio of the, you know, explosives also will be growing in the next few quarters for us, this is something a larger opportunity we would be eyeing. We already -- as I already told to other, you know, investor in the con call, we already started, you know, submitting our offers for various export opportunities and in the years ahead, we will be having some meaningfully good decent amount of share in the export, you know, size which the, you know, which is being -- I mean to say -- I mean to say recorded as an export from the country.

Vivek Gautam: And there was one large order from Navy for I believe mines or something, torpedo something, they…

A. Krishna Sai Kumar: Yes, yes. We are expecting any moment -- we are expecting it any moment, any moment we should be getting this approval from the Ministry of Defence…

Moderator: Sir, sorry to interrupt you. Your audio is not clear.

A. Krishna Sai Kumar: So, we are expecting the DAC approval any moment. As and when we receive, we'll definitely keep you posted, but this is something which is going to happen very shortly.

Vivek Gautam: Yes, wonderful to hear sir and with government also intent on spending the full defence budget allocated, good times are there for us sir. Thank you very much sir.

Moderator: Thank you. Next question is from the line of Raj Rishi from DCPL. Please go ahead.

Raj Rishi: Yes hi sir. Mr. R.K. Singh, the Defence Secretary recently said in the CII summit that the private sector might be involved in this ballistic missile production. So, how do you see yourself if this happens?

A. Krishna Sai Kumar: It’s fantastic if someone is taking the opportunity then, you know, I should be a key contributor because I have a lot of build blocks already available with me. But presently that's not something that we are eyeing by ourselves.

Raj Rishi: Okay. But it will expand the opportunity size for you, right?

A. Krishna Sai Kumar: It will definitely expand the opportunity size. You know, we have some interest coming from few players, you know, who are eyeing as a very large programs. We would be, you know, more than happy to work in a collaborative mode. This is definitely an era of collaboration. You know, we are open for opportunities wherever and whoever company would like to collaborate along with us and utilize the length and breadth of the experience and the IP build blocks that we have built over a past last 40 years and it would be lovely working, you know, together on a consortium basis. That's how I would comment as of now.

Raj Rishi: And sir this government proposed R&D fund of INR1 lakh crores, how do you see yourself being affected by that positively or otherwise?

A. Krishna Sai Kumar: I'm not seriously put any thought on that, you know, as of now. I have no comments on it.

Moderator: Thank you. Raj, I'll request to come back for a follow-up question. Participants, I'll request you to limit yourself to one question per participant. Next question is from the line of Shreyansh from SJ Securities. Please go ahead.

Shreyansh: Hi, good morning sir. I had a couple of questions. So, first one was on the acquisition that we have, you know, I think we've been talking of that RF acquisition. So if you could give some more details on where, you know, which line of -- which area we have that acquisition and like quantum and what kind -- like how do we intend to fund that, some more details around that. I know you said it's going to close this year but where are we with that?

A. Krishna Sai Kumar: As of now I'm bound by NDA, I'll not be abl

e to divulge any much detail. In next few I mean to
say, you know, before end of this quarter, you'll start getting to hear, you know, more significant
news which we have been vocal during the last quarter con call as well. So that had got little
delayed, you know, owing to the global conflicts and, you know, the various processes internally
that, you know, we were contemplating couldn't happen. But as things get, you know -- progress
little more, you know, we will be more vocal and I will keep you posted.
Moderator: Thank you. Next question is from the line of Ankur Kumar from Alpha Capital. Please go ahead.
Ankur Kumar: Hello sir, thank you for taking my question. Sir, I wanted to understand on this order book of
INR1,430-odd crores, how much of this we expect to execute in this year?
A. Krishna Sai Kumar: It's a tricky question, you know, we have, you know, few upcoming orders as well, you know,
some of the orders, you know, will be executed in this financial year, some will spill over to the
next financial year. But we have some more few orders expected in this financial year, you know,
which will up to the momentum growth that we have been demonstrating. That's how I can say.
Ankur Kumar: For this year what is -- what should be our estimate on revenue and margin sir?
A. Krishna Sai Kumar: We'll continue to grow at similar pace.
Moderator: Thank you. Ankur, I'll request to come back. Next question is from the line of Ankush Agarwal
from Surge Capital. Please go ahead.
Ankush Agarwal: Hi, thank you for taking my question. So, firstly, if I look at our standalone which is the organic
growth for the year has been around 36% in terms of revenues versus I think the earlier guidance
sort of was 45% to 50% sort of CAGR. So, just wanted your
A. Krishna Sai Kumar: Ankur, getting disturbed, can you be a little slower?
Ankush Agarwal: Yes. So, the question is that our guidance for the organic growth was about 45% to 50% in terms
of revenues. The standalone revenue growth for this year has been around 36%, so slightly lower
than that. So just wanted your thoughts on that and like going ahead, do we continue to maintain
that 45% to 50% CAGR organic growth guidance or are we sort of changing it given that say
some of the bigger orders that we were expecting last year didn't materialize?
A. Krishna Sai Kumar: Certain projects which we expected to be, you know, executed in the last quarter of, you know,
previous financial year, that couldn't happen because of the certain approvals, you know, which
got pending actually from our customer, okay, which was still lying. That's how the holding,
you know, inventory is all about actually. That's something that we would be getting eventually,
you know, the generally these are all timing based on the various approvals that we get from
time to time.
It's fully restricted actually. So, that's how, you know, we couldn't meet that, you know, 8%, 9%
of guidance, you know, we have just got missed. But we will bounce back and, you know, we
will continue to maintain similar momentum.

Moderator: Thank you. Next question is from the line of Rahil Dasani from Mittal Analytics. Please go
ahead.
Rahil Dasani: Yes, hi, I'm audible?
A. Krishna Sai Kumar: Yes sir.
Rahil Dasani: Yes, I have two quick questions regarding IDL Explosives. First of all, how easy is it to get into
this into the defense explosive customers and utilize the new capacity, especially IDL having an
industrial explosive supplier tag?
And secondly, what margins are possible in TNT and HMX? Because as we know Ideal is
currently loss making and maybe this expansion and new products change that, otherwise
Apollo's standalone numbers will dilute. These two questions, yes.
A. Krishna Sai Kumar: Good question, you know, the second part of it. I will tell you see the on an averaging when it
goes for a console then

definitely there will be a dent owing to the, you know, presently negative
EBITDA of IDL. But the as I already told that, you know, it's undergoing a transformation phase
which is purely temporary and, you know, this is something which will start getting bounce back
in next few quarters down the line. Regarding the, you know, exact margins, you know, kind of
a guidance that I will start doing from Q3 onwards which I have already told actually.
Regarding your first question, you know, whether this, you know, the new market, you know,
which is, you know, the defense explosive thing, we are already part of a defense explosive
market. The various systems that we are supplying already, you know, are filled with it and
where we are actually outsourcing it. This is something that we would continue to do with our
captive systems actually.
So, we have been part of the defense ecosystem, we have been part of the defense technology
ecosystem which is DRDO. So, I don't think there is any challenge with us, you know, for us

rather, you know, to penetrate much deeper into the market. The size of the market is pretty large and the size of the industry players, you know, which is presently supplying for it is pretty small. So I think, you know, we definitely have a very large opportunity owing to both captive requirement and also for the requirements of the country.

Moderator: Thank you. Ladies and gentlemen, we'll take that as a last question. I'll now hand the conference over to the management for closing comments.

A. Krishna Sai Kumar: Yes, thanks. So we extend our sincere gratitude to the Ministry of Defence and Government of India for their continued trust in the Indian defense manufacturing ecosystem. Their confidence reflected through substantial investments is a strong endorsement of our nation's industrial capabilities and innovation potential.

We remain steadfast in our commitment to delivering advanced solutions that bolster operational readiness and strengthen national security. It is an honor to serve the nation and we stand fully prepared to support our armed forces under all circumstances.

I, joined by our MD and CFO, extend our heartfelt thanks to all our esteemed investors and analysts for being with us today. Your continued trust and partnership mean the world to us. Your participation and feedback are invaluable to us. We remain committed to enhancing our performance and driving sustained growth. We look forward to welcoming you to our facilities where you will have the opportunity to observe our operations and initiatives at the ground level. Should you have any further questions or wish to share your thoughts, please reach out to Investor Relations or write to us at investor.relations@apollo-micro.com. Thank you once again for your time and trust. We look forward to reconnecting with you during our Q1 update.

Wishing you all a great day ahead. Jai Hind.

Moderator: Thank you very much. On behalf of ICICI Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.